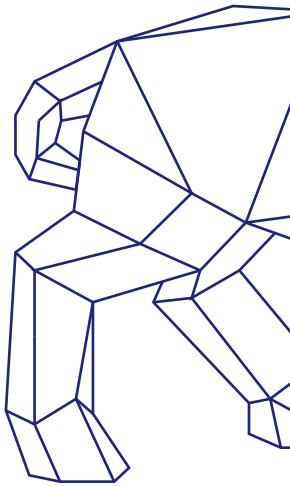
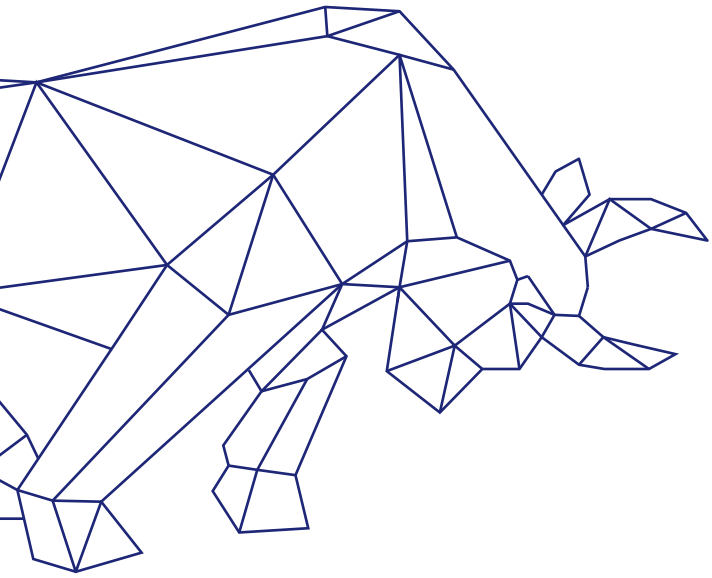
ANNUAL REPORT 2019

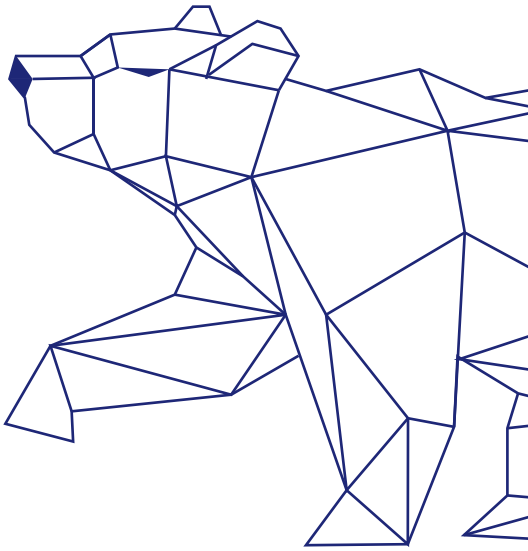




GLOBAL

GOING

DIGITAL



WHO WE ARE

An innovative crowd of men and women passionate about becoming the Number 1, one-stop innovative Application Service Provider, for the financial industry locally, regionally, and globally.

A global group and a strong brand name who are committed to transform and connect capital markets through digitization. Bringing trading without borders, anytime, anywhere, to serve every broker, serving every trader.

A growing bunch with operations present in more than 7 countries across Asia Pacific with over 300 employees. A unique organization that stands out in its sector.

WHAT WE OFFER

An innovative capital market range
Committed to innovation, we offer a spectrum of services that cover every aspect of the capital market under one solution.

- Settlement
- Margin
- Market Data
- Algo
- Order Management
- Buy (Funds) / Sell (Institutional)
- Technical Charting
- Multi-asset Trading

Secure and stable network operations
We make cybersecurity and data management our top priority. We offer a variety of end-to-end network and infrastructure services ranging from data centre to hosting, from back-up services to network security.

- Data Center
- Cybersecurity
- Back-up services
- VOIP
- Information Services
- Managed Services
- Network Operation
- Cloud / Dedicated Hosting Network

Opportunities for industry development
With our endeavour towards the Asia Trading Hub, we want to be industry leaders that advocate for openness, collaboration, and shared success. We encourage joint innovations with partners, developing a more healthy and synergistic industry.

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PORATE ECTION

CORPORATE INFORMATION

COMPANY SECRETARIES

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Cho Mei Tho (MAICSA 7036543)

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T: 603. 2241 1818
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website: www.n2nconnect.com

AUDITORS

Morison AAC PLT
(LLP0022843-LCA & AF 001977)
Chartered Accountants
18, Jalan 1/64
Off Jalan Kolam Air / Jalan Ipoh
51200 Kuala Lumpur
T: 603. 4048 2888
F: 603. 4048 2999

REGISTRAR

Boardroom Share Registrars
Sdn. Bhd. (Co. No. 378993-D)
(formerly known as Symphony
Share Registrars Sdn. Bhd.)
Level 6, Symphony House
Pusat Dagangan Dana 1
Jalan PJU 1A/46
47301 Petaling Jaya, Selangor
T: 603. 7841 8000
F: 603. 7841 8151 / 8152

PRINCIPLE BANKERS

Standard Chartered Saadiq Berhad
OCBC Bank (Malaysia) Berhad

STOCK EXCHANGE LISTING

ACE Market of Bursa Malaysia
Securities Berhad
Stock Name: N2N
Stock Code: 0108.KL

CORPORATE STRUCTURE

- **100%** N2N-AFE (Hong Kong) Limited
  - **100%** The Stock Market Channel Limited
  - **96%** The Stock Market Channel (Macau) Limited
    - **4%** The Stock Market Channel Limited
  - **100%** NBM Systems Design Limited
- **100%** N2N Advanced Learning Sdn Bhd
- **100%** N2N Global Solutions Sdn Bhd
  - **48.99%** N2N Global Solutions Limited
  - **70%** Hermes Bos Sdn Bhd
- **100%** N2N Connect Pte Ltd
  - **100%** Asianext Pte Ltd
  - **70%** PT NGS Services Indonesia
- **100%** NGN Connection Sdn Bhd
  - **100%** Global Fin Net Sdn Bhd
- **100%** Asianext Sdn Bhd
- **28.99%** OurMoneyMarket Holdings Pty Ltd

MANAGING DIRECTOR'S STATEMENT

Dear fellow shareholders, colleagues, partners, and customers

Globally, there has been a transformational shift towards a more digital and intelligent economy. With a digital world comes the advent of being able to perform many activities over the online such as communicating and banking. More closely to home, the capital market is no different. Digitization has helped realized what previously was not such as online web trading, mobile trading, and the growing cross-border trading.

Cross-border trading is not a new invention, in fact, it has been around since the early 90's. However the adoption and maturity of digitizing cross-border trading for the retail market has always lagged behind their institutional counterparts. At N2N, we want to become the leading advocates for online cross-border retail market trading within the Asia Pacific region. It is deeply engrained in us that people should be able to perform trades anytime, anywhere and this is the new Asia E-Broker, Asia Trading Hub initiative that we have untaken for the year 2019.

N2N IN 2019

2019 marked the year of many firsts with China making its first-ever landing on the far side of the moon, and scientists realizing the first-ever image of a black hole, it was no different for us. It was the first-time we commenced and successfully completed the system conformance test for the capital market in Japan, the first-time we will be offering an asset and wealth management solution, the first-time we organized a cash reward Intervarsity Stock Challenge, the first-time we employed both a Chief Financial Officer and Chief Technology Officer, and the first-time we revealed the whole new Asia E-Broker and Asia Trading Hub to our distinguished partners.

N2N has always prioritized partnering brokers with high volumes of trades over the acquisition of the number of brokers. Notwithstanding the slowing economic growth across the globe, we have officially on-boarded new clients from Thailand, and are currently in discussion with a number of other key capital market players across the region. With a healthy flow of new business enquiries from both existing and potential partners, we believe that our position as Asia Pacific's largest trading solution provider will continue to strengthen further.

FINANCIAL PERFORMANCE

The year of 2019 was filled with various challenges including the likes of the US-China Trade War, and the slowdown of global economic growth and regional trade. Despite the global and domestic headwinds, the 19 years of experience we have harnessed – backed by a relatively stable Malaysian economy, has allowed us to maintain our strong position within the Asia Pacific region. For the fiscal year 2019, we delivered more than RM 105 million in revenue, RM 5 million in other income, more than RM 11 million in operating cash flow – and returned more than RM 5 million to shareholders. Our profit after tax of RM 15 million was recorded higher for the financial year ended 31 December 2019 compared to RM 12 million of the previous year.

THE DIGITAL ROAD FORWARD

The unstoppable evolution of digitization is evident in every part of the world, and it is a change industries are embracing. The world is more connected than ever before, and the digital gap continues to grow narrower with new disruptive technologies such as Blockchain, Artificial Intelligence, the Internet of Things and Cloud Computing, making an impact on society.

As change occurs, one must be as fluid as water; to be able to improvise, to be able to adapt and to be able to overcome. We continue to observe, evaluate, and make decisions based on market trends so that our technology, business model, and value offering to stakeholders innovate with the changing times.

Technology should never at any time remain stagnant, and that is why we hired Ralph Tee as our Chief Technology Officer (CTO), who will oversee innovation and technological advancement at N2N. We are confident that the arrival of the new CTO will accelerate the delivery of innovative products and efficient services such as the further enhancement of our application solution, an asset and wealth management module within the Asia Trading Hub, evolution of the Asia E-Broker, and further development of the digital exchange platform, Asianext.

The technological roadmap planned for us brings forth the necessity for effective capital allocation, management, and utilization. This is what our newly appointed Chief Financial Officer (CFO), Chris Kok, offers. Apart from the management of our financial resources, the CFO also plays an active role in exploring various opportunities for collaborations that could lead to further value expansion. We are assured that with a dependable CFO in place, we will be able to reach new heights while utilizing the most effective financial means.

Our priority moving forward would be to foresee the successful adoption of the Asia E-Broker, a platform offering multi-market real-time market data enabling cross-border trading facilities at a fraction of the cost, and the Asia Trading Hub, which is a consortium network of accessible liquidity across markets.

The Asia E-Broker concept was developed with the intention of empowering our broker-partners with online cross-border trading facilities across multiple markets such as, the United States of America, Europe and Pan Asia Pacific, over both mobile and web, at only a fraction of the capital and operational cost of their own volition. On the other hand, the Asia Trading Hub looks to allow existing and potential partners to ride on our existing network infrastructure as well as tap into an aggregated liquidity pool of markets across the regions we operate in.

In the face of our plans moving forward, we have also identified action plans required for Asianext. Our vision for Asianext has always been outside the conventional use of Blockchain (i.e. Cryptocurrency) – emphasizing more on trading and using Blockchain as a secure means of recording digital securities and digital tokens. The setting for digital assets in Malaysia during the beginning of the year was in the process of maturing – with regulatory framework and guidelines released catered mainly for cryptocurrencies only. To this end, we do believe that it is only a matter of time before the regulatory framework for digital assets in Malaysia matures. Together with technology partner and major shareholder – SBI Holdings, SBI Japannext, Nikkei, and QUICK, we will proceed to carry action plans opportunely.

STEADY TRAJECTORY

Despite adverse doubt and uncertainty across the globe, we are optimistic that the digital path we will be taking forward with Asia E-Broker and the Asia Trading Hub, will pave the way for the next phase of business and technological growth. As the founder and managing director of N2N, I would like to express my sincere gratitude towards our dedicated and hardworking staff. Alongside the management, we will strive forward with our ambition to bring trading to every part of the world, making trades possible anytime, anywhere.

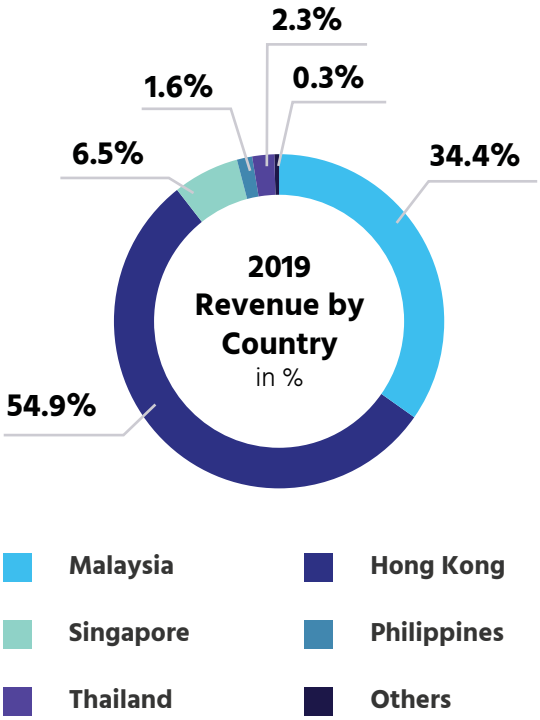
MANAGEMENT DISCUSSION & ANALYSIS

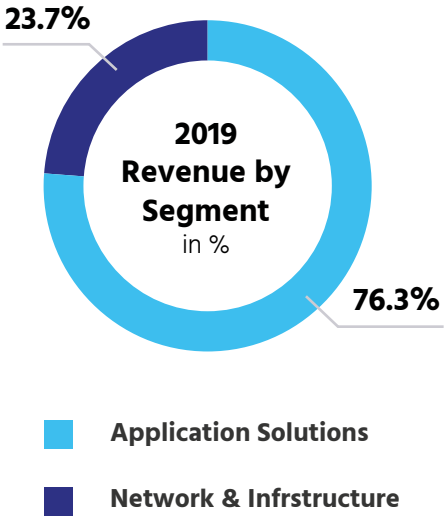
OVERVIEW

N2N Connect Berhad ("N2N" or "the Group") is one of the largest capital market solution providers across the ever growing Asian region. The reach of N2N stretches across Asia Pacific ("APAC"); covering Malaysia, Hong Kong, Singapore, Vietnam, Philippines, Indonesia and Thailand. The principal activities of N2N comprises of the 1) Application Solutions segment as well as the 2) Network & Infrastructure segment.

The Application Solutions has been and is the core-business of N2N. What puts N2N at the forefront as the most widely used trading solution provider for capital markets across the APAC region is a technologically advanced full-fledged integrated solution comprising of both the front and back office over a managed services model. With the Group's presence throughout Asia, the system caters for multiple assets, across multiple markets, and in multiple currencies.

Furthermore, the Group is also focused on providing Network & Infrastructure for both the capital market and those outside the industry. Under Network & Infrastructure, N2N offers services ranging from server hosting, to server and storage management, data centre services to network operation centre services, and network security to leased lines.



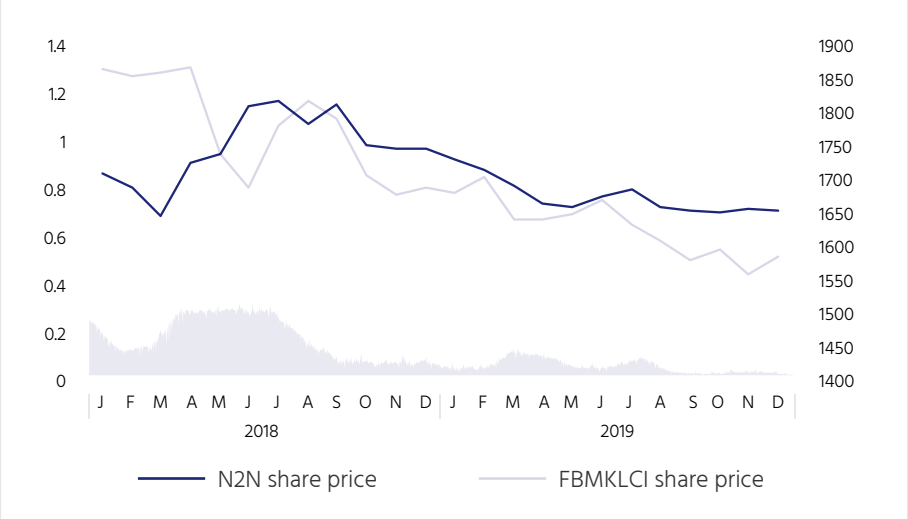


PERFORMANCE MEASURE

N2N Stock Market Data
in RM million, sen & %

	2018	2019
High	1.257	1.075
Low	0.615	0.691
Year-end share price	0.976	0.715
Change during year (%)	19%	-27%
Change in the FBMKLCI (%)	-6%	-6%
Market Capitalization (RM "Million")	436.45	424.49

Comparison between the N2N share price and the FTSE Bursa Malaysia KLCI Index since January 1, 2018
in RM



With a climate of substantial uncertainty, markets slumped during the year in a downturn. The trade war between the United States and China, the difficult negotiations between the European Union and the United Kingdom surrounding Brexit, and the political unrest in Hong Kong weighed on performance in the FBMKLCI Index. The end of the year also saw Bank Negara Malaysia cut its economic growth forecast to 4.4% from 4.9%, fuelling investor with fears of a slowdown in domestic economic growth. Against this backdrop, FBMKLCI Index finished 2019 down 6%, and the N2N closing share price ended the year down 27% at RM 0.715. N2N's market capitalization was last recorded at RM 424.5 million as of 31 December 2019.

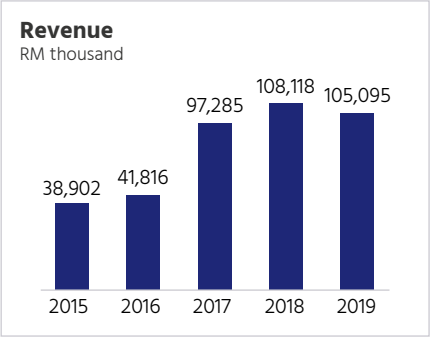
FINANCIAL PERFORMANCE MEASURE

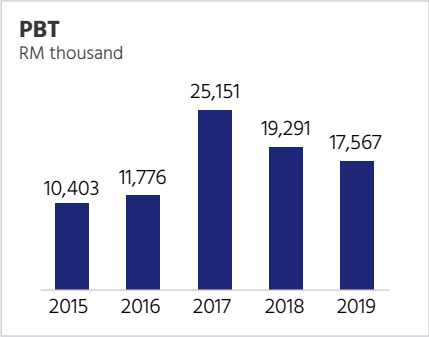
N2N 5-Year Financial Highlights

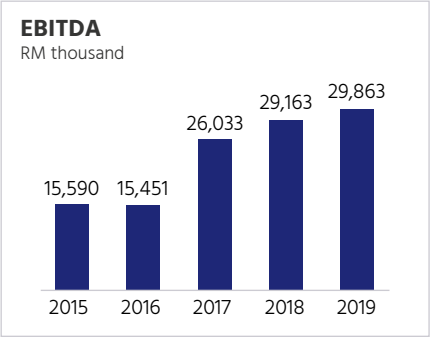
In RM thousand and sen

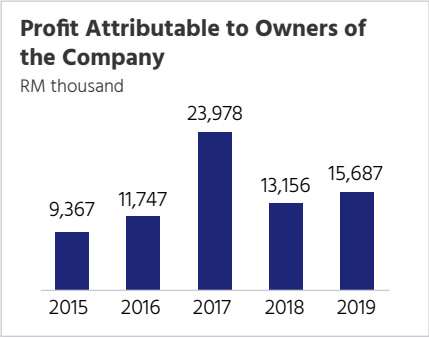
	2015	2016	2017	2018	2019
Revenue	38,902	41,816	97,285	108,118	105,095
Profit before tax (PBT)	10,403	11,776	25,151	19,291	17,567
Earning before interest, tax, depreciation and amortization (EBITDA)	15,590	15,451	26,033	29,163	29,863
Profit attributable to owners of the company	9,367	11,747	23,978	13,156	15,687
Core profit*	4,937	5,618	11,479	17,208	14,022
Capital expenditure	9,650	9,753	7,980	6,889	10,268
Basic earnings per share (sen)	2.13	2.49	5.11	2.46	2.81

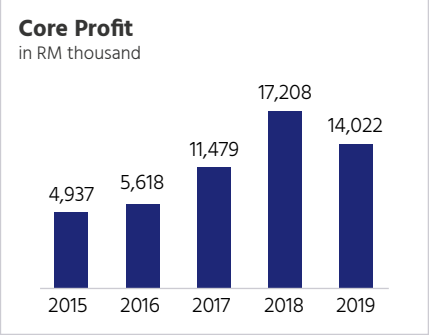
** -Core profit represents the profits of N2N excluding unrealised gains/losses on foreign exchange and one-off taxes and penalties (which are not expected to recur). Core profit helps to provide a guide for assessment of the Company's actual performance arising from its normal business activities by excluding non-recurring gains or losses including unrealised gains and losses.*

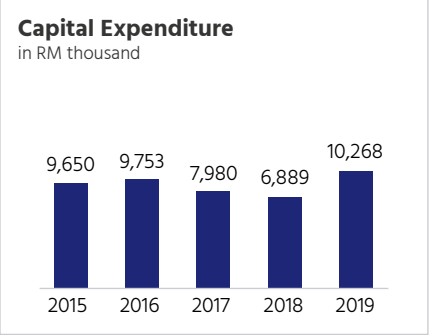












REVIEW OF FINANCIAL PERFORMANCE

GROUP FINANCIAL PERFORMANCE

Revenue of the Group for the financial year ended 31 December 2019 amounted to RM 105 million, representing a decrease of 2.80% from the previous year (2018: RM 108 million). The decrease in revenue was mainly due to lower one-time implementation revenue and recurring revenue, which were the result of softer trading activity in the Malaysian securities market in the current year. The impact was however minimized by an increase in managed services revenue.

Profit before tax (PBT) of the Group for the financial year ended 31 December 2019 amounted to RM 17 million, representing a 8.94% decrease from the previous year (2018: RM 19 million). The decrease in PBT was mainly due to the Group recording lower gross profit margin, which was softened by an increase in other income.

Earnings before interest, tax, depreciation and amortization (EBITDA) of the Group for the financial year ended 31 December 2019 amounted to RM 29 million, representing a year-on-year decrease of 2.40% (2018: RM 29 million). This was mainly attributable to lower gross profit margins.

Core profit of the Group is used to track its real performance which is a measurement of PBT after excluding the unrealised gains/losses on foreign exchange and the one-off tax penalty (which are not expected to recur in subsequent year).

The core profit of the Group for the financial year ended 31 December 2019 amounted to RM 14 million, representing a decrease of 18.51% from the previous year (2018: RM 17 million). This was mainly attributable to a combination of lower revenues, higher cost of sales, higher amortization costs resulting from a change in the period of amortization and higher provisions for expected credit losses.

Capital expenditure of the Group in respect of property, plant and equipment, and computer software development cost in 2019 amounted to RM 10 million (2018: RM 6 million). The Group continues to invest in Malaysia and in oversea markets, in-line with its global expansion.

SEGMENT FINANCIAL PERFORMANCE

Application Solutions segment of the Group for the financial year ended 31 December 2019 recorded a lower revenue of RM 80 million compared to RM 84 million in the previous year.

The decrease in revenue was primarily the result of lower one-time implementation revenue and recurring revenue in 2019 compared to 2018.

Network & Infrastructure segment of the Group for the financial year ended 31 December 2019 recorded a higher revenue of RM 23 million compared to RM 22 million in the previous year.

The increase in revenue was primarily the result of a higher recurring revenue in 2019 compared to 2018.

DIVIDENDS & DIVIDEND POLICY

In line with N2N's continued focus on shareholders' returns, on the 17 May 2019, the Board of Directors declared a dividend of 1 sen per ordinary share issued for the financial year ended 31 December 2019 (2018: 4 sen). Subsequent to the financial year end, the Board of Directors declared a special dividend of 1 sen per ordinary share issued for the financial year ended 31 December 2019.

N2N Change in Dividend
in RM sen and %

	2018	2019
Gross dividend	4.0	1.0
Growth for the year	50%	-20%
Payout ratio	163%	36%

The Board of Directors of N2N have not adopted a set dividend policy. N2N continues to pay dividends after considering the level of available funds, the amount of retained earnings, capital expenditure commitments, and other investment planning requirements.

SIGNIFICANT CORPORATE DEVELOPMENTS

ACQUISITION OF AN ASSET & WEALTH MANAGEMENT SOLUTION

N2N actively seeks collaboration with technology partners to further enhance its value chain to stakeholders. In 2019, N2N entered into a Sale and Purchase (SPA) with Transformedia Indonesia to acquire an asset & wealth management software. The Group is confident that the acquisition will further strengthen the service offering of its Asia Trading Hub, allowing the platform to be extended towards asset and fund managers of the capital market.

MEMORANDUM OF UNDERSTANDING WITH SBI HOLDINGS, INC.

On 6 March 2019, N2N entered into a Memorandum of Understanding with SBI Holdings, Inc. ("SBI") for a joint venture. N2N and SBI wishes to jointly establish and operate a company that will become a holding company of operators of a digital asset exchange for clients in the APAC region. With the setting for digital assets around the region approaching a stage of maturity, N2N alongside SBI are hopeful that the widespread utilisation and adoption of blockchain further promotes greater efficiency, transparency, and security in the capital market.

SEGMENT REVIEW

APPLICATION SOLUTIONS

The Application Solutions segment comprises of the activities undertaken by its wholly-owned subsidiaries, N2N Global Solutions Sdn Bhd ("NGS") and N2N-AFE Limited ("N2N-AFE"). The principal focus of development under N2N-AFE is for the Hong Kong capital market while the primary focus for NGS is in developing a global trading platform.

For the financial year ended 31 December 2019, the segment experienced a softened performance due to lower one-time implementation revenue and recurring revenue. The segment will continue to focus its development efforts on improving its content, functions and features offering, as well as continue to introduce new modules; such as the asset & wealth management solution, to further enlarge the platform's capabilities. In addition to this, N2N also looks to focus on acquiring new clients, most notably in regions untapped such as Japan. In terms of future developments, N2N will be directing efforts to develop the Asia E-Broker and Asia Trading Hub which are set to change the landscape for the capital market. N2N will be looking to target both existing and potential partners, offering the solution either as a Software as a Service (SaaS) or Platform as a Service (PaaS).

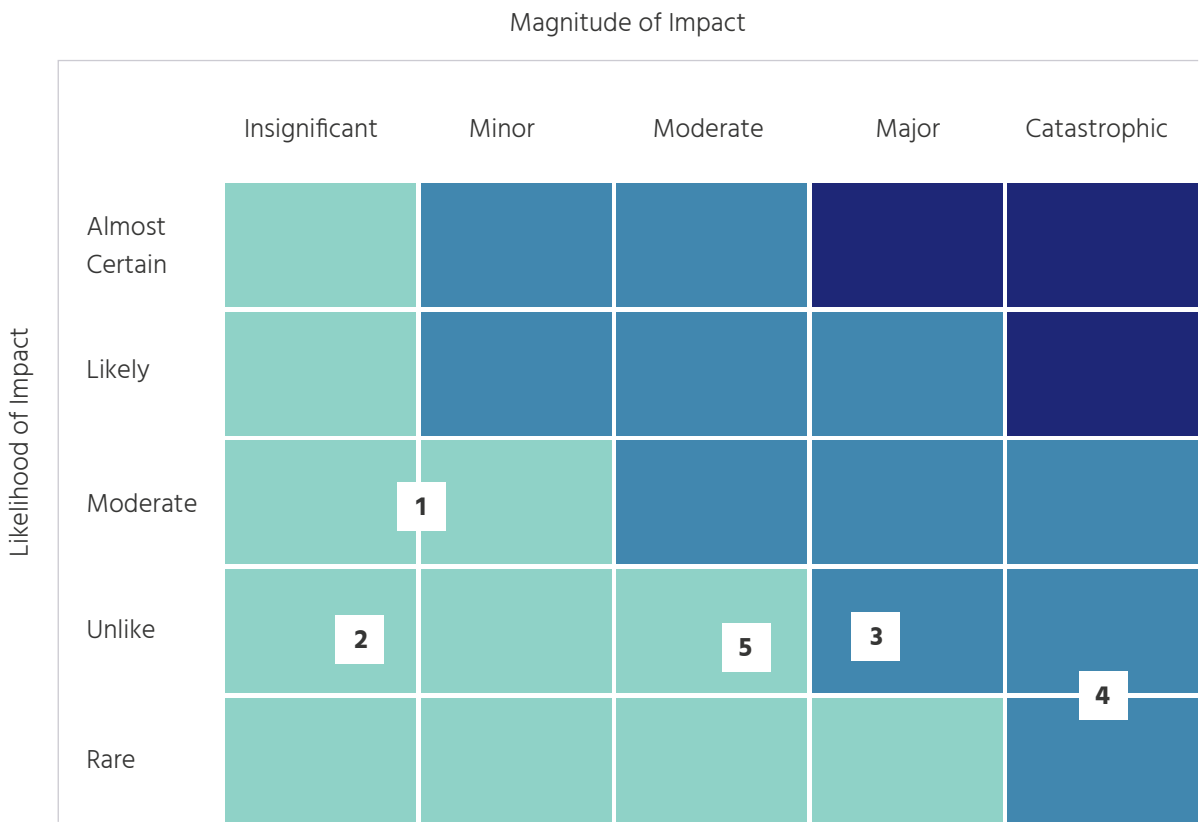
NETWORK & INFRASTRUCTURE

The Network & Infrastructure segment comprises of the activities undertaken by NGN Connection Sdn Bhd ("NGN") as well as N2N-AFE. For the Hong Kong market, the Application Solutions segment and Network & Infrastructure segment fall under one entity; N2N-AFE, whereas for the rest of the region, the segments are segregated into two (2) entities; NGS and NGN respectively. Of this, N2N-AFE principally focuses on providing network and infrastructure for the Hong Kong market while the primary focus for NGN is providing it on a global scale.

For the financial year ended 31 December 2019, the segment experienced an improved performance due to a higher recurring revenue. Over the years of operation, NGN has amassed a position within the network & infrastructure segment, permitting the entity to provide services at scales previously unviable. The segment will continue to focus its efforts on improving its monitoring services through strategic collaborations, and offer bundling services that will further enhance its value add.

RISK MANAGEMENT

N2N RISK PROFILE CHART



1. Credit Risk
2. Foreign Exchange Risk
3. Operational and System Failures Risk
4. Volatility of The Securities and Futures Market Risk
5. Adequacy of Human Resources Risk

Extreme
Moderate
Low

CREDIT RISK

N2N is exposed to the potential financial loss resulting from the failure of a counterparty in settling their obligations to N2N. This risk predominantly arises from financial assets, trade and other receivables. The risk is mitigated by dealing primarily with high credit rating partners.

Due to the nature of the N2N's business, N2N primarily deals with capital market players such as financial institutions and securities firms, which are deemed as high credit quality partners. Therefore, the management deems that the event of non-performance by partners are to be unlikely.

FOREIGN EXCHANGE RISK

Due to the operational presence that N2N has throughout the APAC Region, N2N is exposed to the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in foreign exchange rates. N2N is exposed to a realised foreign exchange risk arising from a US-dollar loan, and an unrealised foreign exchange risk due to part of N2N's revenue originating from different countries.

The realised foreign exchange risk is mitigated through its Hong Kong subsidiary; N2N-AFE as the US-dollar loan previously used to acquire N2N-AFE acts as a hedge against the US-dollar packed, Hong Kong-dollar. The unrealised foreign exchange risk is mitigated through the collection of trade receivables, where the respective currencies obtained remain in their respective jurisdictions.

OPERATIONAL AND SYSTEM FAILURES RISK

N2N's business operations are highly dependent on the reliability of the computer system, hosted environment, infrastructure and equipment. The risk of operational and system failures is mitigated through vigorous round-the-clock monitoring and management of its system, and adequate back-ups, including failover procedures designed to ensure continued operations and service availability.

VOLATILITY OF THE SECURITIES AND FUTURES MARKET RISK

Particularly for prospective partners, the volatility of the securities and futures market might influence the decision of our partners to spend, resulting in a loss of opportunity for N2N. Nonetheless, as a result of N2N's widespread regional presence, the risk is diversified, avoiding over-reliance on the market of a particular country.

ADEQUACY OF HUMAN RESOURCES RISK

A competent, knowledgeable and talented pool of employees will continue to be a key driver of N2N's business moving forward. Emphasis is placed on employee hiring, development, and retention programs to ensure that the business is always supported by sufficient manpower. In 2018, N2N announced a Long Term Incentive Plan ("LTIP") comprising employee share grants and employee share options as part of its employee retention plans. The LTIP is envisaged to promote greater employee loyalty and mitigate employee attrition.

OUTLOOK & PLANS MOVING FORWARD

According to the IMF World Economic Outlook, global growth is projected to improve from an estimated 2.9% in 2019 to 3.3% in 2020. The World Bank Global Outlook has a similar projection, with 2.5% above that of 2019. Within the Asia Pacific region however, growth is projected to ease to 5.7% in 2020 amid continued domestic and external headwinds, including the lingering impact of trade tensions *(source: The World Bank)*.

N2N has a presence in 8 countries; namely Malaysia, Hong Kong, Singapore, Thailand, Philippines, Indonesia and Vietnam, in the APAC region, and Australia. By its nature, N2N is exposed to international headwinds such as, the US-China trade war, Brexit, Hong Kong's political protest, and the latest COVID-19 outbreak, which are projected to impact growth for the coming year.

Despite the seemingly pessimistic sentiment portrayed, the nature of the industry N2N operates in is such that, trades happen during both the good and bad times. As such, N2N is cautiously optimistic

for the year 2020. This is further supported by ongoing, upcoming, and underway key focuses on 1) the core business, 2) collaborations, 3) Asia E-Broker, 4) Asia Trading Hub, and 5) Asianext, that may provide confidence in N2N's moving forward plan.

FOCUSING ON APPLICATION SOLUTIONS

N2N will continue to enhance and innovate its capital market solution offering, leveraging on the technical expertise and experience honed from the years of operation, as well as, the recent advancement in technology. This is in line with N2N's key value; to emphasize on innovating technology, to ensure products meet the demands, to create greater value for our partners.

N2N foresees an opportunity to expand its service offering with the newly acquired asset & wealth management solution by integrating it as a module on top of the existing platform. This would allow the solution to be further extended to a new set of stakeholders within the capital market. N2N also looks to expand its trading solution presence to capital markets previously untapped, such as Japan, by working closely with partners such as SBI, Quick and Nikkei.

Moreover, N2N believes that there is a growing demand from existing partners for a more technologically advanced back-office system. This provides a new avenue of opportunity for the growth as the N2N capital market trading solution comes fully integrated with a comprehensive back-office system.

With the platform as the pillar, and innovation as the driver, N2N aims to become a global leader in providing a one-stop, intelligent, global capital market solution across capital markets.

EXPLORING COLLABORATIONS WITH SYNERGISTIC COMPANIES

During the year, N2N sought out and explored collaborative opportunities with companies within and outside the capital market industry. N2N maintains a progressive stance when discussing with potential partners, emphasising on the capabilities of leverage, and its ability to mutually help both parties achieve new heights. By focusing on collaborations with synergistic companies, N2N looks to achieve a win-win at every level and situation.

Although no encounters were materialised in 2019, N2N continues its collaborative approach for the year ahead, aiming to explore more businesses and opportunities. During times of uncertainty, N2N believes that the combination of resources and economies of scale can help stabilise the situation, allowing the collective entity to outlast other businesses. N2N believes in the notion "it is better to own a small piece of a bigger pie than a large piece of a smaller pie."

ASIA E-BROKER

Where N2N foresees as a one of the areas for potential growth is through the platform, Asia E-Broker. Asia E-Broker serves to be the global trading platform enabling investors' a one-stop access to real-time global market data. Available on both web and mobile, it aims to empower investors with reliable decision making support tools.
With this latest development underway and available soon, N2N envisions a borderless capital market where trading can be done online *Anytime, Anywhere*.

ASIA TRADING HUB

In anticipation for the zero ($0) brokerage or "buffet" style charges currently available in other markets, N2N has begun developing a trading platform our partners can leverage on. This is the Asia Trading Hub ("ATH"). The ATH is a consortium network of brokers from across the region that are inter-connected through a unified trading platform. Panel members of the ATH have the option to offer clients the benefit of trading locally and globally through a single trading account, to avoid costly capex investments, to boost its inbound and outbound opportunities. N2N foresees that this would enable partners to adopt flexible brokerage fees while still maintaining steady growth.

N2N is positive that the arrival of the ATH would allow the capital market of APAC region to remain competitive within a global setting, further garnering interest into the region.

ASIANEXT

Following the trend of digitisation, the usage of digital assets around the APAC region are steadily maturing at a modest rate. In Malaysia, N2N believes that there is a gradual progress towards the adoption of digital asset usage within the market and the necessity for a digital asset exchange platform.

For N2N, the vehicle that will be looking to offer this is Asianext. Asianext does not aim to serve solely as an exchange for digital securities and tokens, but also as the platform enabling other parties to leverage for exchange platform services such as, e-KYC, client onboarding, digital wallet, and settlement.

N2N will proceed to take a cautious approach within the field of digital assets and will react accordingly once regulatory frameworks and guidelines by the Securities Commission Malaysia are in place.
Based on the above strategies, and taking into account the projected state of the global economy, N2N is cautiously optimistic about its outlook for the coming financial year.

SUSTAINABILITY STATEMENT

N2N believes that sustainability is an important aspect of its corporate strategy and culture. It is deeply embedded in N2N's business model to deliver long-term growth and value to stakeholders.

N2N has and continues to incorporate sustainable goals economically, environmentally, and socially across business operations; maintaining high standards of conduct and maximising long-term value creation for the benefit of stakeholders throughout the financial year ended 31 December 2019. The sustainability statement is prepared in accordance with Bursa Malaysia Securities Berhad's Sustainability Reporting Guide.

N2N is committed to pursuing sustainability goals as according to the following sustainability principles:

- Emphasizing on sustainability at every corner of the business;
- Looking after the interests of all stakeholders involved during the planning and implementation process, and;
- Continuously reviewing and assessing its sustainability approaches and practices to ensure that they are aligned with the Group's corporate strategy.

Operating as an effective and sustainable business entity, N2N believes in maintaining an effective degree of communication and understanding with all employees and stakeholders involved.

Moving forward, N2N believes that strategies surrounding sustainability will be the driver for growth within the region.

APPROACH TO SUSTAINABILITY

The Board of Directors ("the Board") of N2N are responsible for setting strategic aims and providing the leadership and resources to achieve its objective. High quality corporate governance helps to underpin long-term performance and the Board are responsible for maintaining strong governance practices and regularly reviewing N2N's governance structure.

N2N strives to conduct business operations guided by a long-term sustainability strategy comprising of three (3) main aspects:

- **LOVE for the environment.**
  Striving towards reducing N2N's environmental footprint by improving on efficiency of resources and incorporating green mind-set across our value chain.

- **PLAY the role of the company well.**
  Achieving economic growth through effective innovation, improved productivity, and reliability.

- **CARE for the community and others.**
  Developing frameworks to meet the needs of the current and future generations, maintaining a healthy community through sustainable solutions.

OUR STRATEGIC PRIORITIES

CUSTOMER-FOCUSED APPROACH

To emphasize making resource allocation decisions across business lines with the objective of benefiting our partners.

TECHNICAL AND BUSINESS INVESTMENT

To focus on innovation, excellence and standardisation throughout N2N.

ADOPTING NEW TECHNOLOGIES

To differentiate and improve project delivery capabilities as well as management of assets.

RESPECTING AND SUPPORTING EMPLOYEES

To improve engagement of employees, focus on attracting, developing, and retaining the best talent globally.

OPERATIONAL EFFICIENCY

To focus on cash generation, the elimination of unnecessary expenditure, and increasing efficiency and scalability of necessary costs.

OPERATIONAL STABILITY

To strengthen the financial position of N2N, ensuring business stability.

SOCIAL RESPONSIBILITY

To provide a safe and sustainable environment for the people and the community.

STAKEHOLDER ENGAGEMENT

N2N is committed to ongoing stakeholder engagement as a core component of its business and sustainability strategies. N2N views stakeholder engagements as a continuous dialogue that enables the identification and addressing of potential issues proactively and collaboratively.

Regular and periodic announcements on N2N's financial performance and other pertinent information are released on Bursa Securities' website and also updated on its corporate website.

The variety of stakeholders and the breadth of reach of N2N means engagement in many different ways. The key stakeholders and methods of engagement are outlined in the table below:

	ONGOING ENGAGEMENTS	OBJECTIVE
Goverment and regulatory authorities	Meetings and engagement through trade associations and chambers of commerce	To ensure the entire business operations is complies with local Authorities rules and regulations
Customers	Regular visits, dedicated account teams, and customer care centre	To ensure customers satisfaction with the product and services To provide prompt and efficient assistance to customers
Employees	Staff training, frequent employee communications, health and safety communications programs, community and employee well-being programs	To provide continuous training and up-skilling for better performance and career development
Suppliers	Regular review of major suppliers to provide service delivery feedback and areas of improvement for the mutual benefit of both parties	To ensure two (2) – way value creations with suppliers
Non-governmental organisations (NGO) Investors and analyst	On-going dialogue with NGO's and charitable organisations Announcement to Bursa Securities, general meetings, corporate website and on-going dialogue with investors and analyst	To develop initiatives to benefit the people and the community To generate shareholder return on a sustainable basis To report financial results on quarterly and annual basis To make announcements to Bursa Securities about the Group's major activities
Media	Regular engagement with the media about N2N and the industry's development	To provide an update on N2N's activities, initiatives and moving forward plans

SUSTAINABILITY GOVERNANCE

N2N is in the midst of establishing a governance structure that oversees the overall planning and implementation of sustainability practices and policy in a continuous and systematic manner towards achieving key sustainability objectives. N2N aims to set up a committee that reports to the Managing Director and the Board on its sustainability objectives and initiatives.

All operating divisions have been charged with the fiduciary duty to take into consideration sustainability in their business strategy planning, operations and processes. In addition, N2N strives to develop systems to monitor the implementation of its internal control measures and sustainability measures as well as the completeness and reliability of information relating to financial, operational, safety, health and environmental management aspects of the Group. The Board and the management are committed to continuously refining and improving these processes over time.

ECONOMIC SUSTAINABILITY

N2N is responsible to its shareholders and specifically in securing and growing their financial position by adopting good and ethical business practices, corporate governance, as well as effective capital management.

N2N declared a single tier dividend of 1 sen per share for the financial year ended 31 December 2019 on 17/05/2019. Subsequent to the financial year end, on 27/03/2020, N2N also declared a special dividend of 1 sen per share for the financial year ended 31 December 2019.

For the financial performance, N2N has achieved profits over the past five years.

Profits over the past five years
In RM thousand and sen

	2015	2016	2017	2018	2019
Profit before tax	10,403	11,776	25,151	19,291	17,567
Profit after tax	9,296	11,681	23,737	12,790	15,261
Core profit	4,937	5,618	11,479	17,208	14,022
Net dividend per share (sen)	1	2	1	4	1

N2N continues to promote local economic growth by providing employment opportunities to Malaysians. For procurement requirements, N2N also seeks local suppliers and has been working closely with them to ensure that products and services meet the business requirements.

ENVIRONMENTAL SUSTAINABILITY

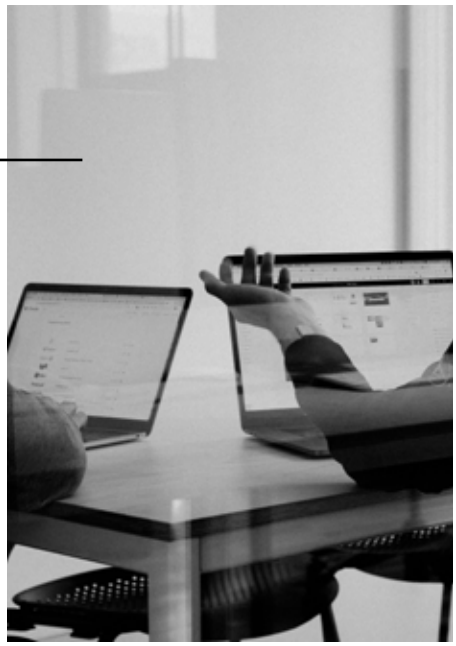
N2N is committed to reducing its environmental footprint across its operations. This is embodied in N2N's stewardship of resources, including effective management of energy and resulting carbon emissions, water and waste.

SAVING ENERGRY

N2N regularly monitors the electricity consumption and any unusual deviations are investigated and immediately addressed. Efforts to reduce energy consumption include daily monitoring of air conditioning usage, adjusting the settings to ensure optimal efficiency and servicing air conditioning regularly. Light-emitting diode lighting and energy efficient equipment are used where possible.

WASTE MANAGEMENT

N2N emphasises on the Reduce, Reuse, and Recycle ("3R") initiative to manage its waste. Where possible, the use of disposable resources are eliminated or reduced, recycling at work is promoted, and the reuse of materials is encouraged.



GOING PAPERLESS

N2N advocates for the e-communication of reports, memos and other communication methods. During meetings, device-usage is encouraged over paper-usage during meetings.

SOCIAL SUSTAINABILITY

WORKFORCE DIVERSITY

N2N is committed to being an organisation that reflects the local communities. Both diversity and inclusion are embraced at every aspect of N2N, and the differing backgrounds, opinions, life experiences, and perspectives of employees help to strengthen the business. N2N believes that a truly collaborative workplace is essential for continued growth as a diversified conglomerate with a multitude of businesses across multiple cultures.

WORKFORCE TRAINING AND DEVELOPMENT

N2N continues to invest in the professional development of employees, both in potential realization and career path building as well as in enhancement of competency and capability. N2N's mentoring and passing of expertise programmes are guided and led by the senior management.

LEADERSHIP DEVELOPMENT PROGRAMME

N2N has developed a structured and progressive leadership programmes that help individuals develop leadership skills such as pro-activeness, goal creation, risk and challenge management, and inner-strength realization. N2N plays an active role in helping managers into leadership roles by utilizing conditioning programs that enhance self-awareness and equipping them with essential knowledge and key skills to lead themselves and others in bringing about positive changes in the business.

INTERNSHIPS & TRAININGS

N2N believes in the change the future generation can bring about to the industry and offers both technical and non-technical internship and training programmes to undergraduates based on their academic backgrounds.

CYBER SECURITY

N2N prioritizes the privacy, safe-guarding and confidentiality of its customer's information. Its privacy policy is in accordance with the Personal Data Protection Act ("PDPA") 2010, and it sets out the purpose and procedures for collecting and processing customers' data and to prevent unauthorised misuse.

EDUCATING THE FUTURE GENERATION

N2N continues to stress the importance of development and innovation of technologies, products, and services for the future. N2N proudly carries out educational events, such as the Inter-Varsity Stock Challenge, so that the people of tomorrow's world are well equipped with the necessary skills to manage and grow their finances responsibly, and also gain insight into the capital market industry.

N2N engages in community outreach on a regular basis and employees are encouraged to volunteer in the various corporate social responsibility programmes organised.

By making Love, Play and Care the core focus, N2N has built a corporate sustainability approach founded on respect and consideration for the people. This long-term commitment means taking key steps to loving the environment, playing the role of the company well and caring for the community.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board of N2N recognises the importance of upholding high standards of corporate governance as envisioned by the Malaysian Code on Corporate Governance 2017 ("MCCG 2017" or "MCCG"), throughout its organisation. The Board further believes in adhering to such good practices in a responsible, accountable and transparent manner.

In its application of corporate governance practices, the Board is pleased to report hereunder, N2N has applied its corporate governance framework, in particular, the principles and practices as advocated by the MCCG 2017 throughout the financial year ended 31 December 2019.

This statement is to be read together with the Corporate Governance Report 2019 ("CG Report") of N2N, which is available on the N2N website at www.n2nconnect.com, as well as in the Annual Report & CG Report 2019 announcement on the website of Bursa Securities.

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS

BOARD'S RESPONSIBILITIES AND DUTIES

The Board's principal role is to effectively promote the best interests of the Group with a view towards enhancing shareholders' and stakeholders' values. In this regard, the Board oversees and evaluates the Group's strategies, policies and performance to ensure the delivery of such values.

The Board assumes, inter alia the following principal responsibilities:-

- reviewing and adopting a strategic plan for the Group, including its goals and ensuring that the strategic plan of the Group supports long-term value creation and includes strategies on economic, environment and social considerations underpinning sustainability;

- establishing policies for strengthening the performance of the Group including ensuring that Management is proactively seeking to build the business through innovation, initiative, technology, new products and the development of its business capital;

- identifying principal risks, set the risk appetite within which the Board expects the Management to operate and ensuring the implementation of appropriate systems to manage the significant financial and non-financial risks and ensuring there is a sound framework for internal controls and risk management;

- reviewing the adequacy and the integrity of the Group's internal control systems and management information systems, including systems for compliance with applicable laws, regulations, rules, directives and guidelines;

- deciding on whatever steps are necessary to protect the Group's financial position and the ability to meet its debts and other obligations when they fall due, and ensuring that such steps are taken;

- ensuring that the Group's financial statements are true and fair and conform with any applicable laws and/or regulations; and

- ensuring that the Group adheres to high standards of ethics and corporate behaviour.

Within the power accorded by the Company's Constitution, the Board is charged with amongst others, the development of corporate objectives and the review and approval of corporate plans, overseeing the conduct of the Group's business, acquisitions and disposals of undertakings and properties of substantial

value, major investments and financial decisions and changes to the management and control structure within the Group including key risk management, treasury, financial and operational policies, and delegated authority limits.

BOARD COMPOSITION

The Group is led and controlled by an effective Board consisting of professionals and competent individuals of calibre with diverse backgrounds, expertise and experience in various fields, relevant to the Group's business activities and strategic development.

The Board consists of eight (8) members, two (2) of whom are Executive Directors, four (4) Independent Non-Executive Directors and two (2) Non-Independent Non-Executive Directors. The Board composition is in compliance with the ACE Market Listing Requirements where at least one-third of the Board are Independent Directors.

TENURE OF INDEPENDENT DIRECTOR

The Nomination and Remuneration Committee ("NRC") and the Board had determined that one (1) Independent Director who has served on the Board for more than nine (9) years, remains objective and independent with the following justifications:-

- He has met the independence guidelines as set out in Chapter 1 of the Bursa Malaysia Securities Berhad ACE Market Listing Requirements, and is therefore able to give independent opinion to the Board;

- Being a director for more than nine years has enabled him to contribute positively during deliberations/ discussions at meetings as he is familiar with the operations of the Group and possess knowledge of the Group's operations;

- He has contributed sufficient time and exercised due care during his tenure as an Independent Non-Executive Director;

- He has discharged his professional duties in good faith and also in the best interest of the Group and shareholders;

- He has the calibre, qualifications, experiences and personal qualities to challenge management in an effective and constructive manner; and

- He has never compromised on his independent judgement.

The Board was satisfied with the level of independence demonstrated by the Independent Non-Executive Director and hence, had recommended to retain him as an Independent Non-Executive Director of the Company.

THE CHAIRMAN AND MANAGING DIRECTOR

The roles of the Chairman and Managing Director are separate and clearly defined, with the division of responsibilities set out in writing and agreed by the Board.

The Chairman of the Board focuses on the achievement of the Group's strategic vision and also leads the

Board in ensuring its effectiveness.

The Chairman is primarily responsible for the following:-

- to ensure that effective conduct of the Board's function and meetings;
- to ensure that effective contribution of all Directors at Board Meetings; and
- to ensure that effective and respectful communication between Directors and between the Board and its shareholders.

The Group is currently looking for a suitable candidate to fill the position of chairmanship arising from the retirement of the previous Chairman. In the meantime, the Managing Director has been chairing the Board meetings.

The Managing Director focuses on managing the Group's business activities and day-to-day operations, and is responsible for the following:-

- to ensure effective implementation of the Board's strategic decisions;
- to ensure efficient and effective operation of the Group;
- to ensure that business opportunities are of potential benefit to the Group; and
- bringing material and other relevant matters to the attention of the Board in an accurate and timely manner.

SUPPLY AND ACCESS TO INFORMATION

Prior to each board meeting, the agenda and a set of board papers encompassing qualitative and quantitative information relevant to the business of the meeting are usually circulated to all Directors 1 week in advance and not less than 3 days prior to the meeting dates. This enables the Directors to have sufficient time to peruse the Board papers and seek clarification or further details from the Management or the Group Secretary before each meeting to ensure preparedness for the meeting. Any Director may request matters to be included in the agenda.

Presentations and briefings by the Management and relevant external advisors, where applicable, were also held at board meetings to advise the Board. In this regard, relevant information is furnished and clarification given to assist the Board in making a decision.

The Directors have direct access to the Management and have unrestricted access to any information relating to the Group to enable them to discharge their duties. The Directors also have direct access to the advice and services of the Company Secretary and are regularly updated on new statutory and regulatory requirements relating to the duties and responsibilities of the Directors. In addition, all board members may seek independent professional advice when necessary in furtherance of their duties.

THE COMPANY SECRETARIES

The Company Secretaries play an advisory role to the Board in relation to the Company's Constitution, Board's policies and procedures and compliance with the relevant regulatory requirements, codes or guidance and legislations.

The Company is supported by two (2) qualified and competent company secretaries. Both company secretaries are qualified Chartered Secretaries pursuant to the Companies Act 2016 and are members of the Malaysian Association of the Institute of Chartered Secretaries and Administrators ("MAICSA"). The Company Secretaries are external company secretaries from Esprit Management Services Sdn. Bhd. with vast knowledge and experience from being in public practice and is supported by a dedicated team of company secretarial personnel.

Each acts as an advisor to the Board, particularly with regard to the Constitution of the Company, board policies and procedures and its compliance with regulatory requirements, codes, guidance and legislations. The Company Secretaries ensure that discussions and deliberations at the Board and Board Committee meetings are well documented and subsequently communicated to the relevant Management for appropriate actions.

BOARD MEETINGS AND ATTENDANCE

The Board meetings together with Board Committee meetings for the financial year ended 31 December 2019, were pre-scheduled in November 2018 to facilitate the Directors in planning ahead and incorporating the meetings into their respective schedules. This also serves to provide the members with ample notice of the meetings.

A total of five meetings were held during the year; to discuss and decide among others, quarterly financial results, performance reports and various other matters. In addition to the above meetings, a board strategic meeting with the Senior Management of the Group was also conducted to provide the Board with updates on the market outlook, external environment analysis, and the Group's strategic and growth plans. Besides the Board meetings, urgent decisions were approved via written circular resolutions.

The reports of the Audit Committee and Nomination and Remuneration Committees are also presented and deliberated at board meetings. The minutes of each board meeting are circulated in a timely manner. All proceedings of board meetings are duly recorded in the minutes of each meeting and signed minutes of each board meeting are properly kept by the Company Secretary. Minutes of the board meeting are tabled for confirmation at the next board meeting.

The average attendance rate of the Directors for these five (5) board meetings was 100%. The attendance record of the Directors at the Board meetings during the financial year ended 31 December 2019 are set out in the table below:-

Name of Director	Designation	BOD
Tiang Boon Hwa	Managing Director	5/5
Lai Su Ping	Executive Director	5/5
Fathi Ridzuan Bin Ahmad Fauzi	Independent Non-Executive Director	5/5
Elaine Foong Sooi Jade	Independent Non-Executive Director	5/5
Dato' Tan Boon Leng	Independent Non-Executive Director	5/5
Goh Ching Chee	Independent Non-Executive Director	5/5
Masashi Shindo	Non-Independent Non-Executive Director	5/5
Akio Furuse (Resigned on 08/07/2019)	Non-Independent Non-Executive Director	3/3

DIRECTORS' RE-ELECTION AND RE-APPOINTMENT

The NRC is responsible for recommending to the Board, directors who are standing for re-election at the Annual General Meeting ("AGM") pursuant to Clause 103 of the Company's Constitution. In accordance with the Company's Constitution, one-third of the Board, including the Managing Director, shall retire and is subject to re-election and each Director shall stand for re-election at least once every 3 years.

Directors' rotation list was presented to NRC for endorsement prior to recommendation to the Board and thereafter to the shareholders for approval. In assessing the candidates, the NRC takes into consideration on their attributes, competencies, commitment, personality and qualities as well as their contribution and performance based on the Board Effectiveness Assessment.

BOARD EFFECTIVENESS ASSESSMENT

An assessment of the effectiveness of the Independent Directors, Executive Directors, Board Committees and the Board as a whole, is carried out annually. The objective is to improve the Board's effectiveness by identifying gaps, maximise strengths and address weaknesses. The Chairman of NRC oversees the overall evaluation process, and the responses are analysed by the NRC before being tabled and discussed at the Board level.

DIRECTORS' DEVELOPMENT PROGRAMME

The Directors are encouraged to attend programmes and seminars to keep themselves abreast with the latest developments in the industry and market place to enable them to carry out their roles effectively as directors in discharging their responsibilities.

All Directors except Hiroaki Morita (appointed on 3 April 2020) have attended the Mandatory Accreditation Programme as prescribed by Bursa Securities. Apart from attending various conferences and seminars organised by external organisers, the Board also benefited from technical briefings which were conducted by in-house professionals. The Directors are regularly updated on the Group's businesses and the competitive and regulatory environment in which the Group operates.

During financial year ended 31 December 2019, the Directors participated in seminars and training programmes in various capacities as detailed below:

Name of Director	Training Attended in 2019
Tiang Boon Hwa	• N2N Bootcamp 2019 • N2N Civil War • Mini SEA Dragon Pitching – PIKOM • GAIN CEO Series 2/2019 : Expanding Your Business – MDEC • Panel Judge for N2N Inter-Varsity Stock Challenge Closing Ceremony 2019 • GAIN Forum with YB Tuan Gobind Singh – MDEC • The Cooler Earth Sustainability Summit – CIMB • Nikkei Forum – Focus on Malaysia – Business and Investment Opportunities amid New Challenges
Lai Su Ping	• N2N Bootcamp 2019 • N2N Civil War • GAIN Forum with YB Tuan Gobind Singh – MDEC • The Cooler Earth Sustainability Summit – CIMB • Nikkei Forum – Focus on Malaysia – Business and Investment Opportunities amid New Challenges • Employee Salary Structure & Compa-Ratio - Malaysia Integrity Academy
Elaine Foong Sooi Jade	• Various webinars organized - Association of Chartered Certified Accountants ("ACCA")
Dato' Tan Boon Leng	• Legacy Planning & Wealth Management – UOB/Prudential • Private Equities & Access to Unicorn Ventures – Ifast/Kenanga
Masashi Shindo	• Nikkei Forum - Future of Asia • Nikkei NVS Forum - Smart City • Singapore Summit 2019 • Dealstreet Asia PE/JV Summit • Nikkei Forum – Focus on Malaysia – Business and Investment Opportunities amid New Challenges • Malaysian M&A Associations Seminar
Goh Ching Chee	• Stop Cyber Attacks Workshop
Fathi Ridzuan Bin Ahmad Fauzi	• Board Composition : Nominating Committees' Role to Achieve Effective Stewardship • Enhancing Corporate Governance – Imposing Legal Liabilities, Act or Resign • Session on Corporate Governance and Anti-Corruption

NOMINATION AND REMUNERATION COMMITTEE EFFECTIVENESS REVIEW AND PERFORMANCE

The NRC periodically reviews policies and procedures to determine the remuneration of Directors and Senior Management, which takes into account the demands, complexities and performance of the Group as well as skills and experience required of Directors and Senior Management. The NRC is objective, fair and transparent in its review process.

The Board is satisfied with the performance and effectiveness of the NRC in providing sound advice and recommendations to the Board.

- DIRECTORS' REMUNERATION

  Our approach to remuneration is based on reward principles which aims to provide remuneration packages that fairly rewards the Executive Directors for the contribution they make to the Group, having regard to the size and complexity of the Group's business operations and the need to attract, retain and motivate executives of the highest quality.

  The Board has established a formal and transparent Directors' Remuneration Framework which comprise retainer fees, meeting allowances and benefits in-kind.

  The Group has undertaken a review on the Directors remuneration to ascertain the competitiveness of the current Non-Executive Directors remuneration.

  The Group also reimburses all expenses incurred by the Directors, where relevant, in the course of carrying out their duties as Directors.

  The remuneration package for the Executive Directors of the Group is balanced between fixed and performance-linked elements. The current remuneration policy of the Executive Directors consists of basic salary, performance linked bonus, benefit in-kind, EPF contributions and share awards/share options respectively based on the recommendation of the Nomination and Remuneration Committee.

  The Directors' remuneration for financial year ended 31 December 2019 are broadly categorised into the following bands:

Group	Fees (RM)	Salaries and Bonus (RM)	Defined Contribution Plan (RM)	Allowance (RM)	Total (RM)
Non-Executive Director					
Fathi Ridzuan Bin Ahmad Fauzi	87,900	-	-	3,000	90,900
Elaine Foong Sooi Jade	102,600	-	-	3,000	105,600
Dato' Tan Boon Leng	87,900	-	-	6,000	93,900
Akio Furuse (resigned on 08/7/2019)	-	-	-	-	-
Masashi Shindo	-	-	-	-	-
Goh Ching Chee	87,900	-	-	3,000	90,900
Executive Director					
Tiang Boon Hwa	102,600	3,395,458	40,804	-	3,538,862
Lai Su Ping	102,600	740,769	17,279	-	860,648
Total	**571,500**	**4,136,227**	**58,083**	**15,000**	**4,780,810**
Company					
Non-Executive Director					
Fathi Ridzuan Bin Ahmad Fauzi	87,900	-	-	3,000	90,900
Elaine Foong Sooi Jade	102,600	-	-	3,000	105,600
Dato' Tan Boon Leng	87,900	-	-	6,000	93,900
Akio Furuse (resigned on 08/7/2019)	-	-	-	-	-
Masashi Shindo	-	-	-	-	-
Goh Ching Chee	87,900	-	-	3,000	90,900
Executive Director					
Tiang Boon Hwa	102,600	175,778	593	-	278,971
Lai Su Ping	102,600	136,002	17,279	-	255,881
Total	**571,500**	**311,780**	**17,872**	**15,000**	**916,152**

- SENIOR MANAGEMENT TEAM'S REMUNERATION

  The Senior Management Team's remuneration and rewards are linked to corporate and individuals performance. The performance is measured against the key performance indices set in accordance with the Group's annual budget and business plan.

  For financial year ended 31 December 2019, the remuneration for the top five senior management (other than the Executive Directors) as follows:-

Remuneration Range (RM)	Number of Senior Management
250,001 – 300,000	1
300,001 – 350,000	1
350,001 – 400,000	1
650,001 – 700,000	2

BOARD COMMITTEES

The Board has three (3) main Committees: the Nomination and Remuneration Committee, the Audit Committee and Option Committee

- NOMINATION AND REMUNERATION COMMITTEE

  The Nomination and Remuneration Committee ("NRC") comprises exclusively of the following INED:

  Dato' Tan Boon Leng (Chairman)
  Elaine Foong Sooi Jade
  Goh Ching Chee

  The NRC reviews the structure, size and composition of the Board and its Committees, endorses suitable candidates for appointment to the Board, and reviews the succession planning. Additionally, the NRC endorses the Group's directors' remuneration policy and framework. For more information, please refer to Nomination and Remuneration Committee Statement on page 66.

- AUDIT COMMITTEE

  The Audit Committee ("AC") comprises exclusively of the following INED:

  Elaine Foong Sooi Jade (Chairperson)
  Dato' Tan Boon Leng
  Goh Ching Chee
  Fathi Ridzuan Bin Ahmad Fauzi (Appointed on 26 March 2019)

  The AC monitors the integrity of the Group's financial statements/announcements, the effectiveness of internal controls and risk management as well as ensuring the quality and independence of the external auditors and internal auditors. For more information, please refer to Audit Committee Report on page 62.

- OPTION COMMITTEE

  The Option Committee ("OC") comprises of the Directors and CFO as follows:

  Lai Su Ping (Chairman)
  Elaine Foong Sooi Jade
  Chris Kok Wan Chun

  The OC administers the Long Term Incentive Plan ("LTIP") / Employee Share Option Scheme ("ESOS") and grant Options in accordance with the By-Law, recommends to the Board to establish, amend, and revoke By-Laws, make rules and regulations to facilitate the implementation of the LTIP/ ESOS, determines all questions of policy and expediency and to construe and interpret the provisions contained in the By-Laws in the best interest of the Group and the Eligible Employees, and exercises such powers and perform such acts as are deemed necessary or expedient to promote the best interests of the Group and the Eligible Employees.

BOARD CHARTER

The Board Charter sets out the roles and responsibilities of the Board, functions, composition, operations and processes of the Board.

The Board Charter is to ensure that all Board members acting on behalf of the Group are aware of their duties and responsibilities as Board members and the various legislations and regulations affecting their conduct and that the principles and practices of good corporate governance are applied in all their dealings in respect of and on behalf of the Group.

The Board Charter shall be reviewed on a periodic basis and may be amended by the Board from time to time to ensure that the practices of the Board are consistent with the prevailing code of corporate governance, laws and/or regulations and reflects the Board's commitment to best practice in corporate governance.

The Board Charter was last reviewed on 23 March 2020 and is made available on the Group's website at www.n2nconnect.com.

CODE OF CONDUCT

The Group, its Directors, Management and employees firmly believe in creating a corporate culture to operate the businesses of the Group in an ethical manner and to uphold the highest standards of professionalism and exemplary corporate conduct. The Group has established a Code of Conduct for Directors and employees ("Code"). The Code serves to outline the standards of business conduct and ethical behaviour which the Directors and employees should possess in discharging their duties and responsibilities. A copy of the Code is available on the Group's website at www.n2nconnect.com.

Additionally, the Group is committed towards preserving and protecting its interest and reputation at all times. The Group expects high standards of integrity and accountability from all employees. It is also intended to encourage and enable employees and others to raise concerns within the Group prior to seeking resolution outside the Group.

WHISTLEBLOWING POLICY

The Group acknowledges the importance of lawful and ethical behaviours in all its business activities and is committed to adhere to the values of transparency, integrity, impartiality and accountability in the conduct of its business and affairs in its workplace.

In line with this, N2N Group has adopted a Whistleblowing Policy to protect the values of transparency, integrity, impartiality and accountability wherever N2N conducts its business and affairs. This policy sets out the mechanism and framework by which all its stakeholders who have dealing with the Group can confidently voice concerns or complaints in a responsible manner without fear of discriminatory treatment.

The Whistleblowing Policy also provides contact details of the Audit Committee Chairman and Managing Director to whom the whistleblowing report can be addressed.

The Policy is available on the Group's website at www.n2nconnect.com.

ACCOUNTABILITY AND AUDIT

The Board is committed to provide a fair and objective assessment of the financial position and prospects of the Group in the quarterly financial results, annual financial statements, Annual Reports and all other reports or statements to shareholders, investors and relevant regulatory authorities. The Board is assisted by the Audit Committee to oversee the Group's financial reporting processes and the quality of its financial reporting.

The Statement of Directors' Responsibility, in respect of preparation of the annual audited financial statements, is set out on page 72 of this Annual Report.

The Directors are also responsible for safeguarding the assets of the Group and taking reasonable steps to ensure that appropriate system are in place to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT

AUDIT COMMITTEE

The AC of the Group comprises four (4) Independent Non-Executive Directors. The AC is chaired by Elaine Foong Sooi Jade. She is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants.

The composition of the AC is reviewed by the NRC and recommended to the Board for its approval annually. With the view to maintain an independent and effective AC, the NRC ensures that only an Independent NED who is financially literate and has strong understanding of the Group's business would be considered for membership on AC.

The AC is relied upon by the Board to, amongst others, provide advice in the areas of financial reporting, external audit, internal control environment and internal audit process, review of related party transactions as well as conflict of interest situation. The AC also undertakes to provide oversight on the risk management framework of the Group.

RISK MANAGEMENT AND INTERNAL CONTROL FRAMEWORK

The Board is responsible for establishing and maintaining a sound risk management and internal control system to ensure that the shareholders' investments and assets of the Group are safeguarded. The Board through its Audit Committee evaluates the adequacy and effectiveness of the internal control system by reviewing audit findings, recommendations of internal auditor, management responses and actions taken on lapses.

The details of the Group's internal control systems and risk management framework are detailed in the Statement on Risk Management and Internal Control of this Annual Report.

The Group continues to maintain and review its internal control procedures to ensure, as far as possible, its assets and its shareholders' investments are protected.

PRINCIPAL C: INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS

COMMUNICATION WITH STAKEHOLDERS

The Group recognises the importance of being accountable to its stakeholders and investors through maintenance of an open communication policy. In ensuring effective communication, the Group communicates with its stakeholders and investors through various means and forums such as the annual report, company visits, site visits, shareholders' meetings, exhibition and other Group activities.

Any information that may be regarded as undisclosed material information about the Group will not be given to any single shareholder group. To ensure that shareholders and investors are well informed of major developments of the Group, information is disseminated to shareholders and investors through various disclosures and announcements to Bursa Securities which include quarterly financial results and press release from media. Such disclosures and announcements, as well as information pertaining to corporate governance are also available on the Group's website at www.n2nconnect.com.

CONDUCT OF GENERAL MEETINGS

The AGM is the principal forum for dialogue and interaction with its shareholders. To ensure effective participation of and engagement with shareholders at the AGM, all members of the Board were present at the meeting to respond to the questions raised by the shareholders. The senior management, company secretaries and external auditors of the Group were also present to respond to queries raised from the shareholders. The notice of the Eighteenth AGM was issued to shareholders more than 28 days before the AGM date.

The Group had conducted its voting on all resolutions at the Eighteenth (18th) Annual General Meeting held on 12 June 2019 by polling in line with the requirement of the ACE LR. An independent scrutineer was appointed to oversee the proceedings of the polling.

The minutes of the said AGM are accessible to the public for reference on N2N's website at www.n2nconnect.com.

This Corporate Governance Overview Statement was approved by the Board on 23 March 2020.

BOARD *of* DIRECTORS

Executive Directors

TIANG BOON HWA
LAI SU PING

Independent Non-Executive Directors

DATO' TAN BOON LENG
ELAINE FOONG SOOI JADE
GOH CHING CHEE
FATHI RIDZUAN BIN AHMAD FAUZI

Non-Independent Non-Executive Directors

MASASHI SHINDO
HIROAKI MORITA (appointed on 3 April 2020)

DIRECTORS' PROFILE

TIANG BOON HWA (ANDREW TIANG)

Managing Director, Founder

Mr. Tiang, 57, male, born in Singapore, joined N2N on 24 August 2000.

He holds a diploma in Computer Studies from the City & Guilds of London Institute, and has served as a Trainee Programmer at SGV Goh Tan Pte Ltd, Head of Regional IT Audit for the South Asian Region at Citibank, both Senior Consultant and Account Manager at Computer Associates Malaysia, Managing Director at Computer Associates Malaysia and Brunei, Regional Director at i2 Technologies Pte Ltd, and Lead at Exact Software Asia Sdn Bhd. He is currently an Adjunct Professor at the Management & Science University, Malaysia.

He is the spouse of Mdm. Lai Su Ping.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

LAI SUI PING (JOVELYN LAI)

Non-Independent Executive Director, Founder

Mdm. Lai, 49, female, born in Malaysia, joined N2N on 10 August 2000.

She holds a diploma from the Chartered Institute of Marketing, and has served as a Marketing Executive at Yonex Sdn Bhd, Project Executive at Kumpulan Jetson Bhd, and Channel Manager at Computer Associates Sdn Bhd. She is currently the Chairperson of the Option Committee of N2N.

She is the spouse of Mr. Tiang Boon Hwa.

She does not hold any directorships on the Board of other public listed companies in Malaysia. There is no conflict of interest with N2N. Within the last 5 years, she has not been convicted for any offences, other than traffic offences, if any.

DATO' TAN BOON LENG (BILLY TAN)

Independent Non-Executive Director

Dato' Tan, 54, male, born in Malaysia, joined N2N on 15 April 2009.

He holds a higher secondary school certificate, and has served as an Executive Director of Century Bond Bhd group of companies. He is currently the Chairman of the Nomination and Remuneration Committee, and a member of the Audit Committee of N2N.

He does not hold any directorships on the Board of other public listed companies in Malaysia. He has no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

ELAINE FOONG SOOI JADE (ELAINE FOONG)

Independent Non-Executive Director

Mdm. Foong, 44, female, born in Malaysia, joined N2N on 15 March 2016.

She is a fellow member of The Association of Chartered Certified Accountants (FCCA), and a member of the Malaysian Institute of Accountants (MIA), and has served as the Head of Finance at N2N Connect Bhd, a member of the audit and assurance division at Messrs. KPMG, Malaysia, and Audit Team Lead at Messrs. Chio Lim & Associates, Singapore. To date, she is the co-partner and chief trainer at Pinoki Brain Training Network. She is currently the Chairperson of the Audit Committee, a member of the Nomination and Remuneration Committee, and a member of the Option Committee of N2N.

She does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, she has not been convicted for any offences, other than traffic offences, if any.

GOH CHING CHEE

Independent Non-Executive Director

Mr. Goh, 60, male, born in Malaysia, joined N2N on 5 January 2018.

He holds qualifications in Computer Programming & Information Processing from both the City & Guilds of London Institute and Mensa Institute of Computer Studies, qualifications from the Institute of Data Processing Management and Institut Bank Bank Malaysia, and has served as both the Executive Vice President and Managing Director of Mortgage Business at Citibank for Malaysia and Thailand, and the Business Development Head at Zenith Properties. He is currently a member of the Nomination and Remuneration Committee, and Audit Committee of N2N. He also sits on the board of India International Bank (Malaysia) Berhad.

He has no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

FATHI RIDZUAN BIN AHMAD FAUZI (ENCIK FATHI)

Independent Non-Executive Director

En. Ridzuan, 55, male, born in Malaysia, joined N2N on 30 May 2018.

He holds a bachelor's degree in Accounting and Financial Analysis from the School of Industrial and Business Studies, University of Warwick, and has served as Head of Exchanges and various positions at Bursa Malaysia Bhd, Chief Financial Officer at VADS Bhd, Chief Operating Officer and Chief Financial Officer of Malaysia Investment Bank Bhd, Managing Director of IX.com Sdn Bhd, and Deputy Chairman and Managing Director at FNW Capital Partners Sdn Bhd. To date, he is the Group Chief Executive Officer at Pradotec Corporation Sdn Bhd. He is currently a member of the Audit Committee of N2N. He also sits on the board of Advancecon Holdings Bhd and Jiankun International Bhd.

He has no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

MASASHI SHINDO (SHINDO-SAN)

Non-Independent Non-Executive Director

Mr. Shindo, 59, male, born in Japan, joined N2N on 30 March 2017.

He holds a bachelor's degree in Sociology from Tokyo University, and has served as General Manager of Global Business Bureau at Nikkei. To date, he is the Managing Executive Officer at Nikkei Inc., and Managing Director at Nikkei Group Asia Pte Ltd.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

HIROAKI MORITA (MORITA-SAN)

Non-Independent Non-Executive Director

Mr. Morita, 57, male, born in Japan, joined N2N on 3 April 2020.

He holds bachelor's degree in Law from the Meiji Gakuin University, in Accounting & Finance from the University of Pittsburgh, a Master's in Business Administration at Joseph M Katz Graduate School of Business, and has served as Executive Officer at SBI Holdings, Inc., Director at SBI Incubation Co., Ltd., SBI Venture Two Co., Ltd., Quark Pharmaceutical Inc., Commercial Controller and Financial Controller at GE Healthcare Japan Co., Ltd, Vice President at Seiyu Wal-Mart Japan, Managing Director at Huron Consulting Group, Ltd., Audit Senior Manager and Audit Associate Partner at KPMG AZSA&CO, Audit Manager at Deloitte & Touche LLP, and Insurance Supervisor at JALUX Inc. To date, he is the Chief Financial Officer of SBI Japannext Co., Ltd. He is currently a member of the American Institute of Certified Public Accountants (AICPA).

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

KEY SENIOR MANAGEMENT

TIANG BOON HWA (ANDREW TIANG)

Managing Director, Founder

Please refer to Directors' Profile section for Tiang Boon Hwa's profile.

LAI SUI PING (JOVELYN LAI)

Non-Independent Executive Director, Founder

Please refer to Directors' Profile section for Lai Su Ping's profile.

KOK WAN CHUN (CHRIS KOK)

Chief Financial Officer

Mr. Kok, 52, male, born in Malaysia, joined N2N on 2 May 2018.

He holds a diploma in Financial Accounting from Tunku Abdul Rahman College, and has served as a Senior Finance Manager at N2N Connect Bhd, Chief Operating Officer, Accounts Assistant, and Financial Controller at Patimas (MD) Sdn Bhd, General Manager of Sales & Operations at Corcoda Corporation, and a sessional lecturer at Sunway University and Monash University. He currently holds a professional accounting qualification from the Association of Chartered Certified Accountants.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

TEE KOK KEONG (RALPH TEE)

Chief Technology Officer

Mr. Tee, 47, male, born in Malaysia, joined N2N on 1 April 2019.

He holds a strong knowledge in the detail behind various types of technology, and has served as Director at R.E. Solutions Sdn Bhd, Director at Quantrum Alliance Sdn Bhd, Director at Iomentus Software Technologies Sdn Bhd, and Director at Geopulse Solutions Sdn Bhd.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

CHAN SEE WAI

Technical Director, Founder

Mr. Chan, 47, male, born in Malaysia, joined N2N on 2 January 2004.

He holds a bachelor's degree in Computer Science from the Western Michigan University, and has served as a Software Engineer at both the Federal Computer System Sdn Bhd and BASS Consulting Sdn Bhd.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

LAI WEI SUEN

Regional Head

Mr. Lai, 47, male, born in Malaysia, joined N2N on 3 May 2011 .

He holds a bachelor's degree in Computer Science from the University of Hertfordshire, and has served as both Lead Implementation and Principal Consultant at N2N Connect Bhd, Presales Consultant at Cybertouched Sdn Bhd, Development Lead at Abacus International Pte Ltd, and Senior Consultant at ID Pte Ltd.

He is the younger brother of Mdm. Lai Su Ping.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

LOH TAI HAI (JUNIOR LOH)

Head of Sales

Mr. Loh, 47, male, born in Malaysia, joined N2N on 1 December 2014.

He holds a Bachelor's in Computer Science from the University of Manchester, and has served as Head Sales & Marketing at Excel Force MSC Bhd, Vice President Operations at Matrix Co. Ltd, Business Solutions Director at TrinityCrux Sdn Bhd, and Head of Sales & Pre-sales, Head of Consultant, Head of Development, Head of Application, Application Specialists and Application Engineer at Patimas Computers Bhd.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

LI KA FUK (JAGON LI)

Country Manager

Mr. Li, 46, male, born in Hong Kong, joined N2N on 16 April 2015.

He holds a bachelor's degree in Engineering from the Chinese University of Hong Kong, and has served as a Project Manager, and Senior Manager at AFE Ltd, System Consultant at Sulcus Hospitality Ltd, Computing Officer at The Hong Kong Institution of Engineers, Project Manager at Systek Information Technology Ltd, and a Trader at Masterlink Securities Ltd.

He does not hold any directorships on the Board of other public listed companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

The Board is pleased to set out below the Board's Statement on Risk Management and Internal Control ("Statement") which is prepared in accordance with Rule 15.26(b) of the ACE Market Listing Requirements, Malaysian Code on Corporate Governance 2017 and as guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers ("Guidelines"). This Statement outlines the nature and scope of risk management and internal control of the Group. The Group does not have material associates and joint ventures that need to be dealt with and considered in making this Statement.

BOARD RESPONSIBILITY

The Board is responsible for the Group's overall systems of risk management and internal control and for reviewing the adequacy and integrity of these systems, excluding Associate companies which are not within the Group's control. The systems of risk management and internal control covers not only the financial control but also operational, commercial and compliance controls.

Presently, the Board uses the following review mechanism to consider the effectiveness of the systems of risk management and internal control in the Group. This review mechanism is primarily spearheaded by the Audit Committee.

(i) The AC reviews the financial information and reports. In this case, the AC, in consultation with the management, deliberates the integrity of the financial results, annual report and audited financial statements. At the same time, the AC seeks feedback from the External Auditors on risk and control related to the financial statements before and after the completion of the annual statutory financial audit;

(ii) The AC reviews the audit findings reported by the Internal Auditors. The criticality of the audit findings; the recommended corrective and improvement actions; and the deadline for management implementation are evaluated with the presence of management during the AC meetings. Subsequently, follow-up reviews are conducted by the Internal Auditors and the status of implementation are reported to the AC;

(iii) Management briefing to the Board during the board meetings on business and operational matters. This briefing enables the Board to obtain clarification from management on their action plans in mitigating and managing the on-going business and operational challenges; and

(iv) Annual management assurance that the Group's risk management and internal control systems are operating adequately and effectively, in all material respects.

RISK MANAGEMENT FRAMEWORK

Management is an integral and critical part of risk management in the operations of the Group.

The experience, knowledge and expertise of the senior management in the operation help the Group in managing and making well-informed decisions in formulating and implementing appropriate action plans to accomplish the Group's business objectives. On the other hand, at the departmental level, day-to-day activities and their risks in respect of financial, commercial, legal compliance and operation of the Group are identified, monitored and managed by the respective Heads of Department.

Information security risk is the inherent and principal risk of the Group. In order to manage this risk, subsidiaries of N2N; N2N Connect Berhad, N2N Global Solutions Sdn. Bhd. and NGN Connection Sdn. Bhd., have implemented ISO 27001:2013 on Information Security Management System (ISMS) as the foundation for maintaining adequate measures in the data centre, software development, operation support and helpdesk and central quality assurance processes. The ISMS also defines the processes for risk management such as identifications of key business, determination of

mitigation controls and risk treatment plan, periodic review and revision of the existing risk management practices which are in line the international risk management framework. Annually, surveillance audit by external certification body is carried out to ascertain the integrity of this management system.

As reported in the unaudited financial result, the Group has experienced softer trading activity in the Malaysian securities market in the current year which has affected the Group's revenue and profit. In order to address this challenge, the Group leveraged on its Asia e-Broker and Asia Trading Hub to increase its cross border trading income and at the same time to continue to strengthen its talents pool locally and regionally with its long term incentive plan.

KEY INTERNAL CONTROLS

In order to support the risk management framework, the Group management continues to maintain the following essential systems of internal control in the Group:

- Defined terms of reference, authorities and responsibilities of the various Board committees to oversee the integrity of audit and financial reporting; Board and senior management appointment, performance, and remuneration;

- Defined organisational structure with lines of authority, accountability and responsibilities of the Management team;

- The Group's performance is monitored, and business objectives and plans are reviewed in the management meetings attended by division and business unit heads. The MD and the Executive Directors meet regularly with the Senior Management to consider the Group's financial performance, business initiatives and other management and corporate issues;

- Management accounts generated in respect of the business and operating units. These accounts are prepared timely and on a monthly basis, and is reviewed by the MD, Executive Director and Senior Management;

- The MD, Executive Director and Senior Management are closely involved in the running of the business and operations of the Group. They report to the Board on significant changes in the business and external environment which may affect the operations of the Group at large;

- Review of all proposals for material capital and investment opportunities by the MD, Executive Director and Senior Management and approval for the same by the Board;

- Performance management system is in place with established key performance indicators to measure and review staff performances annually. The competency of staff is enhanced with the provision of training and development programs; and

- Potential financial risk exposure resulting from the IT security operation, data centre activities, fire, professional indemnity, product liability machines equipment, and public liability are insured to minimise the Group's financial exposure and loss.

- Review by the Audit Committee of audit and internal control issues identified by the External and Internal Auditors and action taken by the Management in respect of the findings arising therefrom.

INTERNAL AUDIT FUNCTION

The Company has outsourced its internal audit function to an internal audit consulting firm. The Internal Auditors have conducted their assessment based on the broad principles of the International Professional Practice Framework of the Institute of Internal Auditors covering the conduct of the audit planning, execution, documentations, communication of findings and consultation with key stakeholders.

Functionally, the Internal Auditors carry out their work based on the approved internal audit plan and report to the AC independently and directly. All audit findings arising therefrom are reported to the AC on a quarterly basis. Further detail of the internal audit activities are reported in the AC Report on page xxx.

The total cost incurred on internal audit for the financial year ended 31 December 2019 was approximately RM62,000.

MANAGEMENT RESPONSIBILITIES AND ASSURANCE

In accordance with the Bursa Securities Guidelines, the management is responsible for identifying risks, implementing and maintaining sound systems of risk management and internal control, and monitoring and reporting to the Board of significant control deficiencies and changes in risks that could significantly affect the Group's achievement of its objectives and performance.

The Board has received assurance from the MD and CFO, who are responsible for the financial management of the Group, that risk management, and the internal control system operate adequately and effectively, in all material respect.

BOARD ASSURANCE AND LIMITATION

For the financial year ended 31 December 2019, the Board is of the view that the systems of risk management and internal control are adequate and effective. There was no material weakness and/or reported shortfall in the risk management practices and internal control systems which have resulted and/or given rise to any material loss, contingency and/or uncertainty during the financial year under review and up to the date of approval of this Statement.

Nevertheless, the Board recognises that the Group's systems of risk management and internal control must continuously evolve to support the growth and dynamics of the Group as well as to meet the changing and challenging business environment. As such, the Board, in striving for continuous improvement, will put in place appropriate action plans to further enhance the system of risk management and internal controls in the Group.

Despite the above, it should be noted that all risk management and internal control systems could only manage rather than eliminate risks of failure to achieve business objectives. Therefore, the systems of risk management and internal control in the Group can only provide reasonable but not absolute assurance against material misstatements, frauds and losses.

REVIEW BY EXTERNAL AUDITORS

Pursuant to Rule 15.23 of the ACE Market Listing Requirements, the External Auditors have reviewed the Statement on Risk Management and Internal Control for inclusion in the Annual Report for the financial year ended 31 December 2019. Their review was performed in accordance with Recommended Practice Guide 5 (Revised 2015): Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in the Annual Report, issued by the Malaysian Institute of Accountants.

The External Auditors have reported to the Board that nothing has come to their attention that causes them to believe that this Statement is inconsistent with their understanding of the process the Board has adopted in the review of the adequacy and integrity of risk management and internal control of the Group.

This Statement is made in accordance with the resolution and approval of the Board dated 23 March 2020.

AUDIT COMMITTEE REPORT

The Board of N2N is pleased to present the report of the AC for the financial year ended 31 December 2019.

MEMBERS AND MEETING ATTENDANCES

The AC comprised the following four (4) members during the financial year ended 31 December 2019, all of whom are Independent Non-Executive Directors ("INED"):

Chairperson : Elaine Foong Sooi Jade
Members : Dato' Tan Boon Leng
Goh Ching Chee
Fathi Ridzuan Bin Ahmad Fauzi (Appointed on 26/3/2019)

The AC Chairperson, Elaine Foong Sooi Jade, is an INED. As Mdm. Foong is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants, the Company also complies with Paragraph 15.09(1) of the ACE Market Listing Requirements.

The AC does not comprise of any Alternate Director.

The AC held five (5) meetings during the financial year ended 31 December 2019. The details of attendance of the members are as follows:

Name	Attendance
Elaine Foong Sooi Jade	5/5
Dato' Tan Boon Leng	5/5
Goh Ching Chee	5/5
Fathi Ridzuan Bin Ahmand Fauzi	3/3

Note : En. Fathi Ridzuan Bin Ahmad Fauzi was appointed to the Audit Committee on 26 March 2019.

The AC meetings were convened with proper notices and agenda, and these were distributed to all members of the AC with sufficient notification. All deliberations during the AC meetings were recorded. Minutes of the AC meetings were tabled for confirmation at every succeeding AC meeting, and subsequently presented to the Board for notation.

The Committee also invited the Executive Directors and Management to attend the AC meetings in order to keep abreast of matters and issues pertaining to the Group. The AC Chairperson also conveyed to the Board matters of significant concern as and when raised by the Internal Auditors or External Auditors.

SUMMARY OF ACTIVITIES AND WORK OF THE AUDIT COMMITTEE

During the financial year ended 31 December 2019, the AC had discharged its duties and responsibilities as set out in its Terms of Reference as follows:

- Financial Reporting

  (a) Reviewed the quarterly financial statements including the draft announcements pertaining thereto and made recommendations to the Board for approval.

  (b) Discussed with the Management and External Auditors on the financial reporting standards that were applied, including the judgements exercised in the application of those standards that may affect the financial statements as well as issues arising from the statutory audit.

  (c) Reviewed the audited financial statements of the Group and the Company for the financial year ended 31 December 2018 together with the Management and the External Auditors to ensure that it presented a true and fair view of the Group's and the Company's financial position and performance for the year, and is in compliance with all disclosure and regulatory requirements before recommending the audited financial statements to the Board for approval.

- External Audit

  (a) Evaluated the performance, suitability and independence of the External Auditors. The External Auditors had provided a declaration of independence and their compliance with the relevant ethical requirements regarding professional independence. Being satisfied with the performance, suitability and the audit independence of the External Auditors, the AC had recommended to the Board to recommend the re-appointment of Messrs. Morison AAC PLT (formerly known as Morison Anuarul Azizan Chew) as External Auditors of the Group.

  (b) Reviewed with the External Auditors; the audit status reports, results of the annual audited financial statements, management letter and management's response to the findings of the External Auditors, and also the Auditors' report to the shareholders.

  (c) Reviewed with the External Auditor; the Statement on Risk Management and Internal Control for inclusion in the Annual Report 2019.

  (d) Reviewed with the External Auditors; the statutory audit plan for the financial year ended 31 December 2019 and the proposed audit fees by the External Auditors.

- Internal Audit

  (a) Reviewed the adequacy of the scope, functions, competency and resources of the internal audit functions, and whether it has the necessary authority to carry out its work.

  (b) Reviewed the internal audit programme, processes, the results of the internal audit programme, processes or investigation undertaken, and whether or not appropriate action is taken on the recommendations of the internal audit function.

- Other Activity

  (a) Reviewed and recommended to the Board for approval, the AC Report, Statement on Risk Management and Internal Control for the Annual Report 2019.

In order to discharge the above duties and responsibilities of the AC effectively, the AC had attended various seminars, training programs and conferences during the financial year. They were also briefed by the External Auditors on the latest accounting standards applicable to the Group. The list of training attended is disclosed in the Corporate Governance Overview Statement as set out in this Annual Report.

INTERNAL AUDIT FUNCTION

The Group does not have its own in-house Internal Audit function. The Company's internal audit function is outsourced to IA Essential Sdn Bhd, an independent professional service firm, to assist the AC in discharging its duties and responsibilities.

The principal responsibility of the Internal Auditors is to undertake regular and systematic reviews of the system of internal control so as to provide reasonable assurance that the system is adequate, effective and continues to operate satisfactorily.

The internal audit function reviews the key controls and its adequacy in responding to risks within the organisation's governance, operations and information system, assess principal risks and plans of action to address these risks, and recommends improvements to the existing systems and controls. In addition, the Internal Auditors performed follow-ups on outstanding issues arising from prior audits.

A summary of work of the internal audit function for the financial year ended 31 December 2019 covered the following areas:

- Performed internal audit work on the following areas:

  (a) Human Resource function
  (b) Property Administration function
  (c) Follow-up audit

- Reviewed the Statement on Risk Management and Internal Control.

The internal audit reviews performed during the financial year ended 31 December 2019 did not reveal deficiency that have resulted in any material losses, contingencies or uncertainties that would require separate disclosure in this Annual Report.

The cost incurred for the internal audit function in respect of the financial year ended 31 December 2019 was approximately RM 62,000.

TERMS OF REFERENCE OF THE AUDIT COMMITTEE

The terms of reference of the AC is available on the Group's website at www.n2nconnect.com.

NOMINATION & REMUNERATION COMMITTEE STATEMENT

The Board of Directors of N2N Connect Berhad is pleased to present the report of the NRC for the financial year ended 31 December 2019.

The NRC comprised the following three (3) members during the financial year ended 31 December 2019, all of whom are INED:

Chairman : Dato' Tan Boon Leng
Members : Elaine Foong Sooi Jade
Goh Ching Chee

During the financial year ended 31 December 2019, two (2) Nomination and Remuneration Committee Meetings were held. All members of the NRC attended the meetings.

MEMBERSHIP

- The Committee and its Chairman shall be appointed by the Board from amongst its number and shall comprise not less than two (2) members, consisting exclusively of non-executive directors, a majority of whom are independent; and

- The Chairman shall be an Independent Director or the Senior Independent Director, where such person has been appointed / identified by the Board.

MEETINGS

- Meetings shall be held at least once (1) a year with a minimum quorum of two (2) members. Additional meetings may be called at any time at the discretion of the Chairman of the Committee;

- Directors, whether Executive or Non-Executive, should not participate in decisions on their own remuneration packages;

- Directors should not participate in the deliberation and decision on their own re-election/re-appointment;

- The Company Secretaries shall be the Secretary of the Committee;

- The proceedings and deliberations of each Committee meeting shall be reported to the Board by the Chairman of the Committee; and

- The minutes of each Committee meeting shall be circulated to the Board.

AUTHORITY

The Committee is authorized by the Board to obtain independent professional or other advice at the Group's expense and to invite outsiders with relevant experience and expertise to attend meetings if it considers this necessary.

DUTIES AND RESPONSIBILITIES

The Committee shall have the following duties and responsibilities, in addition to any others that may be assigned by the Board from time to time:

- Review the required mix of skills, experience, independence, diversity and other qualities, including core competencies which Directors (both Executive and Non-Executive) should bring to the Board;

- Recommend to the Board, candidates for all directorship to be filled;

- Recommend to the Board, the candidates to fill the seats on Board Committees;

- Examine the size of the Board with a view to determine the impact of the number upon its effectiveness;

- Assess the effectiveness of the Board as a whole, the Committees of the Board, and the contributions of each individual Director;

- Review the term of office and performance of AC and each of its members to determine whether the Committee and its members have carried out their duties in accordance with their terms of reference; and

- Review and recommend to the Board, the annual remuneration package of each individual Director (both Executive and Non-Executive) of the Group, such that the levels of remuneration are sufficient to attract and retain the Directors needed to run the Group successfully.

The Committee's focus is on strengthening, balancing and understanding the range of skills, experience and diversity of the Board. The Committee is responsible for making recommendations to the Board on the composition of the Board and its Committees, on retirements, appointments of additional and replacement directors and on succession planning.

POLICY ON BOARD COMPOSITION

The policy on the Board's composition is disclosed in the Board Charter.

The Board does not have any gender diversity policies and targets or any set measures to meet any target. Nevertheless, the Group is an equal opportunity employer and all appointments and employments are based strictly on merits and are not driven by any racial or gender bias.

POLICY ON REMUNERATING THE BOARD

The Committee will take into consideration the following criteria when reviewing and recommending remuneration packages for the Executive Directors and Non-Executive Directors:

- Director's fiduciary duties
- Time commitments
- Group's performances

The director fees shall be recommended to be approved by an Ordinary Resolution of the Company in a general meeting.

The review of the Directors' remuneration will be carried out by the NRC on an annual basis for the approval of the Board.

For the financial year ended 31 December 2019, the Committee reviewed the following :

- the Directors' fees for the financial years ended 31 December 2018 and 2019,
- the benefits payable to the Directors from 1 January 2019 to the next Annual General Meeting in 2020;
- performance related bonus for the year 2018 and remuneration package for the Managing Director for the year 2019; and
- the Remuneration Policy and Procedures for the Directors and Senior Management and recommended the same for the Board's approval.

BOARD NOMINATION AND ELECTION PROCESS

The key steps in the process are as follows:

- The Committee considers the knowledge and experience required for the role, taking into account the strategy of the Group and its businesses as well as the criteria set by the Board.
- The Committee evaluates the potential candidates based on the identified requirements.
- The Committee recommends the shortlisted candidate for the Board's approval.

For the financial year ended 31 December 2019, the Committee recommended the appointment of additional members to the AC and NRC. There was no appointment of additional Directors during the financial year ended 31 December 2019.

ASSESSMENT

For the financial year ended 31 December 2019, the Committee had reviewed the results of the assessment of the Board as a whole and of each individual Director. The result of the assessment was used as a guide to evaluate and review the composition and effectiveness of the Independent Directors, Executive Directors and Board Committee Members. The assessment of the Board and Directors were based on the following criteria:

INDIVIDUAL DIRECTOR :

- Understanding of role and responsibility
- Time commitment and dedication
- Understanding of the Group's business
- Contribution and participation in board discussion and decision-making
- Courtesy
- Self-development
- Independence

BOARD AS A WHOLE :

- Board structure
- Conduct of meetings
- Corporate strategy and planning
- Risk management and internal control
- Performance measurement and monitoring
- Recruitment and evaluation
- Compensation
- Financial reporting
- Shareholder communication

ASSESSMENT OF TRAINING NEEDS

The Committee has reviewed and assessed the trainings attended by the Directors for the financial year ended 31 December 2019, and have determined that the trainings attended were adequate.

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RELATION TO THE FINANCIAL STATEMENTS

The Directors are required by the Companies Act 2016 to prepare financial statements which give a true and fair view of the state of affairs of the Group at the end of each financial year and of their results and cash flows for the financial year then ended.

In order to ensure that the financial statements are properly drawn up, the Board has taken the following measures:-

- ensure the adoption of appropriate, adequate and applicable accounting standards and policies and applied them consistently;
- ensured that applicable approved accounting standards have been followed;
- where applicable, judgments and estimates are made on a reasonable and prudent basis; and
- upon due inquiry into the state of affairs of the Company, there are no material matters that may affect the ability of the Company to continue in business on a going concern basis.

The Board has ensured that the quarterly reports and annual audited financial statements of the Group are released to Bursa Malaysia Securities Berhad in a timely manner in order to keep our investing public informed of the Group's latest performance and developments.

The Board has also ensured that the Group maintains accounting records that disclose with reasonable accuracy the financial position of the Group, and which enable the Board to ensure the financial statements comply with the CA 2016.

The Board has taken the necessary steps that are reasonably available to the Board to safeguard the assets of the Group, and to prevent and detect fraud and other irregularities.

ADDITIONAL COMPLIANCE INFORMATION DISCLOSURES

SHARE BUY-BACK AND RESALE

During the financial year ended 31 December 2019, the Group purchased a total of 2,077,000 ordinary shares from the open market at an average price of RM 0.795 per share. The total consideration for the share buy-back was RM 1,656,250 and was financed by internally generated funds. There were 39,594,900 treasury shares as at 31 December 2019.

There was no resale or cancellation of treasury shares during the financial year. The shares repurchased are being held as treasury shares in accordance with Section 127 of the Companies Act, 2016.

OPTIONS, WARRANTS AND CONVERTIBLE SECURITIES

On 7 January 2019, 140,089,954 warrants were issued for free to entitled shareholders of the Company on the basis of 1 warrant for every 4 existing ordinary shares at an exercise price of RM0.83. During the financial year, a total of 260 Warrants were exercised at the price of RM0.83 per ordinary share.

Other than the above, there are no other options, warrants or convertible securities issued by the Company during the financial year in review.

LONG TERM INCENTIVE PLAN / EMPLOYEE SHARE OPTION SCHEME

On 12 December 2018, the shareholders approved of a Long Term Incentive Plan of up to 15% of the total number of issued shares of the company (excluding treasury shares, if any) for eligible executive directors and employees of N2N.

To date, no shares under this scheme has been issued.

NON-AUDIT FEES

During the financial year ended 31 December 2019, the External Auditors have rendered non-audit services to the Group.

The fees paid or payable to the External Auditors are as follows:

No.	Non-Audit Services	Amount (RM)
1	Review on Statement on Risk Management and Internal Control	5,000

MATERIAL CONTRACT

There were no material contracts involving directors and substantial shareholders during the financial year in review.

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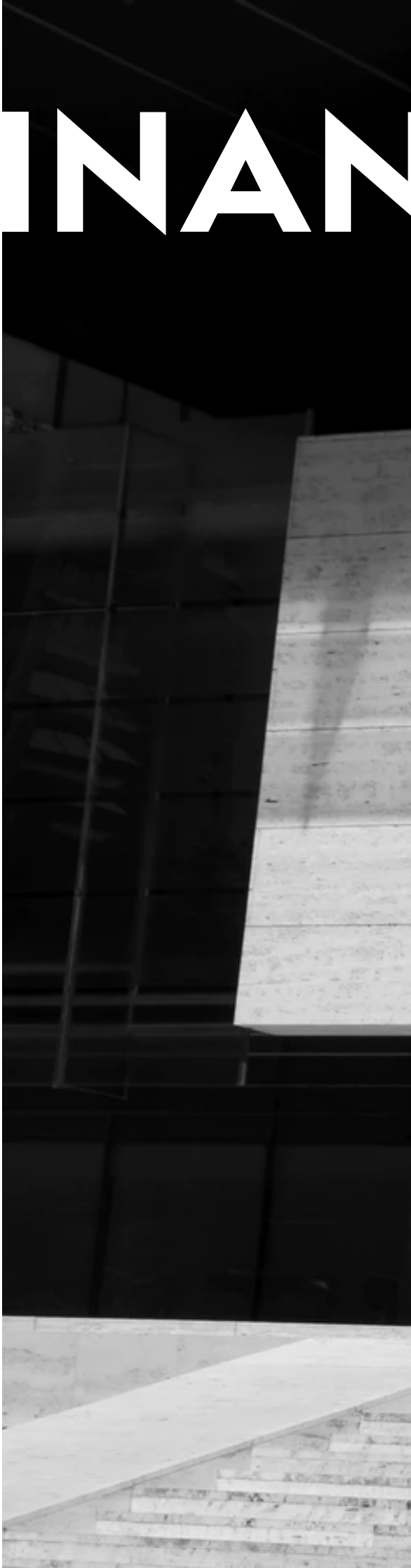

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NCIAL SECTION

DIRECTORS' REPORT

The Directors have pleasure in submitting their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2019.

Principal Activities

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of its subsidiary companies are disclosed in Note 6 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

Financial Results

	Group (RM)	Company (RM)
Profit for the financial year attributable to:		
Owners of the Company	15,686,933	8,174,983
Non-controlling interests	(425,506)	-
	15,261,427	8,174,983

Dividends

Since the end of the previous financial year, the Company paid a first interim single-tier dividend of 1 sen per share amounting to RM5,582,829 in respect of the financial year ended 31 December 2019 on 26 June 2019.

On 27 March 2020, the Directors declared a special dividend of 1 sen per ordinary share in respect of the financial year ended 31 December 2019 and a first interim dividend of 1 sen per ordinary share in respect of the financial year ending 31 December 2020. The financial statements for the current financial year do not reflect the special dividend and first interim dividend. These dividends, will be accounted for in equity as appropriations of retained earnings in the financial year ending 31 December 2020.

Reserves and Provisions

There were no material transfers to or from reserves and provisions during the financial year under review other than those disclosed in the financial statements.

Issue of Shares and Debentures

During the financial year, the issued and paid-up share capital of the Company was increased from 597,877,841 ordinary shares to 597,878,101 ordinary shares by the way of issuance of 260 new ordinary shares for cash pursuant to the exercise of warrants based on an exercise price of RM0.83 per ordinary shares.

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

There were no issuances of debentures by the Company during the financial year under review.

Warrants 2019/2024

On 15 January 2019, the Company issued 140,089,954 Warrants 2019/2024 ("Warrants") at an exercise price of RM0.83 each pursuant to a bonus issue of one warrant for every four existing ordinary shares held in the Company. During the financial year, 260 Warrants were exercised. As at 31 December 2019, there was a total of 140,089,694 unexercised warrants.

The salient features of the Warrants are disclosed in Note 21 to the financial statements.

Options Granted Over Unissued Shares

No options were granted to any person to take up unissued shares of the Company during the financial year under review.

Repurchase of Shares

The mandate given by the shareholders at the Annual General Meeting ("AGM") held on 24 May 2019 to renew the Company's plan to repurchase its own shares will expire at the forthcoming AGM and an ordinary resolution will be tabled at the forthcoming AGM for shareholders to renew the mandate for another year.

During the financial year, the Company repurchased 2,077,000 shares at the cost of RM1,656,250. All repurchases of shares were financed by the Company's internally generated funds.

As at 31 December 2019, the Company held 39,594,900 treasury shares.

Movement in the treasury shares is at follows:

	Number of shares	Amount (RM)	Average cost per share (RM)
At 1 January 2019	37,517,900	35,541,709	0.95
Repurchased during the financial year	2,077,000	1,656,250	0.80
At 31 December 2019	39,594,900	37,197,959	0.94

Directors

The Directors in office during the financial year and during the period from the end of the financial year to the date of this report are:

Tiang Boon Hwa
Lai Su Ping
Dato' Tan Boon Leng
Elaine Foong Sooi Jade
Masashi Shindo
Goh Ching Chee
Fathi Ridzuan bin Ahmad Fauzi
Akio Furuse (Resigned on 8 July 2019)
Hiroaki Morita (Appointed on 3 April 2020)

Directors' Interests in Shares or Debentures

According to the register of Directors' shareholdings required to be kept under Section 59 of the Companies Act, 2016, none of the Directors who held office at the end of the financial year held any shares in the Company or its subsidiaries or its holding company during the financial year except as follows:

	Number of ordinary shares			
	At 1.1.2019	Acquired	Disposed	At 31.12.2019
Interest in the Company:				
N2N Connect Berhad				
Direct interest				
Lai Su Ping	18,040,857	-	-	18,040,857
Tiang Boon Hwa	17,421,033	-	-	17,421,033
Goh Ching Chee	6,000,000	-	-	6,000,000
Dato' Tan Boon Leng	1,643,866	193,000	-	1,836,866
Fathi Ridzuan bin Ahmad Fauzi	4,000	-		4,000
Indirect interest				
Lai Su Ping [1]	109,043,128	-	-	109,043,128
Tiang Boon Hwa [2]	109,662,952	-	-	109,662,952
Dato' Tan Boon Leng [3]	791,366	-	-	791,366

	Number of warrants 2019/2024			
	At 1.1.2019	Acquired	Converted	At 31.12.2019
Interest in the Company:				
N2N Connect Berhad				
Direct interest				
Lai Su Ping	-	4,510,214	-	4,510,214
Tiang Boon Hwa	-	4,355,257	-	4,355,257
Goh Ching Chee	-	2,250,000	-	2,250,000
Dato' Tan Boon Leng	-	458,966	-	458,966
Fathi Ridzuan bin Ahmad Fauzi	-	1,000	-	1,000
Indirect interest				
Lai Su Ping [1]	-	27,260,780	-	27,260,780
Tiang Boon Hwa [2]	-	27,415,737	-	27,415,737
Dato' Tan Boon Leng [3]	-	197,841	-	197,841

Notes:

1 *Deemed interest through her spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016 and her direct interest in N2N Connect Holdings Sdn. Bhd. pursuant to Section 8 of the Companies Act, 2016.*

2 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016 and his direct interest in N2N Connect Holdings Sdn. Bhd. pursuant to Section 8 of the Companies Act, 2016.*

3 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016.*

By virtue of their interests in the shares of the Company, Lai Su Ping, Tiang Boon Hwa, Goh Ching Chee, Dato' Tan Boon Leng and Fathi Ridzuan bin Ahmad Fauzi are also deemed to have interests in the shares of all its subsidiary companies to the extent the Company has an interest.

Elaine Foong Sooi Jade and Masashi Shindo who held office at the end of the financial year do not have any interest in shares or debentures in the Company or its subsidiaries during the financial year under review.

Directors' Benefits

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by Directors as shown in the financial statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company or its subsidiary companies a party to any arrangement the object of which is to enable the Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

Directors' Remuneration

Details of Directors' remuneration are disclosed in Note 27 to the financial statements.

Subsidiary Companies

Details of subsidiary companies are disclosed in Note 6 to the financial statements.

Auditors' Remuneration

Details of auditors' remuneration are disclosed in Note 27 to the financial statements.

Other Statutory Information

(a) Before the financial statements of the Group and of the Company were prepared, the Directors took reasonable steps:

   (i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate provision had been made for impairment losses on receivables; and

   (ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the value of current assets as shown in the accounting records of the Group and of the Company have been written down to an amount which the current assets might be expected so to realise.

(b) At the date of this report, the Directors are not aware of any circumstances which would render:

   (i) the amount written off for bad debts or the amount of the provision for doubtful debts in the financial statements of the Group and of the Company inadequate to any substantial extent; or

   (ii) the values attributed to the current assets in the financial statements of the Group and of the Company misleading; or

Other Statutory Information (Continued)

(iii) adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate; or

(iv) any amount stated in the financial statements of the Group and of the Company misleading.

(c) No contingent or other liability of any company in the Group has become enforceable, or is likely to become enforceable, within the period of twelve months after the end of the financial year which, in the opinion of the Directors, will or may affect the ability of the Group and of the Company to meet their obligations when they fall due.

(d) At the date of this report, there does not exist:

(i) any charge on the assets of the Group or of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; or

(ii) any contingent liability of the Group or of the Company which has arisen since the end of the financial year.

(e) In the opinion of the Directors:

(i) the results of the operations of the Group and of the Company for the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Company for the financial year in which this report is made.

Subsequent Events

The subsequent events are disclosed in Note 38 to the financial statements.

Auditors

The auditors, Messrs. Morison AAC PLT (LLP0022843-LLA & AF001977) have expressed their willingness to accept re-appointment.

Morison AAC PLT (LLP0022843-LLA & AF001977) was registered on 8 January 2020 and with the effect from that date, Morison AAC (AF001977) which was formerly known as Morison Anuarul Azizan Chew (AF001977) a conventional partnership was converted to a limited liability partnership.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

LAI SU PING	TIANG BOON HWA

Melbourne, Australia

30 April 2020

STATEMENT BY DIRECTORS

Pursuant to Section 251(2) of the Companies Act, 2016

We, LAI SU PING and TIANG BOON HWA, being two of the Directors of N2N CONNECT BERHAD, do hereby state that, in the opinion of the Directors, the financial statements set out on pages 91 to 173 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia so as to give true and fair view of the financial position of the Group and of the Company as at 31 December 2019 and of their financial performance and cash flows for the financial year then ended.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

LAI SU PING	TIANG BOON HWA

Melbourne, Australia

30 April 2020

STATUTORY DECLARATION

Pursuant to Section 251(1) of the Companies Act, 2016

I, KOK WAN CHUN, being the Officer primarily responsible for the financial management of N2N CONNECT BERHAD, do solemnly and sincerely declare that the financial statements set out on pages 91 to 173 are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the above named KOK WAN CHUN)
at Kuala Lumpur in the state of)
Wilayah Persekutuan)
on this date of 30 April 2020

KOK WAN CHUN

Before me,

NOTARY PUBLIC

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF N2N CONNECT BERHAD

Registration No.: 200001020530 (523137-K)
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of N2N Connect Berhad, which comprise the statements of financial position as at 31 December 2019 of the Group and of the Company, and the statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 91 to 173.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Company as at 31 December 2019, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Company for the current year. We have determined that there are no key audit matters to communicate in our report in the financial statements of the Company. These matters were addressed in the context of our audit of the financial statements of the Group as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters (Continued)	How our audit addressed the key audit matter
Revenue recognition (Refer to Note 2.4(m) and Note 26 to the financial statements)	
We focused on this area because there is an inherent risk over the accuracy of application solutions revenue recorded, given the complexity of the pricing models for different customers and the varying tier-based charges arising from the volume of matched trades processed by the system.	Our audit procedures included controls testing and substantive procedures covering, in particular, the following: • We engaged an external independent IT audit expert to test the IT control environment, including application controls over the systems that processed matched trade information; • We assessed the appropriateness of the external independent IT audit experts' scope of work and evaluated whether they had sufficient expertise, capabilities and objectivity to perform the work; • We discussed with the management and the external independent IT audit experts on the IT environment and application controls over the processing of matched trade transactions; • We reviewed the working papers of the independent external IT audit experts and the reports they issued; • We traced a sample of matched trade information log back to the system's database used for raising bills; • We performed tests on accuracy of customer bill generation on a sample basis based on the pricing model and charges based on the signed contract terms; and • Traced and matched cash receipts on a sample of customers back to the sales invoice.

Key Audit Matters (Continued)	How our audit addressed the key audit matter
Goodwill impairment review (Refer to Note 2.3(i) and Note 8 to the financial statements)	
As at 31 December 2019, the Group recognised goodwill amounting to RM54,175,199 arising from the acquisition of N2N-AFE (Hong Kong) Limited ("N2N-AFE").	We evaluated management's impairment assessment and the process by which they were developed, including the assessed impact of the protracted Hong Kong protests during the financial year and its oversight of the impairment assessment by the Board of Directors.
Pursuant to MFRS 136 "Impairment of Assets", the Group is required to perform annual impairment assessment on its goodwill.	We challenged assumptions used in the impairment assessment model which, amongst others, include: • forecast revenue • forecast cost of sales and operating costs; • forecast capital expenditure; and • discount rates.
The Group estimated the recoverable amount of the cash-generating unit ("CGU") to which goodwill is allocated based on its value-in-use ("VIU").	Sensitivity analysis was performed on key assumptions used by management and we assessed the impact on the recoverable amount of the goodwill within a reasonable range.
In view of the significant carrying amount of the CGU (including goodwill), coupled with the complexity and subjectivity of the assumption involved in the annual impairment test, we consider this to be an audit focus.	We found that the forecast assumptions were consistent with our understanding. Based on the procedures performed, we did not find any material exceptions to the conclusions made by the Group on the impairment assessment of goodwill as at 31 December 2019.

Information Other than the Financial Statements and Auditors' Report Thereon

The Directors of the Company are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements of the Group and of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors of the Company are responsible for the preparation of financial statements of the Group and of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Group and of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Company, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

Auditors' Responsibilities for the Audit of the Financial Statements (Continued)

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Company, including the disclosures, and whether the financial statements of the Group and of the Company represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Company for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act, 2016 in Malaysia, we report that the subsidiaries of which we have not acted as auditors, are disclosed in Note 6 to the financial statements.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act, 2016 in Malaysia and for no other purpose. We do not assume any responsibility to any other person for the content of this report.

MORISON AAC PLT
(LLP0022843-LCA & AF 001977)
Chartered Accountants

CHEW LOONG JIN
Approved Number: 03279/03/2021 J
Chartered Accountant

KUALA LUMPUR

30 April 2020

STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2019

		Group		Company	
	Note	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Non-Current Assets					
Property, plant and equipment	3	31,525,192	33,425,226	23,689,396	24,426,123
Investment properties	4	9,962,832	10,197,149	9,962,832	10,197,149
Right-of-use assets	5	4,178,614	-	-	-
Investment in subsidiary companies	6	-	-	100,423,215	95,423,215
Investment in associates	7	7,368,720	8,042,767	8,330,840	8,330,840
Intangible assets	8	76,386,745	75,105,152	-	-
Amount owing by subsidiary companies	9	-	-	1,741,224	1,658,080
		129,422,103	126,770,294	144,147,507	140,035,407
Current Assets					
Trade receivables	10	22,982,633	16,661,279	62,438	4,144
Other receivables	11	9,775,508	7,164,575	578,634	1,055,481
Amount owing by subsidiary companies	9	-	-	39,321,649	33,654,591
Amount owing by related companies	12	262,911	409,397	215,784	398,380
Amount owing by an associate	13	1,235,125	681,008	54,535	11,156
Tax recoverable		2,481,457	431,605	2,074,274	431,605
Marketable securities	14	82,518,186	52,045,002	82,518,186	52,038,023
Financial assets at fair value through profit or loss	15	115,917	114,289	115,917	114,289
Deposits with licensed banks	16	350,930	341,337	350,930	341,337
Cash and bank balances		54,753,080	101,575,891	20,705,738	71,605,437
		174,475,747	179,424,383	145,998,085	159,654,443
Current Liabilities					
Trade payables	17	4,533,616	5,496,961	158,670	143,905
Other payables	18	10,068,531	16,404,127	769,191	6,530,667
Amount owing to a subsidiary company	9	-	-	4,977,795	-
Amount owing to related companies	12	76,063	24,542	424	-
Bank borrowings	19	9,095,556	9,191,111	9,095,556	9,191,111
Lease liabilities	20	1,187,362	-	-	-
Provision for taxation		3,542,866	2,655,602	-	-
		28,503,994	33,772,343	15,001,636	15,865,683
Net current assets		145,971,753	145,652,040	130,996,449	143,788,760
		275,393,856	272,422,334	275,143,956	283,824,167

STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2019 (CONTINUED)

		Group		Company	
	Note	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Financed By					
Share capital	21	260,987,119	260,986,903	260,987,119	260,986,903
Treasury shares	22	(37,197,959)	(35,541,709)	(37,197,959)	(35,541,709)
Exchange reserves	23	(8,025,152)	(7,563,337)	-	-
Retained profits		40,645,234	30,551,224	39,985,352	37,393,198
Equity attributable to owners of the Company		256,409,242	248,433,081	263,774,512	262,838,392
Non-controlling interests		(508,483)	(82,977)	-	-
Total Equity		255,900,759	248,350,104	263,774,512	262,838,392
Non-Current Liabilities					
Bank borrowings	19	11,369,444	20,680,000	11,369,444	20,680,000
Lease liabilities	20	3,277,679	-	-	-
Provision for retirement benefits	24	2,691,492	2,234,570	-	-
Deferred tax liabilities	25	2,154,482	1,157,660	-	305,775
		19,493,097	24,072,230	11,369,444	20,985,775
		275,393,856	272,422,334	275,143,956	283,824,167

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019

		Group		Company	
	Note	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Revenue	26	105,095,190	108,177,600	64,360	954,551
Cost of sales		(46,127,406)	(46,976,171)	(1,674)	(683,986)
Gross profit		58,967,784	61,141,429	62,686	270,565
Other operating income		5,602,070	4,005,803	16,070,370	54,392,582
Administration expenses		(45,127,217)	(43,808,734)	7,680,995	(7,639,622)
Finance costs		(1,376,100)	(1,840,089)	1,258,103	(1,840,089)
Share of associates' results		(499,370)	(207,658)	-	-
Profit before taxation	27	17,567,167	19,290,751	7,193,958	45,183,436
Taxation	28	(2,305,740)	(6,500,298)	981,025	(2,184,201)
Profit for the financial year		15,261,427	12,790,453	8,174,983	42,999,235
Other comprehensive income:					
Item that may be reclassified subsequently to profit or loss:					
• Exchange differences arising from translation of foreign operations		(461,815)	669,991	-	-
Item that may not be reclassified subsequently to profit or loss:					
• Remeasurement for long service payments, net of tax		(10,094)	495,197	-	-
Total comprehensive income for the financial year		14,789,518	13,955,641	8,174,983	42,999,235
Profit for the financial year attributable to:					
• Owners of the Company		15,686,933	13,155,890	8,174,983	42,999,235
• Non-controlling interests		(425,506)	(365,437)	-	-
		15,261,427	12,790,453	8,174,983	42,999,235
Total comprehensive income attributable to:					
• Owners of the Company		15,215,024	14,321,078	8,174,983	42,999,235
• Non-controlling interests		(425,506)	(365,437)	-	-
		14,789,518	13,955,641	8,174,983	42,999,235
Earnings per share attributable to owners of the Company:					
• Basic (sen)	29(a)	2.81	2.46		
• Diluted (sen)	29(b)	2.81	2.46		

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019

		Attributable to Owners of the Company						
			Non-distributable			Distributable		
Group	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Exchange Reserve (RM)**	**Retained Profits (RM)**	**Sub-Total (RM)**	**Non-Controlling interest (RM)**	**Total Equity (RM)**
At 1 January 2019		260,986,903	(35,541,709)	(7,563,337)	30,551,224	248,433,081	(82,977)	248,350,104
Issuance of shares pursuant to exercise of Warrants		216	-	-	-	216	-	216
Shares repurchased during the year held as treasury shares	22	-	(1,656,250)	-	-	(1,656,250)	-	(1,656,250)
Dividends	30	-	-	-	(5,582,829)	(5,582,829)	-	(5,582,829)
Profit for the financial year		-	-	-	15,686,933	15,686,933	(425,506)	15,261,427
Other comprehensive income:								
• Exchange differences arising from translation of foreign operations		-	-	(461,815)	-	(461,815)	-	(461,815)
• Remeasurement for long service payments, net of tax		-	-	-	(10,094)	(10,094)	-	(10,094)
Total comprehensive income for the financial year		-	-	(461,815)	15,676,839	15,215,024	(415,506)	14,789,518
At 31 December 2019		260,987,119	(37,197,959)	(8,025,152)	40,645,234	256,409,242	(508,483)	255,900,759

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019 (CONTINUED)

		Attributable to Owners of the Company							
			Non-distributable			Distributable			
Group	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Exchange Reserve (RM)**	**Warrants Reserve (RM)**	**Retained Profits (RM)**	**Sub-Total (RM)**	**Non-Controlling interest (RM)**	**Total Equity (RM)**
At 1 January 2018		163,640,704	(5,831,986)	(8,233,328)	1,383,126	38,303,583	189,262,099	282,460	189,544,559
Issuance of shares pursuant to:									
• Exercise of Warrants		32,294,410	-	-	(1,374,231)	-	30,920,179	-	30,920,179
• Private placement		65,051,789	-	-	-	-	65,051,789	-	65,051,789
Shares repurchased during the year held as treasury shares	22	-	(29,709,723)	-	-	-	(29,709,723)	-	(29,709,723)
Transfer of unexercised warrants reserve upon expiry		-	-	-	(8,895)	8,895	-	-	-
Dividends	30	-	-	-	-	(21,412,341)	(21,412,341)	-	(21,412,341)
Profit for the financial year		-	-	-	-	13,155,890	13,155,890	(365,437)	12,790,453
Other comprehensive income:									
• Exchange differences arising from translation of foreign operations		-	-	669,991	-	-	669,991	-	669,991
• Remeasurement for long service payments, net of tax		-	-	-	-	495,197	495,197	-	495,197
Total comprehensive income for the financial year		-	-	669,991	-	13,651,087	14,321,078	(365,437)	13,955,641
At 31 December 2018		260,986,903	(35,541,709)	(7,563,337)	-	30,551,224	248,433,081	(82,977)	248,350,104

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019 (CONTINUED)

			Non-distributable	Distributable	
Company	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Retained Profits (RM)**	**Total (RM)**
At 1 January 2019		260,986,903	(35,541,709)	37,393,198	262,838,392
Issuance of shares pursuant to exercise of Warrants		216	-	-	216
Shares repurchased during the year held as treasury shares	22	-	(1,656,250)	-	(1,656,250)
Dividends	30	-	-	(5,582,829)	(5,582,829)
Profit/Total comprehensive income for the financial year		-	-	8,174,983	8,174,983
At 31 December 2019		260,987,119	(37,197,959)	39,985,352	263,774,512

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019 (CONTINUED)

			Non-distributable		Distributable	
Company	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Warrants Reserve (RM)**	**Retained Profits (RM)**	**Total (RM)**
At 1 January 2018		163,640,704	(5,831,986)	1,383,126	15,797,409	174,989,253
Issuance of shares pursuant to:						
• Exercise of Warrants		32,294,410	-	(1,374,231)	-	30,920,179
• Private placement		65,051,789	-	-	-	65,051,789
Shares repurchased during the year held as treasury shares	22	-	(29,709,723)	-	-	(29,709,723)
Transfer of unexercised warrants reserve upon expiry		-	-	(8,895)	8,895	-
Dividends	30	-	-	-	(21,412,341)	(21,412,341)
Profit/Total comprehensive income for the financial year		-	-	-	42,999,235	42,999,235
At 31 December 2018		260,986,903	(35,541,709)	-	37,393,198	262,838,392

The accompanying notes form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019

Cash Flows From Operating Activities	2019 (RM)	2018 (RM)
Profit before taxation	17,567,167	19,290,751
Adjustments for:		
Amortisation of intangible assets	5,141,369	4,164,539
Depreciation of property, plant and equipment	5,454,828	5,896,706
Depreciation of investment properties	234,317	234,317
Depreciation of right-of-use assets	1,453,920	-
Fair value change on financial assets at fair value through profit and loss	(1,628)	201,872
Gain on disposal of property, plant and equipment	(4,000)	(29,120)
Bad debts written off	402,387	-
Impairment loss of trade receivables	1,234,709	754,587
Property, plant and equipment written off	1	17,023
Provision for long service payments	351,972	356,626
Share of associates' results	499,370	207,658
Unrealised foreign exchange (gain)/loss	(148,904)	379,850
Finance costs	1,376,100	1,840,089
Finance income	(335,446)	(698,936)
Dividend income	(3,371,015)	(1,943,567)
Operating profit before working capital changes	29,855,147	30,672,395
Changes in working capital:		
Trade receivables	(8,020,803)	(5,642,705)
Other receivables	(2,610,933)	(3,114,445)
Trade payables	(951,871)	(660,134)
Other payables	(6,335,596)	5,479
Amount owing by/(to) related companies	170,860	(150,696)
Amount owing by an associate	(554,117)	1,727,923
Amount owing to a corporate shareholder	-	(1,088,058)
	(18,302,460)	(8,922,636)
Cash generated from operations	11,552,687	21,749,759
Dividend received	3,371,015	1,943,567
Interest paid	(1,258,103)	(1,840,089)
Interest received	335,446	698,936
Tax refund	-	744,709
Tax paid	(2,249,223)	(5,906,403)
	199,135	(4,359,280)
Net cash generated from operating activities	11,751,822	17,390,479

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019 (CONTINUED)

Cash Flows From Investing Activities	**2019 (RM)**	**2018 (RM)**
Computer software development cost	(6,691,820)	(4,527,101)
Purchase of property, plant and equipment	(3,576,062)	(2,362,029)
Proceeds from disposal of property, plant and equipment	4,000	55,000
Net changes in marketable securities	(30,473,184)	(8,102,439)
Investment in associates	-	(8,330,840)
Net cash used in investing activities	(40,737,066)	(23,267,409)
Cash Flows From Financing Activities		
Dividend paid	(5,582,829)	(15,785,462)
(Decrease)/Increase in fixed deposit pledged	(9,593)	43,865,396
Proceeds from exercise of Warrants	216	30,920,179
Proceeds from private placement of shares	-	65,051,789
Repayment of bank borrowings	(9,162,778)	(40,095,001)
Payment for lease liabilities	(1,284,153)	-
Repurchase of treasury shares	(1,656,250)	(29,709,723)
Net cash (used in)/generated from financing activities	(17,695,387)	54,247,178
Net (decrease)/increase in cash and cash equivalents	(46,680,631)	48,370,248
Effect of exchange rate changes	(142,180)	47,589
Cash and cash equivalents at beginning of the financial year	101,575,891	53,158,054
Cash and cash equivalents at end of the financial year	54,753,080	101,575,891
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed banks	350,930	341,337
Cash and bank balances	54,753,080	101,575,891
	55,104,010	101,917,228
Less: Fixed deposits pledged to a licensed bank	(350,930)	(341,337)
	54,753,080	101,575,891

The accompanying notes form an integral part of the financial statements.

COMPANY STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019

Cash Flows From Operating Activities	2019 (RM)	2018 (RM)
Profit before taxation	7,193,958	45,183,436
Adjustments for:		
Amortisation of intangible asset	-	658,140
Depreciation of property, plant and equipment	981,919	994,726
Depreciation of investment properties	234,317	234,317
Fair value change on financial assets at fair value through profit and loss	(1,628)	201,872
Finance costs	1,258,103	1,840,089
Finance income	(242,224)	(514,620)
Dividend income	(10,000,814)	(51,932,900)
Unrealised foreign exchange (gain)/loss	(242,698)	494,363
Operating loss before working capital changes	(819,067)	(2,840,577)
Changes in working capital:		
Trade receivables	(58,294)	213,952
Other receivables	476,847	(721,502)
Trade payables	16,503	(64,600)
Other payables	(5,761,475)	(399,413)
Amount owing by subsidiary companies	(758,332)	(26,670,421)
Amount owing (to)/by related companies	177,066	(166,183)
Amount owing by an associate	(43,379)	-
Amount owing by a corporate shareholder	-	92,418
	(5,951,064)	(27,715,749)
Cash used in operations	(6,770,131)	(30,556,326)
Dividend received	10,000,814	51,932,900
Interest paid	(1,258,103)	(1,840,089)
Interest received	242,224	514,620
Tax paid	(967,419)	(4,068,067)
	8,017,516	46,539,364
Net cash generated from operating activities	1,247,385	15,983,038

COMPANY STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2019 (CONTINUED)

Cash Flows From Investing Activities	**2019 (RM)**	**2018 (RM)**
Computer software development cost	-	(658,897)
Purchase of property, plant and equipment	(245,192)	(107,643)
Proceeds from disposal of intangible assets	-	14,202,494
Net changes in marketable securities	(30,480,163)	(13,326,964)
Investment in a subsidiary company	(5,000,000)	-
Investment in an associate	-	(8,330,840)
Net cash used in investing activities	(35,725,355)	(8,221,850)
Cash Flows From Financing Activities		
Dividend paid	(5,582,829)	(15,785,462)
(Increase)/Decrease in fixed deposit pledged	(9,593)	43,865,396
Proceeds from exercise of Warrants	216	30,920,179
Proceeds from private placement of shares	-	65,051,789
Repayment of bank borrowings, net	(9,162,778)	(40,095,001)
Repurchase of treasury shares	(1,656,250)	(29,709,723)
Net cash (used in)/generated from financing activities	(16,411,234)	54,247,178
Net (decrease)/increase in cash and cash equivalents	(50,889,204)	62,008,366
Effect of exchange rate changes	(10,495)	83,482
Cash and cash equivalents at beginning of the financial year	71,605,437	9,513,589
Cash and cash equivalents at end of the financial year	20,705,738	71,605,437
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed bank	350,930	341,337
Cash and bank balances	20,705,738	71,605,437
	21,056,668	71,946,774
Less: Fixed deposits pledged to a licensed bank	(350,930)	(341,337)
	20,705,738	71,605,437

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of the subsidiary companies are disclosed in Note 6 to the financial statements.

The Company is a public limited liability company, incorporated under the Companies Act, 1965 and domiciled in Malaysia, and is listed on the ACE Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at 3rd Floor, No. 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur.

The principal place of business of the Company is located at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

2.1 Basis of preparation

The financial statements of the Group and of the Company have been prepared in accordance with the provisions of the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

The financial statements have been prepared under the historical cost convention except as disclosed in summary of significant accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amount of revenues and expenses during the reported period. It also requires Directors to exercise their judgment in the process of applying the Group's and Company's accounting policies. Although these estimates and judgment are based on the Directors' best knowledge of current events and actions, actual results may differ. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 2.3.

Accounting standards, amendments to accounting standards and IC interpretation that are effective for the Group's and the Company's financial year beginning on or after 1 January 2019 are as follows:

- MFRS 16, "Leases"
- Amendments to MFRS 3, "Business Combination" (Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 9, "Prepayment Features with Negative Compensation"
- Amendments to MFRS 11, "Joint Arrangement" (Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 112, "Income taxes" (Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 119, "Employee Benefits" (Plan amendment, curtailment or settlement)
- Amendments to MFRS 123, "Borrowing Costs" (Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 128, "Long-term Interests in Associates and Joint Ventures"
- IC Interpretation 23, "Uncertainty over Income Tax Treatments"

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.1 Basis of preparation (Continued)

The above accounting standards, amendments to accounting standards and IC interpretation effective during the financial year do not have any significant impact to the financial results and position of the Group and the Company.

Accounting standards, amendments to accounting standards, IC interpretation and amendments to IC interpretations that are applicable for the Group and the Company in the following periods but are not yet effective:

Annual periods beginning on/after 1 January 2020

- Amendments to References to the Conceptual Framework in MFRS Standards:

  - Amendments to MFRS 2, "Share Based Payments"
  - Amendments to MFRS 3, "Business Combinations"
  - Amendments to MFRS 6, "Exploration for and Evaluation of Mineral Resources"
  - Amendments to MFRS 14, "Regulatory Deferral Accounts"
  - Amendments to MFRS 101, "Presentation of Financial Statements"
  - Amendments to MFRS 108, "Accounting Policies, Changes in Accounting Estimates and Errors"
  - Amendments to MFRS 134, "Interim Financial Reporting"
  - Amendments to MFRS 137, "Provisions, Contingent Liabilities and Contingent Assets"
  - Amendments to MFRS 138, "Intangible Assets"
  - Amendments to IC Interpretation 12, "Service Concession Arrangements"
  - Amendments to IC Interpretation 19, "Extinguishing Financial Liabilities with Equity Instruments"
  - Amendments to IC Interpretation 20, "Stripping Costs in the Production Phase of a Surface Mine"
  - Amendments to IC Interpretation 22, "Foreign Currency Transactions and Advance Considerations"
  - Amendments to IC Interpretation 132, "Intangible Assets- Web Site Costs"

- Amendments to MFRS 3, "Business Combinations" (Definition of a Business)

- Amendments to MFRS Standards arising from Definition of Material:

  - Amendments to MFRS 101, "Presentation of Financial Statements"
  - Amendments to MFRS 108, "Accounting Policies, Changes in Accounting Estimates and Errors"

- Amendments to MFRS Standards arising from Interest Rate Benchmark Reform:

  - Amendments to MFRS 7, "Financial Instruments: Disclosures"
  - Amendments to MFRS 9, "Financial Instruments"
  - Amendments to MFRS 139, "Financial Instruments: Recognition and Measurement"

Annual periods beginning on/after 1 January 2021

- MFRS 17, "Insurance Contracts"

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.1 Basis of preparation (Continued)

Effective date yet to be determined by the Malaysian Accounting Standards Board

- Amendments to MFRS 10 and MFRS 128, "Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"

The above accounting standards, amendments to accounting standards, IC Interpretations and amendments to IC Interpretation do not have any significant impact to the financial statements of the Group and of the Company.

2.2 Basis of consolidation

(a) Subsidiary companies

Subsidiaries are entities, including structured entities, controlled by the Group. The Group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The Group considers it has de-facto power over an investee when, despite not having the majority of voting rights, it has the current ability in circumstances where the size of the Group's voting rights relative to the size and dispersion of holdings of other shareholders to direct the activities of the investee that significantly affect the investee's return.

Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

Business combinations are accounted for using the acquisition method on the acquisition date. The consideration transferred includes the fair value of assets transferred, equity interest issued by the Group and liabilities assumed. Identifiable assets acquired, liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of the acquiree's identifiable net assets.

Acquisition-related costs are recognised in the profit or loss as incurred.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recognised as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the profit or loss.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.2 Basis of consolidation (Continued)

(a) Subsidiary companies (Continued)

Inter-company transactions, balances and unrealised gains and losses on transactions between group companies are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions. Any difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Upon the loss of control of a subsidiary, the Group derecognises the assets and liabilities, any non-controlling interests and other components of equity related to the disposed subsidiary. Any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset depending on the level of influence retained.

(b) Associates

Associates are all entities over which the Group has significant influence but not control or joint control, over the financial and operating policies. Investments in associates are accounted for using the equity method of accounting. Under the equity method, the investment is initially recognised at cost. The Group's investment in associates includes goodwill identified on acquisition.

The Group's share of post-acquisition profit or loss is recognised in profit or loss and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income. Dividends received or receivable from an associate are recognised as a reduction in the carrying amount of the investment.

When the Group's share of losses in an associate equals or exceeds its interest in the associate, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

Profits and losses resulting from upstream and downstream transactions between the Group and its associate are recognised in the Group's financial statements only to the extent of unrelated investor's interests in the associates. Unrealised losses are eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been changed where necessary to ensure consistency with the policies adopted by the Group.

If the ownership interest in an associate is reduced but significant influence is retained, the proportionate share of the amounts previously recognised in other comprehensive income is reclassified to profit or loss where appropriate. Dilution gains or losses arising from investments in associates are recognised in profit or loss.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.2 Basis of consolidation (Continued)

(b) Associates (Continued)

The Group determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment if the carrying value exceeds the recoverable amount of the associate and recognises the difference as impairment losses in profit or loss.

2.3 Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's and the Company's accounting policies, reported amounts of assets, liabilities, income and expenses, and disclosures made. They are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key assumptions concerning the future and other key sources of estimation or uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

(i) Impairment of goodwill

The Group determines whether goodwill is impaired at least on an annual basis. This requires an estimation of the value in use of the cash-generating units to which the goodwill is allocated. Estimating the value in use requires the group to make an estimate of the expected future cash flows from the cash-generating unit and also to choose a suitable discount rate in order to calculate the present value of those cash flows.

(ii) Impairment of software development costs

Software development costs comprise salaries of personnel involved in the development and design of products.

The Group reviews the carrying amounts of software development costs as at the end of the reporting period to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount or value in use is estimated. Determining the value in use of software development costs requires the determination of future cash flows expected to be generated from the continued use, and ultimate disposition of such assets. Any resulting impairment loss could have a material adverse impact on the Group's financial position and results of operations.

Significant judgement in the estimation of the present value of future cash flows generated by the software development costs, which involve uncertainties and are significantly affected by assumptions used and judgement made regarding estimates of future cash flows and discount rates. Changes in assumptions could significantly affect the results of the Group's assessment for impairment of software development costs.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.3 Significant accounting estimates and judgements (Continued)

(iii) Measurement of expected credit loss allowance for financial assets

The loss allowances for financial assets are based on assumptions about risk of default and expected loss rates. The Group use judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward looking estimates at the end of reporting period.

(iv) Provision for long service payments

The Group estimates the liability in respect of the long service payments to its employees which require assumptions to be made in respect of future income levels, inflation and discount rate at the end of the reporting period to estimate the future cash outflows. The discount rate used in respect of the long service payment is 1.50%. Where expectations differ from the original estimates, the differences will impact the carrying amount of provision for long service payments.

(v) Extension and termination options

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option. Such extension or termination options are taken into consideration in determining the lease term if it is reasonably certain that it will be exercised. The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment. Significant judgements are used in determining the lease term over the extension or termination option.

2.4 Summary of significant accounting policies

(a) Investment in subsidiaries and associates

In the Company's separate financial statements, investments in subsidiaries and associates are carried at cost less accumulated impairment losses. On disposal of investments in subsidiaries and associates, the difference between disposal proceeds and the carrying amounts of the investment are recognised in profit or loss.

(b) Property, plant and equipment

(i) Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. The cost of an item of property, plant and equipment initially recognised includes its purchase price and any cost that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(b) Property, plant and equipment (Continued)

(i) Recognition and measurement (Continued)

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are recognised as expenses in profit or loss during the financial period in which they are incurred.

When significant parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposals are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised as net in the profit or loss.

(ii) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leasehold land and building are amortised over the period of the lease. The estimated useful lives are as follows:

Leasehold land	99 years
Leasehold building	50 years
Computer equipment	3 to 5 years
Office equipment	5 to 10 years
Furniture and fittings	5 to 10 years
Renovation	3 to 10 years
Motor vehicles	5 years

Depreciation methods, useful lives and residual values are reviewed at end of each reporting period, and adjusted as appropriate.

At the end of the reporting period, the Group assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write down is made if the carrying amount exceeds the recoverable amount.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(c) Investment properties

Investment properties are properties which are owned or held under a leasehold interest to earn rental income or for capital appreciation or for both. Properties that are occupied by the Group and the Company are accounted for as owner-occupied rather than as investment properties. Investment properties are measured initially at cost, including related transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses, consistent with the accounting policy for property, plant and equipment as stated in accounting policy Note 2.4(b) to the financial statements.

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful life of the properties. Leasehold land is amortised over the period of lease of 99 years and building is depreciated over their estimated useful life of 50 years.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the profit or loss in the financial year in which they arise.

(d) Impairment of non-financial assets

Assets that have an indefinite useful life, such as goodwill or intangible assets not ready to use, are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation and depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its related cash-generating unit exceeds its estimated recoverable amount.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(d) Impairment of non-financial assets (Continued)

Impairment losses are recognised in profit or loss unless it reverses a previous revaluation in which it is charged to the revaluation surplus. Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(e) Intangible assets

(i) Goodwill

Goodwill arises on the acquisition of subsidiaries and represents the excess of the consideration transferred over the Group's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units ("CGUs"), or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. Any impairment is recognised immediately as an expense and is not subsequently reversed.

(ii) Research and development costs

Internally generated development costs incurred for computer software that are directly attributable to a plan or design for the production of new or substantially improved identifiable products and processes are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(e) Intangible assets (Continued)

(ii) Research and development costs (Continued)

- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Capitalised development costs recognised as assets are amortised over its estimated useful lives of 5 to 10 years.

(iii) Club membership

Club membership that has an indefinite useful life held by the Group is stated at cost less provision for impairment.

(f) Cash and cash equivalents

Cash and cash equivalents consist of cash and bank balances and deposits with banks and highly liquid investments which have an insignificant risk of changes in fair value with original maturities of three month or less, and are used by the Group and the Company in the management of their short term commitments. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(g) Foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The financial statements are presented in Ringgit Malaysia ("RM"), which is the Company's functional and presentation currency.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(g) Foreign currencies (Continued)

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Non-monetary items denominated in foreign currencies measured at fair value are translated using the spot exchange rates at the date when the fair value was determined. Exchange differences arising on the translation of non-monetary items carried at fair value are included in profit or loss, except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised in other comprehensive income.

(iii) Foreign operations

The results and financial position of foreign operations that have a functional currency different from the presentation currency of the consolidated financial statements are translated into the presentation currency as follows:

- assets and liabilities of foreign operations are translated at the closing rate prevailing at the reporting date;
- income and expenses for each statement of profit and loss and other comprehensive income presented are translated at average exchange rates for the year, which approximates the exchange rates at the dates of the transactions; and
- all resulting exchange differences are taken directly to other comprehensive income through the exchange reserve.

Goodwill and fair value adjustments arising on the acquisitions of a foreign operation are treated as assets and liabilities of the foreign operation and are translated at the closing rate. Exchange differences arising are recognised in other comprehensive income.

On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation, recognised in other comprehensive income and accumulated in the separate component of equity are reclassified to profit or loss.

In the case of a partial disposal that does not result in the Group losing control over a subsidiary that includes a foreign operation, the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in profit or loss. For all other partial disposals (that is, reductions in the group's ownership interest in associates or joint ventures that do not result in the group losing significant influence or joint control) the proportionate share of the accumulated exchange difference is reclassified to profit or loss.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(g) Forign currencies (Continued)

(iii) Foreign operations (Continued)

In the consolidated financial statements, when settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, foreign exchange gains and losses arising from such a monetary item are considered to form part of a net investment in a foreign operation and are recognised in other comprehensive income through the exchange reserve.

(h) Financial assets

(i) Classification

The Group classifies its financial assets in the following measurement categories:

- Amortised cost;
- Fair value through other comprehensive income ("FVOCI"); and
- Fair value through profit or loss ("FVTPL")

The classification depends on the Group's business model for managing the financial assets as well as the contractual terms of the cash flows of the financial asset.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

The Group reclassifies debt instruments when and only when its business model for managing those assets changes.

(ii) Recognition and initial measurement

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset.

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

(iii) Subsequent measurement

<u>Debt instruments</u>

Debt instruments mainly comprise of trade and other receivables, amount owing by related companies, amount owing by an associate, amount owing by subsidiary companies, marketable securities and cash and cash equivalents.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(h) Financial assets (Continued)

(iii) Subsequent measurement (Continued)

Debt instruments (Continued)

There are three subsequent measurement categories, depending on the Group's business model for managing the asset and the cash flow characteristics of the asset:

- Amortised cost

  Debt instruments that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. A gain or loss on a debt instrument that is subsequently measured at amortised cost and is not part of a hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in interest income using the effective interest rate method.

- FVOCI

  Debt instruments that are held for collection of contractual cash flows and for sale, and where the assets' cash flows represent solely payments of principal and interest, are classified as FVOCI. Movements in fair values are recognised in Other Comprehensive Income ("OCI") and accumulated in fair value reserve, except for the recognition of impairment gains of losses, interest income and foreign exchange gains and losses, which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss. Interest income from these financial assets is recognised using the effective interest rate method in profit or loss.

- FVTPL

  Debt instruments that are held for trading as well as those that do not meet the criteria for classification as amortised cost or FVOCI are classified as FVTPL. Movement in fair values and interest income is recognised in profit or loss in the period in which it arises.

Equity instruments

The Group subsequently measures all its equity investments at fair value. Equity investments are classified as FVTPL with movements in their fair values recognised in profit or loss in the period in which the changes arise, except for those equity securities which are not held for trading The Group has elected to recognise changes in fair value of equity securities not held for trading in OCI as these are strategic investments and the Group considers this to be more relevant. Movements in fair values of investments classified as FVOCI are recognised in OCI. Dividends from equity investments are recognised in profit or loss when the Group's and Company's right to receive payments is established.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(h) Financial assets (Continued)

(iv) Impairment

The Group and the Company assess expected credit losses associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. Expected credit losses represent a probability-weighted estimate of the difference between present value of cash flows according to contract and present value of cash flows the Group and the Company expect to receive, over the remaining life of the financial instrument.

For trade receivables and contract assets, the Group applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

While cash and cash equivalents are also subject to the impairment requirements of MFRS 9, the identified impairment loss was immaterial.

In measuring expected credit losses, trade receivables and contract assets are grouped based on shared credit risk characteristics and days past due. The contract assets relate to unbilled work in progress, which have substantially the same risk characteristics as the trade receivables for the same type of contracts. The Group has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

In calculating the expected credit loss rates, the Group considers historical loss rates for each category of customers and adjusts to reflect current and forward-looking factors affecting the ability of the customers to settle the receivables.

The Group and the Company define a financial instrument as default, which is overdue above one year, when the debtor meets unlikeliness to pay criteria, which indicates the debtor is in significant financial difficulty. The Group and the Company consider the following instances:

- The debtor is in breach of financial covenants
- Concessions have been made by the Group and the Company related to the debtor's financial difficulty
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- The debtor is insolvent

Financial assets that are credit-impaired are assessed for impairment on an individual basis.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(h) Financial assets (Continued)

(iv) Impairment (Continued)

The Group and the Company write off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount. The Group and the Company may write-off financial assets that are still subject to enforcement activity.

(i) Financial liabilities

Financial liabilities are initially recognised at fair value net of transaction costs for all financial liabilities not carried at fair value through profit or loss. Finance liabilities carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

Fair value though profit or loss category comprises financial liabilities that are derivatives (except for a derivative that is a financial guarantee or a designated and effective hedging instrument) or financial liabilities that are specifically designated into this category upon initial recognition.

All financial liabilities are subsequently measured at amortised cost using the effective interest method other than those categorised as fair value through profit or loss.

Other financial liabilities categorised as fair value through profit or loss are subsequently measured at their fair values with the gain or loss recognised in profit or loss.

(j) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statements of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(k) Leases

(a) Accounting policies applied until 31 December 2018

(i) Accounting by lessee

Finance leases

Leases of property, plant and equipment where the Group and the Company has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments.

Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate of interest on the remaining balance of the liability. The corresponding rental obligations, net of finance charges, are included in other long-term payables. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The property, plant and equipment acquired under finance leases is depreciated over the shorter of the useful life of the asset and the lease term.

Initial direct costs incurred by the Group and the Company in negotiating and arranging finance leases are added to the carrying amount of the leased assets and recognised as an expense in profit or loss over the lease term on the same basis as the lease expense.

Operating leases

Leases of assets where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on the straight-line basis over the lease period.

(ii) Operating lease accounting by lessor

When assets are leased out under an operating lease, the asset is included and classified based on the nature of the asset. Lease income is recognised over the term of the lease on a straight-line basis.

(b) Accounting policies applied from 1 January 2019

(i) Accounting by lessee

Leases are recognised as right-of-use assets and a corresponding liability at the commencement date on which the leased asset is available for use by the Group and the Company.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(k) Leases (Continued)

(b) Accounting policies applied from 1 January 2019

(i) Accounting by lessee (Continued)

In determining the lease term, the Group and the Company considers all facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option. Extension or termination options are taken into consideration in determining the lease term if it is reasonably certain that the lease will be extended or terminated.

Right-of-use assets are initially measured at cost comprising the following:

- The amount of the initial measurement of lease liability;
- Any lease payments made at or before the commencement date less any lease incentive received;
- Any initial direct costs; and
- Decommissioning or restoration costs

Right-of-use assets are subsequently measured at cost, less accumulated depreciation and impairment loss. The right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group and the Company is reasonably certain that it will exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Lease liabilities are initially measured at the present value of the lease payments that are not paid at that date. The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, the lessee's incremental borrowing rate is used. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Short-term leases are leases with a lease term of 12 months or less. Payments associated with short-term leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss.

(ii) Accounting by lessor

The Group and the Company determines at lease inception whether each lease is a finance lease or operating lease. To classify each lease, the Group and the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset to the lessee.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(k) Leases (Continued)

(b) Accounting policies applied from 1 January 2019 (Continued)

(ii) Accounting by lessor (Continued)

Operating leases

The Group and the Company classifies a lease as an operating lease if the lease does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset to the lessee.

The Group and the Company recognises lease payments received under operating leases as lease income on a straight-line basis over the lease term.

(l) Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case the tax is also recognised in other comprehensive income or directly in equity, respectively.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable in respect of previous financial years.

Deferred tax is recognised, using the liability method, on temporary differences arising between the amounts attributed to assets and liabilities for tax purposes and their carrying amounts in the financial statements. However, deferred tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss. Deferred tax is determined using tax rates that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.

Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses or unused tax credits can be utilised.

Deferred and current tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(m) Revenue and income recognition

(i) Revenue from contracts with customers

Revenue is recognised by reference to each distinct performance obligation promised in the contract with customer when or as the Company transfers the control of the goods or services promised in a contract and the customer obtains control of the goods or services. Depending on the substance of the respective contract with customer, the control of the promised goods or services may transfer over time or at a point in time.

A contract with customer exists when the contract has commercial substance, the Company and its customer has approved the contract and intend to perform their respective obligations, the Company's and the customer's rights regarding the goods or services to be transferred and the payment terms can be identified, and it is probable that the Company will collect the consideration to which it will be entitled to in exchange of those goods or services.

The Group derives its revenue from providing business application solutions, financial network services and equipment rental. Revenue from provision of business application solutions includes income for installation of computer hardware and implementation of the Group's trading solution platform and service income for the subsequent usage of the managed service products. Revenue from provision of finance network services includes income for providing leased line and data center management services.

Implementation revenue

Revenue from implementation of trading solutions products is recognised when the Group satisfies a performance obligation by transferring a promised goods or services to a customer. An asset is transferred as and when the customer obtains control of that asset, which coincides with the delivery of goods and services and acceptance by customers.

Recurring revenue

Recurring revenue primarily consists of the service income for subsequent maintenance of the managed service products. This service is generally provided under subscription arrangements. Recurring revenue is recognised over the contract period.

Transaction revenue

Transaction revenue includes volume-based fees related to online trading transactions based on usage and recognised at a point in time. Transactions revenues may be billed in arrears and are classified as contract assets.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(m) Revenue and income recognition (Continued)

(i) Revenue from contracts with customers (Continued)

Managed network revenue

Managed network revenue includes service income for leased-line services and data center management to contract customers. A promised service is transferred as and when the service is delivered to customer and acceptance obtained from customers. Managed network revenue may be billed in advance and classified as contract liabilities.

Equipment rental

Equipment rental consists of monthly rental income for leasing of computer hardware to contract customers and recognised over the contract period. Equipment rental is billed in arrears and classified as contract assets.

(ii) Other revenue and income

(i) Dividend income

Dividend income is recognised when the right to receive payment is established.

(ii) Rental income

Rental income is recognised on a straight-line basis over the tenure of the lease.

(iii) Interest income

Interest income is recognised on an accrual basis using the effective interest method.

(n) Employee benefits

(i) Short term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company and its subsidiary companies. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensation absences. Short term non-accumulating compensated absences such as sick and medical leave are recognised when the absences occur.

The expected cost of accumulating compensated absences is measured as additional amount expected to be paid as a result of the unused entitlement that has accumulated at the statement of financial position date.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(m) Revenue and income recognition (Continued)

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). The Group's foreign subsidiary company makes contributions to its respective country's statutory pension scheme. Such contributions are recognised as an expense in the profit or loss as incurred.

(iii) Defined benefit plans

The defined benefit liability recognised in the statements of financial position is the present value of the defined benefit obligation at the end of the reporting period, less the fair value of plan assets, together with adjustments for actuarial gains/losses and unrecognised past service cost. The Group determines the present value of the defined benefit obligation and the fair value of any plan assets with sufficient regularity such that the amounts recognised in the financial statements do not differ materially from the amounts that would be determined at the end of the reporting period.

The defined benefit obligation, calculated using the projected unit credit method, is determined by independent actuaries, by discounting the estimated future cash outflows using market yields at the end of the reporting period on government bonds which have currency and terms to maturity approximating the terms of the related liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in retained earnings in other comprehensive income in the period in which they arise. The actuarial gains and losses are not subsequently reclassified to profit or loss in subsequent period.

Past service costs are recognised immediately in profit or loss, unless the changes to the plan are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past service costs are amortised on a straight-line basis over the vesting period.

(o) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

When the Group expects a provision to be reimbursed (for example, under an insurance contract), the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(p) Equity instruments

Ordinary shares are classified as equity. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

The transaction costs of an equity transaction are accounted for as a deduction from equity, net of tax. Equity transaction costs comprise only those incremental external costs directly attributable to the equity transaction which would otherwise have been avoided.

(q) Operating segments

Operating segments are reported in a manner consistent with the internal reporting and are regularly reviewed by the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer that makes strategic decisions.

(r) Treasury shares

When shares of the Company, that have not been cancelled, recognised as equity are repurchased, the amount of consideration paid is recognised directly in equity. Repurchased shares are classified as treasury shares and presented as a deduction from total equity. No gain or loss is recognised in the profit or loss on the repurchase, sale, issue or cancellation of treasury shares. When treasury shares are reissued by resale, the difference between the sales consideration and the carrying amount is recognised in equity.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Long term leasehold land (RM)	Long term leasehold building (RM)	Computer equipment (RM)	Office equipment (RM)	Furniture and fittings (RM)	Renovation (RM)	Motor Vehicles (RM)	Total (RM)
2019								
Cost								
At 1.1.2019	12,366,833	13,017,854	88,541,150	903,898	906,692	3,833,580	60,563	119,630,570
Additions	-	-	3,202,845	67,931	3,849	201,437	100,000	3,576,062
Disposal	-	-	(247,000)	-	-	-	-	(247,000)
Written off	-	-	-	(76,612)	-	-	-	(76,612)
Exchange differences	-	-	(119,009)	(1,277)	(1,007)	(9,018)	-	(130,311)
At 31.12.2019	12,366,833	13,017,854	91,377,986	893,940	909,534	4,025,999	160,563	122,752,709
Accumulated depreciation								
At 1.1.2019	898,141	1,687,439	80,172,354	544,342	574,175	2,272,366	56,527	86,205,344
Charge for the financial year	129,852	260,357	4,242,222	80,710	69,755	654,563	17,369	5,454,828
Disposal	-	-	(247,000)	-	-	-	-	(247,000)
Written off	-	-	-	(76,611)	-	-	-	(76,611)
Exchange differences	-	-	(102,984)	(751)	(421)	(4,888)	-	(109,044)
At 31.12.2019	1,027,993	1,947,796	84,064,592	547,690	643,509	2,922,041	73,896	91,227,517
Carrying amount								
At 31.12.2019	11,338,840	11,070,058	7,313,394	346,250	266,025	1,103,958	86,667	31,525,192

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Group	Long term leasehold land (RM)	Long term leasehold building (RM)	Computer equipment (RM)	Office equiment (RM)	Furniture and fittings (RM)	Renovation (RM)	Motor Vehicles (RM)	Total (RM)
2018								
Cost								
At 1.1.2018	12,366,833	13,017,854	85,880,774	788,067	869,162	3,795,560	196,288	116,914,538
Additions	-	-	2,207,322	115,314	38,257	1,136	-	2,362,029
Disposal	-	-	(3,694)	-	-	-	(135,725)	(139,419)
Written off	-	-	(109,780)	(4,816)	(5,200)	-	-	(119,796)
Exchange differences	-	-	566,528	5,333	4,473	36,884	-	613,218
At 31.12.2018	12,366,833	13,017,854	88,541,150	903,898	906,692	3,833,580	60,563	119,630,570
Accumulated depreciation								
At 1.1.2018	768,290	1,427,082	75,010,126	476,729	504,193	1,635,307	139,421	79,961,148
Charge for the financial year	129,851	260,357	4,741,778	64,670	69,611	602,491	27,948	5,896,706
Disposal	-	-	(2,697)	-	-	-	(110,842)	(113,539)
Written off	-	-	(99,532)	(862)	(2,379)	-	-	(102,773)
Exchange differences	-	-	522,679	3,805	2,750	34,568	-	563,802
At 31.12.2018	898,141	1,687,439	80,172,354	544,342	574,175	2,272,366	56,527	86,205,344
Carrying amount								
At 31.12.2018	11,468,692	11,330,415	8,368,796	359,556	332,517	1,561,214	4,036	33,425,226

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Company	Long term leasehold land (RM)	Long term leasehold building (RM)	Computer equipment (RM)	Office equiment (RM)	Furniture and fittings (RM)	Renovation (RM)	Total (RM)
2019							
Cost							
At 1.1.2019	12,366,833	13,017,854	34,410,339	589,467	641,919	1,797,825	62,824,237
Additions	-	-	26,471	30,931	-	187,790	245,192
At 31.12.2019	12,366,833	13,017,854	34,436,810	620,398	641,919	1,985,615	63,069,429
Accumulated depreciation							
At 1.1.2019	898,141	1,687,439	34,002,871	352,885	445,253	1,011,525	38,398,114
Charge for the financial year	129,852	260,357	328,950	38,159	39,282	185,319	981,919
At 31.12.2019	1,027,993	1,947,796	34,331,821	391,044	484,535	1,196,844	39,380,033
Carrying amount							
At 31.12.2019	11,338,840	11,070,058	104,989	229,354	157,384	788,771	23,689,396

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Company	Long term leasehold land (RM)	Long term leasehold building (RM)	Computer equipment (RM)	Office equiment (RM)	Furniture and fittings (RM)	Renovation (RM)	Total (RM)
2018							
Cost							
At 1.1.2018	12,366,833	13,017,854	34,401,714	503,900	628,468	1,797,825	62,716,594
Additions	-	-	8,625	85,567	13,451	-	107,643
At 31.12.2018	12,366,833	13,017,854	34,410,339	589,467	641,919	1,797,825	62,824,237
Accumulated depreciation							
At 1.1.2018	768,290	1,427,082	33,611,615	320,984	405,974	869,443	37,403,388
Charge for the financial year	129,851	260,357	391,256	31,901	39,279	142,082	994,726
At 31.12.2018	898,141	1,687,439	34,002,871	352,885	445,253	1,011,525	38,398,114
Carrying amount							
At 31.12.2018	11,468,692	11,330,415	407,468	236,582	196,666	786,300	24,426,123

(a) The long term leasehold land and building of the Group and the Company with a carrying amount of RM22,408,898 (2018: RM22,799,107) have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 19 to the financial statements.

(b) The remaining lease period of the long term leasehold land and building is 88 (2018: 89) years.

4. INVESTMENT PROPERTIES

	Note	Group/Company 2019 (RM)	2018 (RM)
Leasehold land and building			
Cost			
At 1 January/31 December		11,715,814	11,715,814
Accumulated depreciation			
At 1 January		1,518,665	1,284,348
Charge for the financial year		234,317	234,317
At 31 December		1,752,982	1,518,665
Carrying amount		9,962,832	10,197,149
Fair value		21,789,216	20,368,180

The above investment properties have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 19 to the financial statements.

The remaining lease period of the investment properties is 88 (2018: 89) years.

The income earned by the Group from rental of investment properties amounted to RM1,144,214 (2018: RM945,816). Direct operating expenses incurred on the investment properties during the financial year amounted to RM226,785 (2018: RM210,975).

The fair values of the investments as at the end of the reporting periods are arrived at by reference to market evidence of transaction prices for similar properties, adjusted for factors specific to the investment properties.

5. RIGHT-OF-USE ASSETS

	Group/Company	
	2019 (RM)	**2018 (RM)**
Cost		
At 1 January 2019	-	-
Additions	5,655,727	5,655,727
Exchange differences	(21,347)	(21,347)
At 31 December 2019	5,634,380	5,634,380
Accumulated depreciation		
At 1 January 2019	-	-
Charge for the financial year	1,453,920	1,453,920
Exchange differences	1,846	1,846
At 31 December 2019	1,455,766	1,455,766
Carrying amount		
At 31 December 2019	4,178,614	4,178,614
At 31 December 2018	-	-

6. INVESTMENT IN SUBSIDIARY COMPANIES

(a) Investment in subsidiary companies

	Company	
	2019 (RM)	**2018 (RM)**
Unquoted shares, at cost		
In Malaysia	6,000,004	1,000,004
Outside Malaysia	94,720,213	94,720,213
	100,720,217	95,720,217
Less: Impairment loss	(297 ,002)	(297,002)
	100,423,215	95,423,215

Movement on the provision for impairment of investment in subsidiary companies is as follows:

	Company	
	2019 (RM)	**2018 (RM)**
At 1 January/31 December	297,002	297,002

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(b) The subsidiary companies and shareholding therein are as follows:

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2019 %	2018 %	Principal activities
Direct holding:				
* N2N Connect Pte. Ltd.	Singapore	100	100	Provide consultancy services, sales, marketing and related activities
N2N Global Solutions Sdn. Bhd	Malaysia	100	100	Research and development of software packages and provision of design, programming, consultancy services and related services
NGN Connection Sdn. Bhd.	Malaysia	100	100	Provision of managed network services, consultancy services, sales, marketing and related activities
N2N Advanced Learning Sdn. Bhd.	Malaysia	100	100	Provision of professional trainings for remisiers and related fields
* N2N-AFE (Hong Kong) Limited	Hong Kong	100	100	Provision of on-line stock market information, on-line securities trading systems and business solutions, and associated sales and maintenance services on microcomputers.
Asianext Sdn. Bhd.	Malaysia	100	-	Dormant

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(b) The subsidiary companies and shareholding therein are as follows (continued):

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2019 %	2018 %	Principal activities
Indirect holding: Subsidiary of N2N Global Solutions Sdn. Bhd.				
Hermes Bos Sdn. Bhd.	Malaysia	70	70	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
Indirect holding: Subsidiary of NGN Connection Sdn. Bhd.				
Global Fin Net Sdn. Bhd.	Malaysia	100	100	Dormant
Subsidiary of N2N Connect Pte. Ltd.				
# N2N Connect Australia Pty. Ltd.	Australia	100	100	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
# Asianext Pte. Ltd	Singapore	100	-	Dormant
# PT NGS Services Indonesia	Indonesia	70	-	Dormant

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(b) The subsidiary companies and shareholding therein are as follows (continued):

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2019 %	2018 %	Principal activities
Subsidiary of N2N-AFE (Hong Kong) Limited				
* NBM Systems Design Limited	Hong Kong	100	100	Inactive
* The Stock Market Channel Limited	Hong Kong	100	100	Investment holding
* The Stock Market Channel (Macau) Limited	Macau	100	100	Sale of computer hardware and software and provision of online financial information in Macau

* Audited by another member firm of Morison KSi which is a separate and independent legal entity from Messrs. Morison AAC PLT.

The audited financial statements for the financial year ended 31 December 2019 of these subsidiaries are not available at the date the financial statements of the Group as it is not required by the local legislations to have their financial statements audited. However, the Directors are of the opinion that the financial results of these subsidiaries are not material to the Group as these subsidiaries are dormant. Hence, the management accounts of the said subsidiaries for the financial year ended 31 December 2019 have been used for the consolidation purposes.

(c) Acquisition in equity interest in Asianext Sdn. Bhd.

During the financial year, the Company had acquired 100% of the issued and paid up share capital in Asianext Sdn. Bhd. comprising 2 ordinary shares for total cash consideration of RM2. The issued and paid up share capital was subsequently increased from 2 ordinary shares to 5,000,000 ordinary shares by way of issuance of 4,999,998 ordinary shares for RM1 each which were fully subscribed by the Company. The acquisition above has no significant impact to the Group and the Company during the financial year.

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(d) Acquisition in equity interest in Asianext Pte. Ltd.

During the financial year, the Group had acquired 100% of the issued and paid up share capital in Asianext Pte. Ltd. comprising 2 ordinary shares of SGD1.00 each fully paid up for total cash consideration of SGD2. The acquisition above has no significant impact to the Group during the financial year.

(e) Acquisition in equity interest in PT NGS Services Indonesia

During the financial year, the Group has acquired 70% of the issued and paid up share capital in PT. NGS Services Indonesia comprising 7,000 ordinary shares of IDR1,000,000 each fully paid up for total cash consideration of IDR7,000,000,000. The acquisition above has no significant impact to the Group during the financial year.

(f) Non-controlling interests ("NCI") in subsidiaries

	Hermes Bos Sdn. Bhd.	
	2019 (RM)	**2018 (RM)**
Non-current assets	3,396,669	3,431,857
Current assets	43,343	112,605
Current liabilities	(5,134,954)	(3,821,050)
Net-liabilities	(1,694,942)	(276,588)
Carrying amount of NCI as at 31 December	(508,483)	(82,977)
Revenue	-	
Loss/Total comprehensive expense during the financial year	1,418,354	- 1,218,124
Loss/Total comprehensive expense allocated to NCI during the financial year	425,506	365,437
Cash flows from operating activities	1,052,721	867,876
Cash flows used in investing activities	(1,058,889)	(1,044,725)
Net decrease in cash and cash equivalents	(6,168)	(176,849)
Ownership interest and voting rights percentage held by NCI	30%	30%

7. INVESTMENT IN ASSOCIATES

(a) Investment in associates

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
At cost				
Unquoted shares outside Malaysia	8,392,041	8,392,041	8,330,840	8,330,840
Share of post-acquisition reserves	(707,028)	(207,658)	-	-
	7,685,013	8,184,383	8,330,840	8,330,840
Exchange differences	(316,293)	(141,616)	-	-
	7,368,720	8,042,767	8,330,840	8,330,840

(b) The associate and shareholding therein are as follows:

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2019 %	2018 %	Principal activities
Direct holding:				
* OurMoneyMarket Holdings Pty. Ltd. ("OMM")	Australia	28.99	28.99	Investment holding
Indirect holding: Associate of N2N Global Solutions Sdn. Bhd.				
* N2N Global Solutions Limited ("NGSL")	Thailand	48.99	48.99	Research and development of software packages and provision of design, programming, consultancy services and related services

* The audited financial statements for the financial year ended 31 December 2019 of this associate is not available at the date the financial statements of the Group. However, the Directors are of the opinion that the financial contribution of these associates are not material to the Group. Hence, the management accounts of the said associates for the financial year ended 31 December 2019 have been used for equity accounting purposes.

7. INVESTMENT IN ASSOCIATES (CONTINUED)

(c) The summarised financial information of the associates are as follows:

	OMM (RM)	NGSL (RM)	Total (RM)
2019			
Asset and liabilities			
Non-current assets	64,536,061	286,997	64,823,058
Current assets	15,328,300	595,698	15,923,998
Non-current liabilities	(68,746,061)	(208,536)	(68,954,597)
Current liabilities	(1,471,191)	(1,251,776)	(2,722,967)
Net assets/(liabilities)	9,647,109	(577,617)	9,069,492
Revenue	6,279,282	2,538,808	8,818,090
Loss/Total comprehensive expense for the financial year	(1,722,558)	(484,199)	(2,206,757)
Cash flows used in operating activities	(162,626)	(95,801)	(258,427)
Cash flows used in investing activities	(56,850,082)	-	(56,850,082)
Cash flows generated from financing activities	68,154,924	-	68,154,924
Net changes in cash and cash equivalents	11,142,216	(95,801)	11,046,415
2018			
Asset and liabilities			
Non-current assets	7,851,506	-	7,851,506
Current assets	4,444,655	261,550	4,706,205
Non-current liabilities	(602,538)	-	(602,538)
Current liabilities	(113,725)	(47,445)	(161,170)
Net assets/(liabilities)	11,579,898	214,105	11,794,003
Revenue	948,406	223,969	1,172,375
Loss/Total comprehensive expense for the financial year	(523,061)	(128,588)	(651,649)
2018			
Cash flows used in operating activities	(2,359,155)	(101,211)	(2,460,366)
Cash flows used in investing activities	(5,046,984)	-	(5,046,984)
Cash flows generated from financing activities	583,798	-	583,798
Net changes in cash and cash equivalents	(6,822,341)	(101,211)	(6,923,552)

7. INVESTMENT IN ASSOCIATES (CONTINUED)

(d) The reconciliation of net assets of the associates to the carrying amount of the investment in associates are as follows:

	OMM (RM)	NGSL (RM)	Total (RM)
2019			
The Group's share of loss/ total comprehensive expense during the financial year	(499,370)	-	(499,370)
Equity attributable to owners of the associate companies	9,647,109	(577,617)	9,069,492
The Company's share of net assets	2,701,190	-	2,701,190
Goodwill	4,667,530	-	4,667,530
	7,368,720	-	7,368,720
2018			
The Group's share of loss/ total comprehensive expense during the financial year	(146,457)	(61,201)	(207,658)
Equity attributable to owners of the associate companies	11,579,898	214,105	11,794,003
The Company's share of net assets	3,242,371	-	3,242,371
Goodwill	4,800,396	-	4,800,396
	8,042,767	-	8,042,767

The Group has discontinued the recognition of its share of current year losses of NGSL which has exceeded the Group's interest in NGSL. As at 31 December 2019, the Group's cumulative unrecognised share of losses in NGSL is RM275,198 (2018: RM1,794).

8. INTANGIBLE ASSETS

	Note	Goodwill on consolidation (RM)	Club membership (RM)	Computer software (RM)	Total (RM)
Group					
2019					
Cost					
At 1 January 2019		54,437,412	1,745,603	44,418,993	100,602,008
Addition during the financial year	31	-	-	6,691,820	6,691,820
Exchange differences		(262,213)	(8,408)	(2,544)	(273,165)
At 31 December 2019		54,175,199	1,737,195	51,108,269	107,020,663
Accumulated Amortisation					
At 1 January 2019		-	-	24,810,256	24,810,256
Amortisation during the financial year		-	-	5,141,369	5,141,369
Exchange differences		-	-	(1,000)	(1,000)
At 31 December 2019		-	-	29,950,625	29,950,625
Accumulated Impairment					
At 1 January 2019		-	686,600	-	686,600
Exchange differences		-	(3,307)	-	(3,307)
At 31 December 2019		-	683,293	-	683,293
Carrying amount					
31 December 2019		54,175,199	1,053,902	21,157,644	76,386,745

8. INTANGIBLE ASSETS (CONTINUED)

	Note	Goodwill on consolidation (RM)	Club membership (RM)	Computer software (RM)	Total (RM)
Group					
2018					
Cost					
At 1 January 2018		53,385,777	1,711,881	39,881,689	94,979,347
Addition during the financial year	31	-	-	4,527,101	4,527,101
Exchange differences		1,051,635	33,722	10,203	1,095,560
At 31 December 2018		54,437,412	1,745,603	44,418,993	100,602,008
Accumulated Amortisation					
At 1 January 2018		-	-	20,638,462	20,638,462
Amortisation during the financial year		-	-	4,164,539	4,164,539
Exchange differences		-	-	7,255	7,255
At 31 December 2018		-	-	24,810,256	24,810,256
Accumulated Impairment					
At 1 January 2018		-	673,337	-	673,337
Exchange differences		-	13,263	-	13,263
At 31 December 2018		-	686,600	-	686,600
Carrying amount					
31 December 2018		54,437,412	1,059,003	19,608,737	75,105,152

8. INTANGIBLE ASSETS (CONTINUED)

		Computer software	
Company	**Note**	**2019 (RM)**	**2018 (RM)**
Cost			
At 1 January		-	31,908,058
Addition during the financial year	31	-	658,897
Disposal during the financial year		-	(32,566,955)
At 31 December		-	-
Accumulated Amortisation			
At 1 January		-	17,706,321
Amortisation during the financial year		-	658,140
Disposal during the financial year		-	(18,364,461)
At 31 December		-	-
Carrying amount			
31 December		-	-

(a) The Group and the Company capitalise costs on development works relating to the enhancement of its existing software and development of new software packages which management expects will contribute to the generation of additional future economic benefits. During the financial year, the Group and the Company recognised an amortisation of RM5,141,369 and RM Nil (2018: RM4,164,539 and RM658,140) respectively which has been charged to cost of sales.

(b) In prior financial year, the Company has disposed its intangible assets with carrying amount of RM Nil (2018: RM14,202,494) to a subsidiary company, N2N Global Solutions Sdn. Bhd..

(c) Impairment test for goodwill on consolidation

The Group undertakes an annual impairment assessment on its cash-generating units ("CGU") identified based on its geographical segment in Hong Kong, being the lowest level of assets for which the management monitors the goodwill of the Group.

Key assumptions used to determine recoverable amount

The recoverable amount of the Group's CGU has been determined based on value-in-use calculation. These calculations use pre-tax cash flow projections based on financial budgets approved by management covering a five-year period. Cash flows beyond the five-year period are extrapolated using the estimated growth rates.

8. INTANGIBLE ASSETS (CONTINUED)

(c) Impairment test for goodwill on consolidation (continued)

The key assumptions used for the value-in-use calculations are as follows:

	Group	
	2019 (RM)	**2018 (RM)**
Revenue growth rate over 5 years (per annum)	2.0%	8.0%
Operating expenditure and capital expenditure growth rate (per annum)	2.0%	8.0%
Terminal growth rate	0%	0%
Pre-tax discount rate	8.2%	6.5%

Management determined the revenue growth rates, selling prices and direct costs during the budget period based on future expectations of changes in the market. Management estimates discount rate using pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the CGU.

The Group's review includes an impact assessment of changes in key assumptions. Based on the sensitivity analysis, the Board of Directors concluded that no reasonable change in the assumptions above would cause the carrying amount of the CGUs to exceed its recoverable amounts.

9. AMOUNT OWING BY/(TO) SUBSIDIARY COMPANIES

	Company	
	2019 (RM)	**2018 (RM)**
Amount owing by subsidiary companies	41,062,873	35,312,671
Analysed as:		
Non-current assets	1,741,224	1,658,080
Current assets	39,321,649	33,654,591
	41,062,873	35,312,671
Amount owing to subsidiary companies	(4,977,795)	-

These owing by/(to) the subsidiary companies are non-trade in nature, interest free and are repayable on demand.

10. TRADE RECEIVABLES

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Trade receivables	23,141,097	12,172,751	62,438	4,144
Less: Impairment loss	(2,019,316)	(1,097,031)	-	-
	21,121,781	11,075,720	62,438	4,144
Contract assets in relation to application solutions:				
- Accrued income	1,875,960	5,600,667	-	-
Less: Impairment loss	(15,108)	(15,108)	-	-
	1,860,852	5,585,559	-	-
	22,982,633	16,661,279	62,438	4,144

The Group's and the Company's normal trade credit terms range from 30 to 90 days (2018: 30 to 90 days).

The movement on the impairment loss during the financial year is disclosed in Note 35 to the financial statements.

11. OTHER RECEIVABLES

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Other receivables	4,397,768	3,243,590	122,184	182,072
Deposits	1,595,308	1,504,786	191,327	210,156
Prepayments	3,782,432	2,416,199	265,123	663,253
	9,775,508	7,164,575	578,634	1,055,481

Included in the other receivables of the Group is an amount of RM1,679,916 (2018: Nil) in relation to an advance paid for an acquisition of a software license.

12. AMOUNT OWING BY/(TO) RELATED COMPANIES

These amounts are non-trade in nature, unsecured, interest-free and is repayable on demand.

13. AMOUNT OWING BY AN ASSOCIATE

These amounts are non-trade in nature, unsecured, interest-free and is repayable on demand.

14. MARKETABLE SECURITIES

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Quoted unit trusts in Malaysia	82,518,186	52,045,002	82,518,186	52,038,023

15. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	Group/Company	
	2019 (RM)	2018 (RM)
Quoted shares in Malaysia	115,917	114,289

Changes in fair values of financial assets at fair value through profit or loss amounting to a gain of RM1,628 (2018: loss of RM201,872) is presented within other income (2018: administration expenses) in profit or loss.

16. DEPOSITS WITH LICENSED BANKS

Interest rates on deposits placed with licensed banks range from 2.65% to 2.90% (2018: 2.67% to 2.96%) per annum and have average maturity period of 30 days (2018: 30 to 90 days).

Fixed deposits pledged to licensed banks are secured for bank facilities granted to the Group and Company as disclosed in Note 19 to the financial statements.

17. TRADE PAYABLES

The normal trade credit terms granted to the Group and the Company range from 15 to 90 days (2018: 15 to 90 days).

18. OTHER PAYABLES

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Other payables	2,917,908	8,257,376	254,987	5,847,742
Accruals	3,552,774	4,725,958	232,999	471,390
Deposits received	3,597,849	3,420,793	281,205	211,535
	10,068,531	16,404,127	769,191	6,530,667

Included in the other payables of the Group and of the Company is an amount of RM Nil (2018: RM5,626,880) which relates to dividend payable and was subsequently paid on 7 January 2019.

19. BANK BORROWINGS

	Company	
	2019 (RM)	**2018 (RM)**
Secured		
Term loan	20,465,000	29,871,111
Analysed as:		
Repayable within twelve months	9,095,556	9,191,111
Repayable after twelve months	11,369,444	20,680,000
	20,465,000	29,871,111

The above credit facilities obtained from a licensed bank are secured on the following:

(a) fixed charge on the Group's and Company's long term leasehold land and building and investment properties as disclosed in Notes 3 and 4 to the financial statements;

(b) fresh charge over all cash deposits or to be deposits from time to time by the Company and profit thereon with a charge over deposit stamped nominally duly executed in favour of the bank for all monies owing or payable under the bank facility;

(c) the Group shall maintain leverage ratio less than or equal to 2 times at all times until the maturity date;

(d) the Group shall maintain debt service coverage ratio equal to or not less than 1.3 times;

(e) The Company and its Malaysian subsidiary companies shall route at least 20% of its revenue collection by end of first year post drawdown of the bank facilities; and

(f) The Company shall maintain minimum cash balances with steps-downs throughout the financing period as follows:

- Year 1 USD5,000,000
- Year 2 USD4,000,000
- Year 3 USD3,000,000
- Year 4 USD2,000,000
- Year 5 USD1,000,000

19. BANK BORROWINGS (CONTINUED)

Maturity of bank borrowings is as follows:

	Group/Company	
	2019 (RM)	2018 (RM)
Within one year	9,095,556	9,191,111
Between one and two years	9,095,556	18,382,222
Between two and five years	2,273,888	2,297,778
	20,465,000	29,871,111

Range of interest rates during the financial year is as follows:

	Group/Company	
	2019 (RM)	2018 (RM)
Bridging loan	-	3.57
Term loan	3.83 - 4.72	3.56 - 4.72

20. LEASE LIABILITIES

	Group	
	2019 (RM)	2018 (RM)
At 1 January	-	-
Additions	5,655,727	-
Repayment during the year	(1,284,153)	-
Finance costs	117,997	-
Exchange differences	(24,530)	-
At 31 December	4,465,041	-
Analysed as		
Repayable within twelve months	1,187,362	-
Repayable after twelve months	3,277,679	-
	4,465,041	-

21. SHARE CAPITAL

	Group/Company			
	Number of Ordinary Shares		Amount	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Issued and fully paid				
At 1 January	597,877,841	477,124,898	260,986,903	163,640,704
Issued during the financial year	260	120,752,943	216	97,346,199
At 31 December	597,878,101	597,877,841	260,987,119	260,986,903

Warrants 2019/2014

On 9 January 2019, the Company issued 140,089,954 free Warrants pursuant to a bonus issue of one Warrant for every four existing ordinary shares held in the Company. The Warrants are constituted by a deed poll dated 19 December 2018 Warrants were listed on Bursa Malaysia on 15 January 2019. As at 31 December 2019, there was a total of 140,089,694 unexercised Warrants.

The main features of the Warrants are as follows:

- Each Warrant entitles the registered holder at any time during the exercise period to subscribe for one new ordinary share in the Company at an exercise price of RM0.83 per ordinary share.

- The exercise price and the number of Warrants is subject to adjustment in the event of alteration to the share capital, bonus issue, capital distribution and rights issue by the Company in accordance with the conditions provided in the deed poll.

- The Warrants shall be exercisable at any time within the period commencing on and including the date of issue of the Warrants and ending on the date of preceding the fifth anniversary of the date of issue of the Warrants.

- Upon exercise of the Warrants into new ordinary shares, such shares shall rank pari passu in all respects with the ordinary shares of the Company in issue at the time of exercise except that they shall not be entitled to any dividend or other distributions declared in respect of a financial period prior to the financial period in which the Warrants are exercised or any interim dividend declared prior to the date of exercise of the Warrants.

- At the expiry of the exercise period, any Warrants which have not been exercised will lapse and cease to be valid for any purposes.

22. TREASURY SHARES

	Group/Company			
	Number of Ordinary Shares		Amount	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
At 1 January	37,517,900	7,339,900	35,541,709	5,831,986
Shares repurchased during the financial year	2,077,000	30,178,000	1,656,250	29,709,723
At 31 December	39,594,900	37,517,900	37,197,959	35,541,709

During the financial year, the Company had repurchased a total of 2,077,000 (2018: 30,178,000) ordinary shares of its issued share capital from the open market at a total cost of RM1,656,250 (2018: RM29,709,723). The average price paid for the shares repurchased was RM0.80 (2018: RM0.98) share. The repurchase transactions were financed by internally generated funds. The repurchased shares are held as treasury shares and carried at cost in accordance with the requirements of section 127 of the Companies Act, 2016. Treasury shares had no rights to voting, dividends and participation in other distribution.

23. EXCHANGE RESERVES

The exchange reserves represent exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from that of the Group's presentation currency.

24. PROVISION FOR RETIREMENT BENEFITS

Provision for retirement benefits of the Group relate to long service payments ("LSP") provisions as prescribed under the Hong Kong Employment Ordinance. LSP is paid to employees of a subsidiary company upon termination of their employment, subject to completion of five years of continuous service and meeting certain qualifying conditions. The benefit is based on final wages and service at leaving employment.

The movements during the financial year of the amount recognised in the statements of financial position in respect of the long service payments are as follows:

	Group	
	2019 (RM)	2018 (RM)
At 1 January	2,234,570	2,433,593
Recognised in profit or loss	351,972	356,626
Remeasurements	115,071	(592,592)
Exchange differences	(10,121)	36,943
At 31 December	2,691,492	2,234,570

24. PROVISION FOR RETIREMENT BENEFITS (CONTINUED)

The total expenses recognised in profit or loss is as follows:

	Group	
	2019 (RM)	**2018 (RM)**
Current service cost	300,895	302,092
Interest cost	51,077	54,534
	351,972	356,626

The principal assumptions used are as follows:

	Group	
	2019 (%)	**2018 (%)**
Increase in maximum amount of relevant salary for contribution	2.5	2.5
Discount rate	1.5	2.3
Salary growth rate	4.0	4.0 - 4.5

There are no explicit assets held in respect of the long service payment obligations.

Cumulative remeasurement recognised in other comprehensive income is as follows:

	Group	
	2019 (RM)	**2018 (RM)**
Long service payments	115,071	(592,592)

Expected maturity analysis of undiscounted benefit payments is as follows:

	Group	
	2019 (RM)	**2018 (RM)**
Long service payments		
Within one year	-	-
Between two and five years	390,915	348,850
More than five years	12,516,144	12,991,029
	12,907,059	13,339,879

25. DEFERRED TAX LIABILITIES

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
At 1 January	1,157,660	2,540,103	305,775	1,526,991
Recognised in profit or loss (Note 28):				
- property, plant and equipment	1,345,662	(2,451,255)	-	(2,351,003)
- unabsorbed capital allowance	-	1,129,787	-	1,129,787
- provisions and others	(239,615)	(170,260)	(305,775)	-
	1,106,047	(1,491,728)	(305,775)	(1,221,216)
Recognised in other comprehensive income:				
- remeasurement of long service payments	(104,977)	97,395	-	-
Exchange differences	(4,248)	11,890	-	-
At 31 December	2,154,482	1,157,660	-	305,775

The components of deferred tax assets and liabilities of the Group during the financial year prior to offsetting are as follows:

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Deferred tax liabilities:				
- property, plant and equipment	2,103,048	860,309	-	305,775
- provision for retirement benefits and others	51,434	297,351	-	-
	2,154,482	1,157,660	-	305,775
Offsetting	-	-	-	-
Net deferred tax liabilities	2,154,482	1,157,660	-	305,775

25. DEFERRED TAX LIABILITIES (CONTINUED)

The deductible temporary difference and unutilised tax losses of the Group for which no deferred tax assets were recognised in the statements of financial position are as follows:

	Group	
	2019 (RM)	**2018 (RM)**
Deductible temporary differences	1,120,555	735,723
Unutilised tax losses	2,418,354	2,240,918
Unabsorbed capital allowance	761,122	4,421
	4,300,031	2,981,062
Deferred tax assets not recognised at 24% (2018: 24%)	1,032,007	715,455

26. REVENUE

Breakdown of revenue recognised from contracts with customers is as follows:

	Group		Company	
	2019 (RM)	**2018 (RM)**	**2019 (RM)**	**2018 (RM)**
Application solutions				
- Implementation fees	1,900,554	4,577,082	-	-
- Managed services	78,313,767	79,568,136	1,000	822,913
	80,214,321	84,145,218	1,000	822,913
Financial network services				
- Implementation fees	464,141	5,000	-	-
- Managed network services	22,697,385	22,460,854	63,360	131,638
	23,161,526	22,465,854	63,360	131,638
Equipment rental	1,719,343	1,506,528	-	-
	105,095,190	108,117,600	64,360	954,551
Geographical market				
Malaysia	38,162,862	39,521,657	64,360	954,551
Hong Kong	57,672,354	60,425,641	-	-
Others	9,259,974	8,170,302	-	-
	105,095,190	108,117,600	64,360	954,551
Timing of Revenue recognition				
Over time	88,035,814	90,188,586	64,360	590,312
At a point in time	17,059,376	17,929,014	-	364,239
	105,095,190	108,117,600	64,360	954,551

27. PROFIT BEFORE TAXATION

Profit before taxation is derived after charging/(crediting):

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Amortisation of intangible assets	5,141,369	4,164,539	-	658,140
Auditors' remuneration:				
- statutory audit	286,390	265,611	56,000	51,000
- under provision in prior years	5,000	15,000	5,000	15,000
- others	5,000	5,000	-	5,000
Bad debts written off	402,387	-	-	-
Depreciation of property, plant and equipment	5,454,828	5,896,706	981,919	994,726
Depreciation of investment properties	234,317	234,317	234,317	234,317
Directors' remuneration:				
- fees	561,920	444,230	561,920	444,230
- salaries and other emoluments	3,772,776	3,692,804	342,796	156,032
- defined contribution plan	81,707	(35,911)	16,356	9,660
Rental of premises	-	1,413,623	-	24,000
Rental of assets:				
- depreciation of right-of-use assets	1,453,920	-	-	-
- short term leases	218,585	-	51,600	24,000
Foreign exchange (gain)/loss:				
- realised	113,711	(644,644)	85,434	(726,164)
- unrealised	(148,904)	379,850	(242,698)	494,363
Fair value change on financial assets at fair value through profit or loss	(1,628)	201,872	(1,628)	201,872
Interest expense	1,376,100	1,840,089	1,258,103	1,840,089
Impairment loss of trade receivables	1,234,709	754,587	-	-
Gain on disposal of property, plant and equipment	(4,000)	(29,120)	-	-
Property, plant and equipment written off	1	17,023	-	-
Provision for long service payments	351,972	356,626	-	-
Interest income	(335,446)	(698,936)	(242,224)	(514,620)
Dividend income	(3,371,015)	(1,943,567)	(10,000,814)	(51,932,900)
Rental income	(1,144,214)	(945,816)	(1,469,912)	(945,816)
Management fee:				
- related party	(60,000)	(60,000)	(60,000)	(60,000)
- subsidiary companies	-	-	(996,188)	(569,357)

28. TAXATION

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Current tax:				
- Current year provision	2,870,013	3,527,528	-	675,250
- (Over)/Under provision in prior years	(1,670,320)	4,464,498	(675,250)	2,730,167
	1,199,693	7,992,026	(675,250)	3,405,417
Deferred taxation:				
- Origination and reversal of temporary differences	1,106,047	(1,522,668)	(305,775)	(1,252,156)
- Under provision in prior year	-	30,940	-	30,940
	1,106,047	(1,491,728)	(305,775)	(1,221,216)
Taxation for the financial year	2,305,740	6,500,298	(981,025)	2,184,201

Domestic income tax is calculated at the Malaysian statutory tax rate of 24% (2018: 24%) of the estimated assessable profit for the financial year. Taxation for other jurisdictions is calculated at the rates prevailing in the respective jurisdictions.

28. TAXATION (CONTINUED)

A reconciliation of income tax expense applicable to profit before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Company are as follows:

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Profit before taxation	17,567,167	19,290,751	7,193,958	45,183,436
Taxation at statutory tax rate of 24% (2018: 24%)	4,216,120	4,629,780	1,726,550	10,844,025
Effect of different tax rates in other countries	(698,074)	(853,622)	-	-
Expenses not deductible for tax purposes	2,268,597	2,241,214	808,516	1,042,966
Tax incentive arising from pioneer status	(2,245,584)	(4,385,649)	-	-
Income not subject to tax	(800,686)	(455,269)	(3,197,302)	(12,463,897)
Deferred tax assets not recognised	316,552	828,476	356,461	-
Recognition of previously unrecognised deferred tax liabilities due to expiry of Pioneer Status	919,135	-	-	-
(Over)/Under provision of current taxation in prior year	(1,670,320)	4,464,428	(675,250)	2,730,167
Under provision of deferred tax in prior years	-	30,940	-	30,940
Taxation for the financial year	2,305,740	6,500,298	(981,025)	2,184,201

29. EARNINGS PER SHARE

(a) Basic earnings per share

Basic earnings per share of the Group is calculated by dividing the consolidated profit attributable to owners of the Company by the weighted average number of ordinary shares of the Company in issue during the financial year.

	Group	
	2019	2018
Profit for the financial year attributable to the owners of the Company (RM)	15,686,933	13,155,890
Weighted number of ordinary shares issued	558,925,866	533,975,874
Basic earnings per share (sen)	2.81	2.46

29. EARNINGS PER SHARE (CONTINUED)

(b) Diluted earnings per share

For the purposes of calculating diluted earnings per share, consolidated profit attributable to owners of the Company is divided by weighted average number of ordinary shares in issue during the financial year, adjusted for the dilutive effects of all potential ordinary shares.

	Group	
	2019 (RM)	**2018 (RM)**
Profit for the financial year attributable to the owners of the Company (RM)	15,686,933	13,155,890
Weighted number of ordinary shares in issue	558,925,866	533,975,874
Adjusted for:		
Assumed exercise of Warrants at no consideration	-*	-
	558,925,866	533,975,874
Diluted earnings per share (sen)	2.81	2.46

* No warrants are assumed to be exercised at no consideration as the average fair value of the Company's quoted share price during the financial year is below the exercise price of the warrants.

30. DIVIDENDS

	Group/Company	
	2019 (RM)	**2018 (RM)**
First interim single tier dividend of 3 sen per ordinary share paid in respect of the financial year ended 31 December 2018	-	15,785,461
Second interim single tier dividend of 1 sen per ordinary share paid in respect of the financial year ended 31 December 2018	-	5,626,880
First interim single tier dividend of 1 sen per ordinary share paid in respect of the financial year ended 31 December 2019	5,582,829	-
	5,582,829	21,412,341

On 27 March 2020, the Directors declared a special dividend of 1 sen per ordinary share in respect of the financial year ended 31 December 2019 and a first interim dividend of 1 sen per ordinary share in respect of the financial year ending 31 December 2020. The financial statements for the current financial year do not reflect the special dividend and first interim dividend. These dividends, will be accounted for in equity as appropriations of retained earnings in the financial year ending 31 December 2020.

31. STAFF COSTS

	Note	Group 2019 (RM)	Group 2018 (RM)	Company 2019 (RM)	Company 2018 (RM)
Salaries, bonus and other emoluments		27,424,326	25,079,827	1,462,132	2,107,859
Contribution to defined contribution plan and social security		2,187,246	2,095,355	178,200	252,790
Provision for long service payments		351,972	356,626	-	-
Total staff costs		29,963,544	27,531,808	1,640,332	2,360,649
Staff costs (excluding Directors) analysed as:					
- Charged to profit or loss		23,271,724	23,004,707	1,640,332	1,701,752
- Capitalised as intangible assets	8	6,691,820	4,527,101	-	658,897
Total staff costs		29,963,544	27,531,808	1,640,332	2,360,649

32. RECONCILIATION OF LIABILITIES FROM FINANCING ACTIVITIES

Group/Company	Term loans (RM)	Total (RM)
At 1 January 2018	69,385,556	69,385,556
Cash flows	(40,095,001)	(40,095,001)
Foreign exchange movements	580,556	580,556
At 31 December 2018	29,871,111	29,871,111
Cash flows	(9,162,778)	(9,162,778)
Foreign exchange movements	(243,333)	(243,333)
At 31 December 2019	20,465,000	20,465,000

33. SEGMENTAL INFORMATION

(a) Business segment

The reportable segments of the Group derive their revenue primarily from the provision of design, programming, consultancy services and related services which are substantially within a single business segment.

Management has determined the operating segments based on the reports reviewed by the Board of Directors (Chief Operating Decision Maker). The Board of Directors considers the business from a geographical perspective.

33. SEGMENTAL INFORMATION (CONTINUED)

(a) Business segment (Continued)

The Group's operations by key operating companies are segmented into these main geographic segments: Malaysia, Hong Kong and others comprise of investment holding companies and other operating companies in other countries that contributed less than 10% of consolidated revenue.

	Malaysia (RM)	Hong Kong (RM)	Others (RM)	Eliminations (RM)	Total (RM)
2019					
Revenue					
Sales to external customers	38,162,862	57,672,354	9,259,974	-	105,095,190
Inter-segment sales	-	-	745,409	(745,409)	-
Total	38,162,862	57,672,354	10,005,383	(745,409)	105,095,190
Results					
EBITDA *	14,649,341	12,365,572	3,608,231	(759,997)	29,863,147
Amortisation of intangible assets	(5,036,389)	(104,980)	-	-	(5,141,369)
Depreciation of property, plant and equipment	(2,941,663)	(2,375,589)	(137,576)	-	(5,454,828)
Depreciation of investment properties	(234,317)	-	-	-	(234,317)
Depreciation of right of use assets	-	(1,293,422)	(160,498)	-	(1,453,920)
Dividend income	3,371,015	-	-	-	3,371,015
Finance income	314,936	20,510	-	-	335,446
Finance costs	(1,258,103)	(117,997)	-	-	(1,376,100)
Impairment loss on receivables	(522,407)	(712,302)	-	-	(1,234,709)
Share of associates' results	-	-	(499,370)	-	(499,370)
Unrealised foreign exchange gain/(loss)	236,217	(18,320)	(68,993)	-	148,904
Bad debts written off	-	(402,387)	-	-	(402,387)
Other non-cash items	(2,373)	(351,972)	-	-	(354,345)
Taxation	(1,298,208)	(1,053,236)	45,704	-	(2,305,740)
Segment profit for the financial year	7,278,049	5,955,877	2,787,498	(759,997)	15,261,427
Non-current assets	65,444,392	63,132,148	845,563	-	129,422,103

* Earnings before interest, taxes, depreciation and amortisation (excluding other significant non-cash items).

33. SEGMENTAL INFORMATION (CONTINUED)

(a) Business segment (continued)

	Malaysia (RM)	Hong Kong (RM)	Others (RM)	Eliminations (RM)	Total (RM)
2018					
Revenue					
Sales to external customers	39,521,657	60,425,641	8,170,302	-	108,117,600
Inter-segment sales	-	-	-	-	-
Total	39,521,657	60,425,641	8,170,302	-	108,117,600
Results					
EBITDA *	15,287,006	10,839,814	3,251,424	(215,023)	29,163,221
Amortisation of intangible assets	(4,063,610)	(100,929)	-	-	(4,164,539)
Depreciation of property, plant and equipment	(3,569,773)	(2,193,693)	(133,240)	-	(5,896,706)
Depreciation of investment properties	(234,317)	-	-	-	(234,317)
Dividend income	1,943,567	-	-	-	1,943,567
Finance income	685,232	6,918	6,786	-	698,936
Finance costs	(1,840,089)	-	-	-	(1,840,089)
Impairment loss on receivables	182,118	547,591	24,878	-	754,587
Share of associates' results	-	-	(207,658)	-	(207,658)
Unrealised foreign exchange (loss)/gain	(375,376)	8,190	1,203	(13,867)	(379,850)
Other non-cash items	(189,775)	(356,626)	-	-	(546,401)
Taxation	(4,022,808)	(2,048,578)	(428,912)	-	(6,500,298)
Segment profit for the financial year	3,802,175	6,702,687	2,514,481	(228,890)	12,790,453
Non-current assets	66,235,205	60,231,184	303,905	-	126,770,294

* Earnings before interest, taxes, depreciation and amortisation (excluding other significant non-cash items).

34. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group monitors capital using gearing ratio, which is total equity plus net debt. The Group's policy is to keep the lower gearing ratio. The Group includes within net debt, trade and other payables, bank borrowings less cash and bank balances.

34. CAPITAL MANAGEMENT (CONTINUED)

	Group		Company	
	2019 (RM)	**2018 (RM)**	**2019 (RM)**	**2018 (RM)**
Trade and other payables	14,602,147	21,901,088	927,861	6,674,572
Bank borrowings	20,465,000	29,871,111	20,465,000	29,871,111
Less: cash and cash equivalents	(55,104,010)	(101,917,228)	(21,056,668)	(71,946,774)
Net (liquidity)/debt	(20,036,863)	(50,145,029)	336,193	(35,401,091)
Total equity	255,900,759	248,350,104	263,774,512	262,838,392
Capital and net debt	235,863,896	198,205,075	264,110,705	227,437,301
Gearing ratio	N/A	N/A	0.001	N/A

The Group is required to maintain leverage ratio of not more than 2 times and debt service coverage ratio of more than 1.3 times as disclosed in Note 19 to the financial statements.

(i) Leverage ratio

	Group	
	2019 (RM)	**2018 (RM)**
Term loan	20,465,000	29,871,111
EBITDA (Note 33)	29,863,147	29,163,221
Leverage ratio	0.69	1.02

34. CAPITAL MANAGEMENT (CONTINUED)

(ii) Debts service coverage ratio

	Group	
	2019 (RM)	**2018 (RM)**
EBITDA (Note 33)	29,863,147	29,163,221
Adjustments:		
Changes in working capital	(18,302,460)	(8,923,174)
Net tax paid	(2,249,223)	(5,161,694)
Capital expenditure:		
- Computer software development costs	(6,691,820)	(4,527,101)
- Purchase of property, plant and equipment	(3,576,062)	(2,362,029)
	(30,819,565)	(20,973,998)
Free cash flows	(956,418)	8,189,223
Debts service (Undiscounted principal and interest repayment of term loan for the next 12 months)	9,760,905	10,046,315
Debts service coverage ratio	N/A	0.82

Notwithstanding that the Group's debts service coverage ratio requirements were not met, management has obtained an exemption from the bank to grant a one-time indulgence for the said breach with no impact to the facility.

35. FINANCIAL INSTRUMENTS

The following table analyses the financial assets and finance liabilities of the Group and of the Company by the classes and categories of financial instrument to which they are assigned, and therefore by the measurement basis:

35. FINANCIAL INSTRUMENTS (CONTINUED)

	Financial assets at fair value through profit or loss (RM)	Financial assets and liabilities at amortised cost (RM)	Total (RM)
2019			
Group			
Financial assets			
Trade and other receivables	-	27,114,857	27,114,857
Amount owing by related companies	-	262,911	262,911
Amount owing by an associate	-	1,235,125	1,235,125
Marketable securities	-	82,518,186	82,518,186
Financial assets at fair value through profit or loss	115,917	-	115,917
Cash and cash equivalents	-	55,104,010	55,104,010
	115,917	166,235,089	166,351,006
Financial liabilities			
Trade and other payables	-	14,602,147	14,602,147
Amount owing to related companies	-	76,063	76,063
Bank borrowings	-	20,465,000	20,465,000
Lease liabilities	-	4,465,041	4,465,041
	-	39,608,251	39,608,251
Company			
Financial assets			
Trade and other receivables	-	375,949	375,949
Amount owing by subsidiary companies	-	41,062,873	41,062,873
Amount owing by related companies	-	215,784	215,784
Amount owing by an associate	-	54,535	54,535
Marketable securities	-	82,518,186	82,518,186
Financial assets at fair value through profit or loss	115,917	-	115,917
Cash and cash equivalents	-	21,056,668	21,056,668
	115,917	145,283,995	145,399,912
Financial liabilities			
Trade and other payables	-	927,861	927,861
Amount owing to subsidiary companies	-	4,977,795	4,977,795
Amount owing to related companies	-	424	424
Bank borrowings	-	20,465,000	20,465,000
	-	26,371,080	26,371,080

35. FINANCIAL INSTRUMENTS (CONTINUED)

	Financial assets at fair value through profit or loss (RM)	Financial assets and liabilities at amortised cost (RM)	Total (RM)
2018			
Group			
Financial assets			
Trade and other receivables	-	15,824,096	15,824,096
Amount owing by related companies	-	409,397	409,397
Amount owing by an associate	-	681,008	681,008
Marketable securities	-	52,045,002	52,045,002
Financial assets at fair value through profit or loss	114,289	-	114,289
Cash and cash equivalents	-	101,917,228	101,917,228
	114,289	170,876,731	170,991,020
Financial liabilities			
Trade and other payables	-	21,901,088	21,901,088
Amount owing to related companies	-	24,542	24,542
Bank borrowings	-	29,871,111	29,871,111
	-	51,796,741	51,796,741
Company			
Financial assets			
Trade and other receivables	-	396,372	396,372
Amount owing by subsidiary companies	-	35,312,671	35,312,671
Amount owing by related companies	-	398,380	398,380
Amount owing by an associate	-	11,156	11,156
Marketable securities	-	52,038,023	52,038,023
Financial assets at fair value through profit or loss	114,289	-	114,289
Cash and cash equivalents	-	71,946,774	71,946,774
	114,289	160,103,376	160,217,665
Financial liabilities			
Trade and other payables	-	6,674,572	6,674,572
Bank borrowings	-	29,871,111	29,871,111
	-	36,545,683	36,545,683

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management

The Group's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's operations whilst managing its financial risks, including credit risk, liquidity risk and market risk.

Credit risk

Credit risk is the risk of a financial loss to the Group if a counterparty of a financial asset fails to meet its contractual obligations. The Group's exposure to credit risk arises mainly from trade and other receivables and intercompany receivables.

Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis through the review of trade receivables and contract assets ageing. The Group monitors the results of the related parties regularly to safeguard credit risk on balance from intercompany receivables.

The maximum exposure to credit risk for the Group and the Company is the carrying amount of the financial assets shown in the statement of financial position.

The ageing analysis of the Group's and of the Company's trade receivables and contract assets is as follows:

	Group		Company	
	2019 (RM)	**2018 (RM)**	**2019 (RM)**	**2018 (RM)**
Neither past due nor individually impaired	4,651,444	5,760,394	62,438	4,144
Past due but not individually impaired:				
- Past due less than 1 year	18,105,234	10,870,724	-	-
- Past due more than 1 year	513,524	105,475	-	-
	18,618,758	10,976,199	-	-
	1,746,855	1,036,825	-	-
Individually impaired	25,017,057	17,773,418	62,438	4,144

The Group's trade receivables and contract assets of RM18,618,758 (2018: RM10,976,199) were past due but not individually impaired. These relate to a number of independent customers for whom there is no recent history of default.

The Group's trade receivables and contract assets of RM1,746,855 (2018: RM1,036,825) were individually impaired. The individually impaired receivables mainly relate to trade receivables, which are facing difficulties in cash flows. As at the end of the reporting date, the impairment loss for these receivables is RM1,746,855 (2018: RM1,036,825).

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Credit risk (Continued)

Movements on the Group's and the Company's loss allowance for impairment of trade receivables and contract assets are as follows:

	Trade receivables (RM)	Contract assets (RM)	Total (RM)
Group			
2019			
At 1 January	1,097,031	15,108	1,112,139
Charge during the financial year	1,234,709	-	1,234,709
Exchange differences	(312,424)	-	(312,424)
At 31 December	2,019,316	15,108	2,034,424
Represented by:			
Individual impairment	1,746,855	-	1,746,855
Lifetime expected credit loss impairment	272,461	15,108	287,569
	2,019,316	15,108	2,034,424
2018			
At 1 January	330,098	-	330,098
Change during the financial year	740,152	14,435	754,587
Exchange differences	26,781	673	27,454
At 31 December	1,097,031	15,108	1,112,139
Represented by:			
Individual impairment	1,036,825	-	1,036,825
Lifetime expected credit loss impairment	60,206	15,108	75,314
	1,097,031	15,108	1,112,139

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Liquidity risk (continued)

The table below summarises the maturity profile of the Group's and the Company's financial liabilities as at the end of the reporting period based on contractual undiscounted payments:

	Carrying amount (RM)	Contractual interest rate %	Contractual cash flow (RM)	On demand or within one year (RM)	One to five years (RM)
2019					
Group					
Trade and other payables	14,602,147	-	14,602,147	14,602,147	-
Amount owing to related companies	76,063	-	76,063	76,063	-
Term loan	20,465,000	3.83 - 4.72	21,461,020	9,760,905	11,700,115
Lease liabilities	4,465,041	2.60 - 2.63	4,683,706	1,290,582	3,393,124
	39,608,251		40,822,936	25,729,697	15,093,239
Company					
Trade and other payables	927,861	-	927,861	927,861	-
Amount owing to subsidiary company	4,977,795	-	4,977,795	4,977,795	-
Amount owing to related companies	424	-	424	424	-
Term loan	20,465,000	3.83 - 4.72	21,461,020	9,760,905	11,700,115
	26,371,080		27,367,100	15,666,985	11,700,115

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Liquidity risk (continued)

	Carrying amount (RM)	Contractual interest rate %	Contractual cash flow (RM)	On demand or within one year (RM)	One to five years (RM)
2018					
Group					
Trade and other payables	21,901,088	-	21,901,088	21,901,088	-
Amount owing to related companies	24,542	-	24,542	24,542	-
Term loan	29,871,111	3.56 - 4.27	31,310,664	10,046,315	21,264,349
	51,796,741		53,236,294	31,971,945	21,264,349
Company					
Trade and other payables	6,674,572	-	6,674,572	6,674,572	-
Term loan	29,871,111	3.56 - 4.27	31,310,664	10,046,315	21,264,349
	36,545,683		37,985,236	16,720,887	21,264,349

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and cash flow and fair value interest rate risk that may affect the Group's financial position and cash flows.

(a) Foreign currency exchange risk

The Group and the Company are exposed to foreign currency risk on sales and purchases that are denominated in a currency other than Ringgit Malaysia. The currency giving rise to this risk is primarily Singapore Dollar, United States Dollar, Indonesia Rupiah, Vietnamese Dong, Hong Kong Dollar, Macau Patacca and Australian Dollar. The Group and the Company monitor the foreign currency risks on an ongoing basis.

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

The net unhedged financial assets and financial liabilities of the Group and the Company that are not denominated in their functional currencies are as follows:

	Financial Assets/(Liabilities) Held in Non-Functional Currency						
Functional Currency	**Singapore Dollar (RM)**	**United States Dollar (RM)**	**Indonesia Rupiah (RM)**	**Vietnamese Dong (RM)**	**Hong Kong Dollar (RM)**	**Macau Patacca (RM)**	**Total (RM)**
Group							
2019							
Trade receivables	-	642,766	201,955	-	-	-	844,721
Other receivables	-	1,679,916	-	-	-	-	1,679,916
Cash and bank balances	8,250	4,896,752	-	4,329	45,662	284,511	5,239,504
Bank borrowings	-	(20,465,000)	-	-	-	-	(20,465,000)
Trade payables	(9,127)	(185,798)	-	-	-	-	(194,925)
	(877)	(13,431,364)	201,955	4,329	45,662	284,511	(12,895,784)
2018							
Trade receivables	-	318,887	113,643	-	-	-	432,530
Cash and bank balances	9,114	4,713,608	-	-	45,472	482,524	5,250,718
Bank borrowings	-	(29,871,111)	-	-	-	-	(29,871,111)
Trade payables	-	(172,363)	-	-	-	-	(172,363)
	9,114	(25,010,979)	113,643	-	45,472	482,524	(24,360,226)

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

	Financial Assets/(Liabilities) Held in Non-Functional Currency				
Functional Currency	**Singapore Dollar (RM)**	**United States Dollar (RM)**	**Australia Dollar (RM)**	**Hong Kong Dollar (RM)**	**Total (RM)**
2019					
Group					
Amount owing by/(to) subsidiary companies	10,850,414	-	287,304	130,078	11,267,796
Cash and bank balances	-	2,703,381	-	-	2,703,381
Trade payables	-	(148,347)	-	-	(148,347)
Bank borrowings	-	(20,465,000)	-	-	(20,465,000)
	10,850,414	(17,909,966)	287,304	130,078	(6,642,170)
2018					
Amount owing by/(to) subsidiary companies	7,506,514	11,156	292,834	29,834	7,840,338
Cash and bank balances	9,114	2,742,381	-	45,472	2,796,967
Trade payables	-	(149,905)	-	-	(149,905)
Bank borrowings	-	(29,871,111)	-	-	(29,871,111)
	7,515,628	(27,267,479)	292,834	75,306	(19,383,711)

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Market risk (Continued)

(a) Foreign currency exchange risk (Continued)

Currency risk sensitivity analysis

The following table shows the sensitivity of the Group's and the Company's equity and loss net of tax to a reasonably possible change in the Singapore Dollar, United States Dollar, Indonesia Rupiah, Australian Dollar, Hong Kong Dollar, Vietnamese Dong and Macau Patacca exchange rates against the functional currency of the Company, with all other variables remain constant.

		Group Profit net of tax		Company Profit net of tax	
		2019 (RM)	**2018 (RM)**	**2019 (RM)**	**2018 (RM)**
SGD/RM	-strengthened 5%	(33)	346	412,316	285,594
	-weakened 5%	33	(346)	(412,316)	(285,594)
USD/RM	-strengthened 5%	(510,392)	(950,417)	(680,579)	(1,036,164)
	-weakened 5%	510,392	950,417	680,579	1,036,164
IDR/RM	-strengthened 5%	7,674	4,318	-	-
	-weakened 5%	(7,674)	(4,318)	-	-
AUD/RM	-strengthened 5%	-	-	10,918	11,128
	-weakened 5%	-	-	(10,918)	(11,128)
VND/RM	-strengthened 5%	164	-	-	-
	-weakened 5%	(164)	-	-	-
HKD/RM	-strengthened 5%	1,735	1,728	4,943	2,862
	-weakened 5%	(1,735)	(1,728)	(4,942)	(2,862)
MP/RM	-strengthened 5%	10,811	18,336	-	-
	-weakened 5%	(10,811)	(18,336)	-	-

(b) Interest rate risk

The Group's and the Company's income and operating cash flows are substantially independent of changes in market interest rates. Interest rate exposure arises from the Group's and the Company's borrowings and deposits.

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Market risk (Continued)

(b) Interest rate risk (Continued)

Exposure to interest rate risk

The interest rate profile of the Group's and Company's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group/Company	
	2019 (RM)	**2018 (RM)**
Fixed rate instruments		
Deposits with licensed banks	350,930	341,337
Floating rate instruments		
Bank borrowings	(20,465,000)	(29,871,111)

Interest rate risk sensitivity analysis

Since the Group's and Company's fixed rate financial assets and liabilities are measured at amortised cost, possible changes in interest rates are not expected to have a significant impact on the Group's and the Company's profit or loss.

A change of 50 basis points ("bp") in floating interest rates at the end of the reporting period would have increase/(decrease) profit net of tax by the amounts shown below, assuming all other variables remain constant.

	Group/Company	
	2019 (RM)	**2018 (RM)**
Profit net of tax		
50 bp increase	(77,767)	(113,510)
50 bp decrease	77,767	113,510

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (Continued)

Fair value information

The carrying amounts of cash and cash equivalents, short term receivables and payables and short term borrowings reasonably approximate their fair values due to the relatively short term nature of these financial instruments.

The carrying amount of long term borrowings carried on the statements of financial position reasonably approximate fair value as it is a floating rate instrument that is re-priced to market interest rates on or near the reporting date.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted prices in active markets for identical assets or liabilities.
Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.
Level 3: Inputs for the asset or liability that is not based on observable market data.

The following table analyses the fair value hierarchy for financial instruments carried at fair value in the statements of financial position:

	2019 Level 1 Fair Value (RM)	2018 Level 1 Fair Value (RM)
Group/Company		
Financial asset		
Financial assets at fair value through profit or loss	115,917	114,289

The following table analyses the fair value hierarchy for financial instruments not carried at fair value in the statements of financial position:

	2019		2018	
	Carrying amount (RM)	Level 2 Fair Value (RM)	Carrying amount (RM)	Level 2 Fair Value (RM)
Group				
Financial liability				
Lease liabilities	4,465,041	4,683,706	-	-

35. FINANCIAL INSTRUMENTS (CONTINUED)

Fair value information (Continued)

The fair value of long term lease liabilities carried on the statement of financial position are estimated using valuation technique under the hierarchy level 2 mentioned above whereby the expected future cash flows are discounted at the market interest rate for similar type of borrowings.

The Group does not anticipate the carrying amounts of other financial instruments recorded at the reporting date to be significant different from the values that would eventually settled.

36. RELATED PARTY DISCLOSURES

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

(a) The significant related party transactions of the Group and the Company, other than key management personnel compensation, are as follows:

	Group	
	2019 (RM)	**2018 (RM)**
Rental income received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	(54,000)	(54,000)
Management fees received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	(60,000)	(60,000)

	Company	
	2019 (RM)	**2018 (RM)**
Management fees received/receivable from subsidiary companies:		
- N2N Connect Pte Ltd.	(14,990)	(78,110)
- N2N Global Solutions Sdn. Bhd.	(329,964)	(148,759)
- NGN Connection Sdn. Bhd.	(591,234)	(282,488)
- Hermes Bos Sdn. Bhd.	(60,000)	(60,000)

36. RELATED PARTY DISCLOSURES (CONTINUED)

(a) The significant related party transactions of the Group and the Company, other than key management personnel compensation, are as follows (continued):

	Company	
	2019 (RM)	2018 (RM)
Rental income received/receivable from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	(193,698)	(193,698)
- NGN Connection Sdn. Bhd.	(108,000)	(108,000)
- Hermes Bos Sdn. Bhd.	(24,000)	(24,000)
Sale of intangible assets		
- N2N Global Solutions Sdn. Bhd.	-	(14,202,494)

(b) Information regarding outstanding balances arising from related party transactions as at the end of the reporting period are disclosed in Notes 9, 12 and 13 to the financial statements.

(c) Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel include all the Directors of the Group, and certain members of senior management of the Group.

Information regarding the compensation of key management personnel is as follows:

	Group		Company	
	2019 (RM)	2018 (RM)	2019 (RM)	2018 (RM)
Short term employee benefits	6,906,930	5,503,999	852,352	825,636

37. MATERIAL LITIGATION

On 7 November 2017, the Company received a writ of summons ("Writ") from SAKK Consulting, Inc ("SAKK") issued by High Court of Hong Kong. The Writ was later amended ("Amended Writ") on 22 January 2018. SAKK alleged in the Amended Writ that the Company entered into an engagement letter ("Engagement Letter") with SAKK on or before 1 December 2015 for the provision of merger and acquisition advisory services by SAKK to the Company. SAKK further alleged that, among others, the Company has failed to pay the success fee amounting to USD411,946 (equivalent to RM1,667,351), being the 2% of the Company's purchase consideration of USD20,597,300 of the acquisition of N2N-AFE (Hong Kong) Limited (formerly known as AFE Solutions Limited), and accordingly, breached the Engagement Letter.

37. MATERIAL LITIGATION (CONTINUED)

SAKK claimed in the Amended Writ against the Company for the following:

(a) the sum of USD411,946 (equivalent to RM1,667,351);
(b) interest of 1% per month, or alternatively, pursuant to the applicable rule of the Hong Kong High Court;
(c) costs of the action on an indemnity basis; and
(d) any other relief.

On 8 August 2018, SAKK made a sanctioned offer to settle the whole of the SAKK Claim in Action, inclusive of interest, for the sum of USD220,000. The Sanctioned offer was not accepted by the Group within 28 days of the Sanctioned offer.

On 23 May 2019, the Group and the Company had entered into a settlement agreement with SAKK to settle all claims, counter claims and disputes in and in relation to the Amended Writ for a sum of USD150,000 (equivalent to RM630,900).

The Group and the Company have paid the settlement sum to SAKK on 23 May 2019.

38. SUBSEQUENT EVENT

On 24 March 2020, N2N Connect Australia Pty. Ltd. ("NCAPL"), an indirect wholly owned subsidiary of the Group had been deregistered by The Australia Securities and Investments Commission pursuant to Section 601 AA(4) of the Corporations Act 2001, Australia. The deregistration of NCAPL does not have any significant effect on the financial results of the Group.

38. DATE OF AUTHORISATION FOR ISSUE

The financial statements of the Group and of the Company for the financial year ended 31 December 2019 were authorised for issue in accordance with a resolution of the Board of Directors dated 30 April 2020.

LIST OF PROPERTY
N2N CONNECT BERHAD

As at 31 December 2019

Postal Address	Approximate Age of Building	Tenure/ Date of Acquisition	Remaining Lease Period (Expiry of Lease)	Current Use	LandArea (SQ Feet)	Carrying Amount As at 31 December 2019 (RM'000)
Wisma N2N Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur	10 Years	Leasehold/ 3 June 2011	88 Years (16 August 2106)	Corporate Offices	54,059	32,372

ANALYSIS OF SHAREHOLDINGS AS AT 30 APRIL 2020

(based on Record of Depositors)

Type of Securities	:	Ordinary Shares
Total number of Shares issued	:	597,878,101 Ordinary Shares
Voting rights	:	One vote per Ordinary Share
No. of shareholders	:	2,510
Number of Treasury shares	:	39,673,900 Ordinary Shares

1. DISTRIBUTION SCHEDULE OF SHAREHOLDERS

No. of Holders	Holdings	Total Holdings	%
61	Less than 100	1,590	0.00
305	100 to 1,000	188,638	0.03
1,229	1,001 to 10,000	6,719,981	1.20
748	10,001 to 100,000	24,617,198	4.41
162	100,001 to less than 5% of issued shares	167,762,547	30.06
5	5% and above of issued shares	358,914,247	64.30
2,510		558,204,201	100.00

2. LIST OF THIRTY (30) LARGEST SECURITIES ACCOUNTHOLDERS

	Name	No. of Shares	Percentage (%)
1.	CGS-CIMB Nominees (Asing) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte. Ltd. (Retail Clients)*	104,430,321	18.71
2.	SBI Holdings, Inc.	102,879,831	18.43
3.	N2N Connect Holdings Sdn Bhd	91,622,095	16.41
4.	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	29,991,000	5.37
5.	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	29,991,000	5.37
6.	Wong Kok Ping	19,566,966	3.51
7.	Lai Su Ping	18,040,857	3.23
8.	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	17,280,000	3.10
9.	Tiang Boon Hwa	15,803,426	2.83
10.	Citigroup Nominees (Tempatan) Sdn Bhd *Employees Provident Fund Board*	11,410,000	2.04
11.	Chua Hock Ann	7,161,362	1.28
12.	Maybank Securities Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Kuan Teck*	6,875,600	1.23
13.	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Goh Ching Chee (MY0605)*	5,000,000	0.90
14.	Tan Kuan Teck	4,218,900	0.76
15.	Chan See Wai	3,907,356	0.70

	Name	No. of Shares	Percentage (%)
16.	Lai Sok Kun	2,761,800	0.49
17.	Ming Khing Yih	2,450,900	0.44
18.	Lim Kok Tean	2,363,916	0.42
19.	Chen Boon Chew	1,812,000	0.32
20.	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya-CL)*	1,624,300	0.29
21.	Vivian Lea Si-Xiu	1,594,466	0.29
22.	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Ching Yun (MY2318)*	1,527,900	0.27
23.	Kenanga Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Gan Sem Yam*	1,355,700	0.24
24.	Loh Lan Jin @ Loh Luan Eng	1,354,000	0.24
25.	Liew Kim Loong	1,200,200	0.22
26.	Tang Yim Heng	1,135,300	0.20
27.	Tiang Boon Hwa	1,073,233	0.19
28.	Lai Wei Suen	1,008,466	0.18
29.	Goh Ching Chee	1,000,000	0.18
30.	Chan See Wai	968,800	0.17
		491,409,695	88.03

3. LIST OF SUBSTANTIAL SHAREHOLDERS

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1.	SBI Holdings, Inc.	102,879,831	18.43	-	-
2.	N2N Connect Holdings Sdn Bhd	91,622,095	16.41	-	-
3.	SBI Japannext Co., Ltd	76,483,521	13.70	-	-
4.	Cimsec Nominees (Asing) Sdn Bhd Pledged Securities Account for Nikkei Inc	29,991,000	5.37	29,991,000[1]	5.37
5.	Cimsec Nominees (Asing) Sdn Bhd Pledged Securities Account for Quick Corp	29,991,000	5.37	-	-
6.	Tiang Boon Hwa	17,421,033	3.12	109,662,952[2]	19.65
7.	Lai Su Ping	18,040,857	3.23	109,043,128[3]	19.53

4. DIRECTORS' INTEREST IN SHARES IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1.	Tiang Boon Hwa	17,421,033	3.12	109,662,952[2]	19.65
2.	Lai Su Ping	18,040,857	3.23	109,043,128[3]	19.53
3.	Dato' Tan Boon Leng	1,936,866	0.35	791,366[4]	0.14
4.	Goh Ching Chee	6,000,000	1.07	-	-
5.	Fathi Ridzuan Bin Ahmad Fauzi	4,000	0.00	-	-
6.	Elaine Foong Sooi Jade	-	-	-	-
7.	Masashi Shindo	-	-	-	-
8.	Hiroaki Morita	-	-	-	-

The above Directors by virtue of their shareholdings in the Company are also deemed interested in shares in the related corporations to the extent the Company has an interest.

NOTE:

1. *Deemed interested by virtue of its interest in Quick Corp.*
2. *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*
3. *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*
4. *Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 59 of the Companies Act 2016.*

ANALYSIS OF WARRANTHOLDINGS AS AT 30 APRIL 2020

(based on Record of Depositors)

Type of Securities	:	Warrant B
Total Warrant Issued and Not Exercised	:	140,089,694
Voting rights	:	The holders of the Warrants are not entitled to any voting rights or to participate in any distribution and/or offer of further securities in the Company until and unless such holders of the Warrants are issued with new N2N Shares arising from their exercise of the Warrants
No. of warrantholders	:	1,651
Exercise price	:	RM0.83
Expiry date	:	8 January 2024

1. DISTRIBUTION SCHEDULE OF WARRANTHOLDERS

No. of Holders	Holdings	Total Holdings	%
229	Less than 100	8,240	0.01
468	100 to 1,000	240,281	0.17
615	1,001 to 10,000	2,163,591	1.54
265	10,001 to 100,000	9,298,373	6.64
68	100,001 to less than 5% of issued warrants	37,969,649	27.11
6	5% and above of issued warrants	90,409,560	64.53
1,651		140,089,694	100.00

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS

	Name	No. of Warrants	Percentage (%)
1.	SBI Holdings, Inc.	28,521,757	20.36
2.	N2N Connect Holdings Sdn Bhd	22,905,523	16.35
3.	CGS-CIMB Nominees (Asing) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte. Ltd. (Retail Clients)*	16,391,455	11.70
4.	Lai Sok Kun	7,595,325	5.42
5.	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	7,497,750	5.35
6.	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	7,497,750	5.35
7.	Lai Su Ping	4,510,214	3.22
8.	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	4,320,000	3.08
9.	Tiang Boon Hwa	3,950,856	2.82
10.	Wong Kok Ping	3,659,891	2.61
11.	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Goh Ching Chee (MY0605)*	2,600,000	1.86
12.	Tan Kuan Teck	1,331,000	0.95
13.	Maybank Securities Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Kuan Teck*	1,250,000	0.89

	Name	No. of Warrants	Percentage (%)
14.	Chua Hock Ann	1,190,340	0.85
15.	Chan See Wai	975,564	0.70
16.	CIMB Islamic Nominees (Tempatan) Sdn Bhd *CIMB Islamic Trustee Berhad – Kenanga Syariah Growth Fund*	777,200	0.55
17.	Ming Khing Yih	612,725	0.44
18.	Lim Kok Tean	590,979	0.42
19.	Tok Hum Yuan	550,300	0.39
20.	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya-CL)*	406,075	0.29
21.	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Leong Chee Jian (T Taming JY-CL)*	399,100	0.28
22.	Vivian Lea Si-Xiu	398,616	0.28
23.	Tan Boon Leng	344,500	0.25
24.	Loh Lan Jin @ Loh Luan Eng	338,500	0.24
25.	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Ching Yun (MY2318)*	331,975	0.24
26.	Lim Siew Hong	318,175	0.23
27.	Liew Kim Loong	300,050	0.21
28.	Alliancegroup Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Wong Wai Kong (7003764)*	300,000	0.21
29.	UOB Kay Hian Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ser Yu Beng*	290,000	0.21
30.	Kenanga Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Gan Sem Yam*	288,925	0.21
		120,444,545	85.96

3. DIRECTORS' INTEREST IN WARRANTS IN THE COMPANY

	Names	No. of Warrants (Direct)	Percentage (%)	No. of Warrants (Indirect)	Percentage (%)
1.	Tiang Boon Hwa	4,355,257	3.11	27,415,737[1]	19.57
2.	Lai Su Ping	4,510,214	3.22	27,260,780[2]	19.46
3.	Dato' Tan Boon Leng	803,466	0.57	197,841[3]	0.14
4.	Goh Ching Chee	2,850,000	2.03	-	-
5.	Fathi Ridzuan Bin Ahmad Fauzi	1,000	0.00	-	-
6.	Elaine Foong Sooi Jade	-	-	-	-
7.	Masashi Shindo	-	-	-	-
8.	Hiroaki Morita	-	-	-	-

NOTE:

1. *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*
2. *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*
3. *Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 59 of the Companies Act 2016.*

MSC MALAYSIA
Status Company

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